

2018 Letter
Sebids Capital
Kreuzberg, Berlin

1st annual letter

For my investors, a few friends, prospective investors, and the investment community

My name is Sebids. I am now 25 years old, born on the 30th of August, 1993. This is my first annual letter.

I think some pretext about myself is necessary.

It might help some others who secretly read investor letters to come out and dare, too.

If anything, I want to encourage others to never, ever compromise on their dreams, to never, ever settle for anything less than the highest standards, and to never, ever let yourself be stopped by anyone who tells you that the world is the way it is.

I didn't really know what the stock market was even sixteen months ago. I never spent time thinking about individual companies. My parents never bought or owned a single share of a company once in their lifetime. I have less than a year of experience of being fully invested in the stock market. Since then, I haven't lost money, but 2018 wasn't a great year either.

The stock market simply didn't interest me until sixteen months ago. I thought that it must be for people who already have money, and I didn't know a single person who had a lot of money for the first two decades of my life. And, to be honest, I thought investment to be a waste of time, especially in contrast to philosophy, creativity, writing, composing, medicine, physics, inventing, enjoying, experimenting, learning and teaching, and trying to actually change the world.

I believe my first encounter with stocks was when I was a child while reading the newspaper. Each day, there was a page with the tickers. As an internet kid, I thought this was rather strange, as I couldn't understand why anyone who was "rich" enough to own shares of companies wouldn't simply look up live data in the internet. So, I thought that stocks must be for strange people who couldn't use computers.

My school grades were mediocre. I flunked 10th grade. I didn't particularly like school. It didn't fit me, and I didn't fit school. I'll reserve most school stories for another time. But, still, school has been half my life, so it's kind of hard to completely bracket it out when it certainly shaped my being. Thus, I want to at least give you an impression.

I started the first grade at age seven. I could have begun at age six, but I failed the screening test. When I was supposed to step on a scale to be weighed, I disobeyed. I didn't step on it and told the person that I already know my weight. I could simply tell her, as the doctor weighed me only a week earlier. I still knew my weight to the decimal place, but, as I resisted stepping on the scale, I was considered unfit for school. So, I stayed in my (wonderful) kindergarten a year longer. From the very first possible point of contact, school just wasn't for me.

Elementary school was undemanding. I had good grades, and it was a fun and innocent time for me. I was supposed to skip a class, but for a reason I can't remember, I only attended the higher math classes. As my single-parent mother earned all the money and worked late, I spent most of my time after school in an after-school center with a wonderful bunch of friends.

Years later, one elementary school lesson stands out. The differences between the kids, their capabilities, skills, and discipline really weren't all that great. If somebody didn't understand something at first, it was only a matter of time and effort before they reached an understanding. Everyone, given enough time, had the potential to learn anything. Even better, kids helped each

other to develop their knowledge. And, ultimately, every single pupil could have gone to the “good” high school (the “Gymnasium” in Munich, where I grew up). What actually happened was that kids got sorted out by their background. The kids with less support were simply sidetracked and had it harder, although their ovarian lottery lot was worse in the first place. I swore to myself to never forget this.

Very early on, I perceived school as a broken sorting machine, a closed system, unjustly influencing children’s futures without connection to their actual potential. Furthermore, I didn’t perceive school as a place where I could learn efficiently. To be fair, I had huge hopes when first grade started. In my seven-year-old head, there couldn’t possibly have been a greater place on earth than one where one could learn all day. I still can’t really tell you the exact details about how everything played out over the years, but the longer I was in school, the less I felt my natural learning powers. I wish I could recall the details of how that all happened, but for me, school was the opposite of what it was supposed to be. Before school, and still in the early years, I was a natural learning machine. I was the kind of kid who invented extra math homework at home, printed it, and brought it to school so that other kids could enjoy. Luckily, I was aware of losing what I considered real learning, and I promised myself not to forget that.

Between age 11 and 17, I felt held captive by school and society in general. It felt unreal and like a scam. I felt like an alien on a silly planet. I just wanted to be free and do what I wanted, and all I wanted was to be independent, focus on my self-education, and develop a particular line of philosophical thoughts.

When I was 15, I took the initiative to go to a psychotherapist, just to “checkup” on myself, as I had many issues in relation to my immediate family and school. I wish I could tell you that I secretly learned for myself despite my environment, like Ramanujan did, but, honestly, I mostly played computer games. My time with my psychotherapist turned out to be very enjoyable. We chatted about books, psychotherapy, physics, philosophy, society, and so on. Back then, I just never understood how this relationship had anything to do with an analysis or therapy. I simply enjoyed talking to an older person with more life experience. I immediately understood that there was nothing severely wrong with me. Rather than myself, my life parameters were the real issue, and were too difficult for a 15-year-old to change. So, at some point, I stopped visiting my therapist, as I considered myself to be just fine (and we were just casually talking at this point, anyway). I was rather astonished about the whole matter. Only when I left did I press him for a diagnosis. A couple of weeks later, he sent me a text about Silicon Valley (which I knew, and still know, very little about) and Asperger’s syndrome.

I found the text to be a great story about nerds. I thought I’d get along with nerdy “Aspergers”. But, other than that, I never related “Asperger” to my own being and simply lived on. I felt I didn’t have the energy or time to think about it. I was embedded in hardcore gaming, which effectively was a form of cryostasis. Magically, I stopped playing when school was finally over, forever.

Somehow, I knew I’d graduate, which in the end probably wasn’t motivating either. My efforts depended on the subject and, even more so, on the personality of my teachers. My results were volatile. If anything, I don’t think I deserved my *Latinum*. I definitely couldn’t really handle school anymore. I was missing between 15% and 20% of all classes in the last two years.¹ I used doctor’s certificates to justify my absence, which was easier for me than actually going to school.

I knew that life would be better if I survived the early years.

Nothing about such story is unique to me, I believe. I share it precisely because it is the same story one has already heard a thousand times. Still, maybe repeating it helps someone out there to never, ever forget themselves.

¹ Later, when I worked, this dropped to 0%.

I moved out from home. I graduated.² I enrolled in a university. I started my time at university studying physics, but switched to philosophy and sociology. Formally, I was enrolled the last 5.5 years. I won't go into details, but these five years were the time I needed to learn to learn again and study on my own. I chose philosophy and sociology as both had some overlap with what I wanted to read anyway. Although I initially chose physics, because I liked it and thought it was something that would be difficult to learn on my own, I wasn't able to appreciate the distance between physics and human affairs. I immediately understood that I was incapable of going back into a formal setting directly after school. I just desperately didn't want to be confined by rigid formalities again. Thus, I chose to first reboot.

There are two main parts about my time after school. One part was that I gradually started living again. But as this part of my life is private, I won't share it.

The other part was learning. I want to share a bit about this part, as I am self-taught.

I certainly have yet to achieve success in investment, but it's also not a coincidence that I fell in love with investing as an art. The objectivity of results makes it very hard to bullshit. In investment, there's a particularly interesting number, which I call the "Lifetime CAGR". Everybody has such a number. Financial analysts and advisors have it, although they usually don't tell you. Hedge fund managers have it and some display it for all to see. I would go so far as to say that even people who don't know anything about compounding, or don't have capital, have a lifetime CAGR. In my opinion, there's hardly a skill where comparability between results is so objective, yet the method and processes to achieve it so multifarious. It might be up for debate from when to begin measuring one's lifetime CAGR, but luckily this is a formality rather than the clarity of results itself.

Maybe it is sad that I never fully warmed up to university, which could have been a positive contrast to school, with a better learning environment for people who are more interested in learning, etc. While this is true, to me, university time always functioned as a countdown. You have half a decade to enjoy greatness, beauty, and genius, and to figure out how things and society work. I nonetheless had a handful of great philosophy seminars. But, more importantly, I could eat in the university canteen and use the libraries for a relatively low cost. Consequently, I invested all my time into my self-education. All the while there were certain people in my head that didn't graduate and, believe it or not, turned out more than ok. In my mind, these risk-takers were heroes. And just as God's house probably isn't the church, truth, science, universality and learning are (currently) anywhere else but the university.

Charlie Munger reminds me that my success will likely not be determined by how I fared in school and university:

"Show me the incentive and I'll show you the outcome" - Charlie Munger

I don't have any track record. My belief is that, over a reasonable amount of time, I will figure out how investment works and compound reasonably well. I desperately want the independence. I desperately don't want to be poor³, don't want my dad to be poor, and don't want my friends to be poor. You can think about possible inputs and bet on whether or not such a blank sheet *hedge fund manager* has a chance.

So, here are a few of my inputs from the last 5.5 years for the purposes of your bet:

²I graduated with a 2.6. 1.0 is the best possible grade, and 4.0 is the graduation cut-off. I'm prouder that my peers voted me number one in the category, "biggest nerd", number one in "future Bundeskanzler", and number three in "who will win a Nobel prize?"

³In this context, I always mean *financially*.

I read 25 books in 2013 during my last school year, 81 books in 2014, 42 books in 2015, 28 books in 2016, 30 books in 2017, 14 books in 2018 (although more than 4,000 pdfs about investment, basically all investment blogs I could find, days of ValueInvestmentClub and SeekingAlpha, each quarter more than a 100 different quarterly hedge fund letters, which probably is more than 700 pages of content per quarter, and, lastly, all the last years of letters from active money managers with a good track record – all in the last 16 months). The numbers are not the most important thing, obviously. Whereas in 2014, directly after school, I was happy to read a lot and broadly, the years 2015 to 2017 were study years, so a collection of academic papers aren't included. To be honest, I don't consider my numbers to be much, at all. I know people who read much more than I do, and such people would probably laugh at my numbers.⁴

I read Benjamin Franklin's Autobiography in 2014, because I wanted to learn about a person who invented so many things and was involved in so many usually separate areas of society. I read it without any purpose, out of my own interest, without anybody even telling me he would be a good author to read. I didn't read it to learn something and so on. I just read it because I thought Franklin stood out. He sure would be a great role-model, but to me, I don't want to create a distance where there's none. One might be able to recount a list of role-models, but reading their works over the course of my lifetime, thus far, has felt like meeting them all in the building that I'd call home. In this building, which has many rooms, all of these great thinkers have conversations with each other. In one room, for no particular reason, there might be Benjamin Franklin, the Brothers Grimm, Jeannette Rankin, Tommaso Campanella, Franz Kafka, and Charlie Chaplin, all together, talking to each other. In another, Karl Popper, Theodor W. Adorno and Friedrich Schiller debate, while Erving Goffman is taking notes and Sigmund Freud is analyzing everybody. And in another room, Proust is alone, writing. Ultimately, each one of these people is part of my soul, although I didn't choose many of them. They all connected themselves to the same common realm of humanity.

When I read Benjamin Franklin, I didn't know Charlie Munger, and, unfortunately, I only heard Warren Buffett's name a few times because he was rich. Buffett's wealth is probably his least important or interesting characteristic⁵.

In a similar vein, in 2014, I read Ayn Rand. I did this because I read Karl Marx before her, and I wanted to read a person who's distinctly capitalist and, even more so, a capitalist philosopher. I can tell you that I haven't met many people who can appreciate the genius of both Karl Marx and Ayn Rand at the same time, albeit for different reasons. For many it's too hard, as they're in some camp and their social status depends on groupthink.

Let's see how this works out:

"Thoughtfully choosing investments requires the same mental skills as thoughtfully reading a book." - Robert Hagstrom

I'm an *ad fontes* person. I want to read first hand sources without intermediaries potentially blurring my view. I read the Old Testament, the Gilgamesh Epos, some old Greeks and Romans (all of them unfortunately only in a translation⁶, but I think you get my point), etc. Now I actually enjoy companies' annual reports.

I came to investing because I realized I've never read anything first hand from people who dealt with money, or, to put it bluntly, I wanted to know how "*billionaire's literature*" feels. As far as I know,

⁴ I met someone who reads not only 500 pages a day, but 500 pages of e.g. Kierkegaard a day. I can tell you that this person is on another level and cares about philosophy, not investing.

⁵ Charlie Munger: "I met the towering intellectuals in books, not in the classroom which is natural. I can't remember when I first read Ben Franklin" and "Benjamin Franklin was able to make the contribution he did because he had [financial] freedom."

⁶ As said, I don't deserve my *Latinum*.

there is no literature department focused on the writings of billionaires, or capital allocators, which means that there is a lot of contrarianism embedded in the art of investment as such.

Regardless of whether it's investing or something else, finding something that is outside the realm of common perception sparks my interest.

I think the path from Karl Marx, Ayn Rand and Benjamin Franklin (which I read around 2014 when I was 20/21 years old) to Joel Greenblatt, Warren Buffett, Charlie Munger, Monish Pabrai and Nassim Nicholas Taleb (which I read over the last 1.5 years) is a long one. But, all things considered, I am happy to have had a bit of reading runway before I discovered investment literature. Investing as a category of thought in all likelihood alters one's perception in a way that causes one to sort out those things which aren't useful and aren't good for you and for capital. Investing is thinking in e.g. time, resources, and opportunity. This might be a reason why poets usually rather try to avoid being in contact with capital, regardless of the downsides. One can succumb to capital, just like to the dark force in Star Wars.

I don't think capital or capitalism is evil or good, but mostly comical. I think it is a part of "*La Comédie humaine*". In the presence of the universe, death, or God, capitalism and money are characteristic of a period of human history because capital is scarce. If capital weren't so scarce (not because we abolish capital), it simply matters less. The mainstream anti-capitalistic view is that, the more capitalism unfolds, the worse its disciplinary forces, effects on human epistemology, and a general prevalence of ideology. The more capitalist, the more totalitarian. I think there is still a good chance for an alternative interpretation, if one views capital as a resource that becomes less and less scarce (which currently is a bit tricky, as it still involves human labor and forceful social relations).

Anti-capitalists lack the imagination to think of capital as a resource, and especially as something which doesn't necessarily depend on human labor, but on "energy". I believe one's focus shouldn't be on trying to abolish capital and capitalism, but to abolish capital's scarcity. In a good case, you consciously compound capital without capitalism's downsides. Regardless of how it may sound, to abolish the scarcity of capital might actually result in a society where people are much less forced and formed by capital's demands. Then, maybe our world wouldn't be shaped by capital so much either.

Can capitalism really be *the* most important problem of yours, as an individual, or for humanity as a whole? I bet against that.

Somebody like Benjamin Graham seems familiar to me, although I have yet to read him. In this sense, it is the feeling of having found somebody that stands out as familiar. I think I'll have fun with Graham, as he experienced the same intellectual climate as Theodor W. Adorno, Walter Benjamin, Georg Simmel, Franz Kafka, Gershom Scholem or Hannah Arendt, who were born in a span of 23 years apart. Graham was intimately familiar with e.g. Kant, Homer, Descartes, Bacon, Goethe, Schiller, Nietzsche, Proust, Baudelaire, Rousseau and, once again, Benjamin Franklin. Graham and his contemporaries shared the same taken-for-granted culture, typical for educated people born over a century ago. Today, such qualities as the Flâneur type are rather scarce, because, so far, all productivity gains of capitalism have been reinvested, and because – unquestionably – book culture needs freedom from capital (which is even harder when books have concurrence with other, currently more fashionable forms of media). I enjoy reading most of the aforementioned writers, but I never suspected there to be a lineage from them to investing.

In some ways, it was shocking to me to realize that, of all places, book people settled in the investment world. Only then did I realize that it's not a coincidence and my own lectures led me to investment. It just took some time until I discovered it on my own. Hopefully, I still have some compounding runway left!

Ultimately, the universe of investing and "business" enables me to read nearly all the time whilst being connected to reality, too. I'm not a pre-Marxist philosopher. What I mean by that is, that

regardless of your opinion, Marx radically changed the character of philosophy: "Philosophers have hitherto only interpreted the world in various ways; the point is to change it." And unless you're not at all into changing the world, and unless you play games with the relationship between theory and praxis, or the mere word "world", you're either post-Marxist or pre-Marxist in your stance about the world.

Before I knew about the individuals of investment and business, I didn't really care about investment, money and business. I thought it must be very boring. As a result, I was blind to it and had prejudices. I thought that capitalism just happens like a second nature. There's a bit more to it. I believe other people, over time, will figure it out, too. The objective reason for that is that only if you think in numbers of money and capital, you're, somewhat paradoxically, thinking concretely. If you abstractly think about capitalism and productivity, you're destined to fail and hope for something like a "universal basic income" from states. I think it's very likely that young people who choose to go into politics without real, long-term business and investing experience are destined to end up in ideology, groupthink, agency problems, and as rent-seekers.

In some way, when I was younger, I failed to see something, Nassim Nicholas Taleb writes about, too:

*"Finally, when young people who 'want to help mankind' come to me, asking:
'What should I do? I want to reduce poverty, save the world' and similar noble
aspirations at the macro-level. My suggestion is:*

1) never engage in virtue signaling;

2) never engage in rent seeking;

3) you must start a business. Take risks, start a business."

I also abstractly hoped to change the world for better, without realizing that I have to first focus on nothing else other than my own independence, to make money, and to start a business. Again, I don't come from the money; I came to money through literature. Let's see how much this is a natural disadvantage versus people with "money-making instincts". To me, this is an open experiment. In this regard, I have a lot of respect for the few consistent, great traders who have a great mentality - they don't blame others for losing.

I'd like to mention Michael Burry. I'm not comparing myself with his successes as an investor, his insights, or anything like that. But I think I can compare myself in regard to some personal characteristics. It is quite likely that I have some form of Asperger's Syndrome, too. My level of focus is otherwise inexplicable. Investment did catalyze some almost absurd interest on my part. I've pretty much focused exclusively on investment for the last 1.5 years. It's important for me to share this fact, because although I otherwise would focus my life on philosophy, I could never fit in academia. If I'm any good in investment, I'll at least know somebody will read my philosophy later. Otherwise, I don't know. Realistically, one just dies and nobody cares. In investment, it's not even a matter of "fitting". One can more or less just start somewhere, and there is no way people won't care as long as one has great ideas and results.

Only because of Michael Lewis' description of Michael Burry⁷ in *The Big Short* (and how Burry realizes that he has Asperger's), in addition to Michael Burry's letters and speeches, was I able to accept that I am somewhere on the Autism spectrum. I also just hate categories, so I never accepted the stamp.

⁷ If people would have listened to Burry in the 2000s, taxpayers would have been saved hundreds of billions of dollars. Maybe more. Singlehandedly. It shouldn't matter that he made money during the financial crisis. He was the hero who was there to save the day. It's just that, typically, the public doesn't want to be saved.

But the similarities are simply too stark. It's the same natural but conclusive "random" walk of life. It's systematic but doesn't have a system.

I wouldn't consider myself any less social. It's just that others usually don't share my interests, nor the intensity, nor the cross-connections. Luckily, there are a few people who do.

Unlike Munger and Burry, I'm not missing an eye. Interestingly, I'm missing an ear. This might be another reason why I didn't like school. I simply don't understand much in a crowded room (not the best combination with Asperger's). But both characteristics ultimately have been a blessing in disguise for me. But I won't draw too many conclusions from it, as I have yet to see the outcome.

I shall admit that I never had an accounting class. I will learn some accounting, but, ultimately, I'm convinced that, counterintuitively, my lack of accounting skills won't lead to the dreaded blow-up, but to investing in situations where I don't need to be an accounting expert to get it right. Before I spark some debate, I'd like to remark that such a debate probably would resemble the lengthy debate about seatbelts.

I don't use excel for modeling my ideas. None of my current ideas has an excel spreadsheet model. I am wary of objectifying inputs. I might believe them! While I do share my write-ups, I don't share my fair value equations or my many, many ways to take quantitative inputs to calculate fair value. In fact, I calculate a companies' fair values in various ways, all the time, in the shower, and in my dreams. When you write about a company, you will notice a tickle as soon as you write something that fools you, something that feels not quite right. You then perceive instances where you're overexcited about a part of a business. Of course, the reverse is true, too. But none of that happens when you use excel. Chances are, you model an outcome and fit your assumptions to the outcome. I've seen some mindboggling, complex, investment related excel tables so far, where people spent days on them. It didn't improve their outcome.

I strongly believe that if one is running tiny amounts of capital, one has to wait for the investments that are close to no-brainers. I think small guys often directly emulate big guys and miss out on their small-guy advantages. I'd say that the big guys are disadvantaged when it comes to no-brainers. Imagine an institution evaluating what in reality is a no-brainer. They model it. If it's a no-brainer, the model, instead of a typical 35% or 65% upside over three years, spits out a higher number (unless the no-brainer is more about evading downside, which I think happens more often). Imagine an institution's excel model spitting out 350% upside. If you work for an institution, you don't want your model to spit out 350% upside. Risk control might flag you as crazy. Also, I don't think somebody who's used to modeling things has the character such that their model results in an outcome that appears far away from reality. If you model, you stay close to "reality". So, you better model for like 80% upside, because you'd still get it right - and that's what you're dependent on, what your incentives are, not CAGR, nor ROIC.

I'd say that a fair share of great situations and great companies are inversely correlated with the ability to model them. Anyway, my greater point is that institutionalized forms of money management are disadvantaged when it comes to the most enticing situations. I want to play it safe and only say yes to ideas where it is safe not to model.⁸

With all that said, if anything, I intend to differ in my ability to change my mind. The pragmatic parts of investments, the methodology, are completely up for debate. In any way, my shortcomings will be very, very visible. It will be very easy to spot mistakes as a result of a lack of a model. But, then again, I'm 25-years-old and building a track record publicly. I guess I will learn. All things considered, there won't be many 35-year-olds with a 10-year-track-record of compounding capital. I aspire to be one of them.

I will give you a small set of conclusions I drew from my self-education. As I'm unproven, I won't overdo it. But by sharing some conclusions, I make myself accountable. Increasing objective accountability and living a moderately public life would be a "conclusion" of mine, for example. Only

⁸ In a slight change of Munger's: "The goal of investment is to find situations where it is safe not to diversify".

because I put myself out there, share my thoughts, try to create value, try to enforce the highest standards, and act in public, can I look back to see how I fared and developed. If you don't write down and share what you think, you'll never know if you don't fool yourself. This goes together with another conclusion: It's about trying extremely hard to disprove everything you're convinced of. Usually even the worst people in human history believed themselves to be righteous. Many said they lived a life according to their principles. One way to prevent getting stuck in abstract internal beliefs seems to be compounding accountability.

One will be able to see if such lessons were any good for me. Or if I actually learned these lessons.

I'll mostly let some others speak for me through quotes about the realm of business and investing (and, naturally, beyond that). They distilled these lessons in a way I cannot improve on.

Benjamin Graham:

- "Let me emphasize that it does not take a genius or even superior talent to be successful as a value analyst. What it needs first is, reasonable intelligence; second, sound principles of operation; third, and most important, firmness of character."

Li Lu:

- "The more honest you are intellectually, the more prosperous you tend to be. I have never met intellectually arrogant people who can successfully practice the game of investment."

John Maynard Keynes:

- "Worldly wisdom teaches that it is better for reputation to fail conventionally than to succeed unconventionally."

Warren Buffett:

- "People will always try to stop you doing the right thing if it is unconventional."
- "But we do know that the less the prudence with which others conduct their affairs, the greater the prudence with which we should conduct our own affairs."
- "If I was running \$1 million today, or \$10 million for that matter, I'd be fully invested. [...]"⁹
- "I call investing the greatest business in the world"¹⁰
- "I insist on a lot of time being spent, almost every day, to just sit and think. That is very uncommon in American business. I read and think. So I do more reading and thinking, and make less impulse decisions than most people in business. I do it because I like this kind of life."
- "This habit of committing far more time to learning and thinking than to doing is no accident."

⁹ I think this part of Buffett's statement is underappreciated. To me, it seems logical to avoid holding cash. If you think you can spot cheap companies, cash should seem extremely expensive to you as an asset class. Liquidity, as of now, isn't a problem for me, so I don't hold cash. It makes a difference to compound with only 95% of your capital over decades versus 100%. Doesn't using only 95% of capital but trying to achieve the same hurdle rate increase risk? I believe, over decades, compounding with 95% instead of 100% of capital leads to less satisfactory results.

¹⁰ This statement is not (only) about the money. Running a concentrated portfolio is still magnitudes less risky than going all in as an entrepreneur. I can't afford to lose. Sorry for being lame. "To finish first, you have to finish first." Investing as a business is hard to blow up unless you're dumb by taking risky bets, leveraging up, etc. When you go all in as an entrepreneur, although it might be less risky than what the general public fears, there are still many things that could happen to you outside of your control. If I ever do other businesses, beyond investment-compounding, I'll do it when I have achieved a substantial financial margin of safety. Paradoxically, I doubt VCs would find it easy to give me money to compound. Although I'd say that my startup, investing, is less risky than the average startup. While great entrepreneurs minimize risk, I doubt it's in the social code of entrepreneurship to actually take the least possible amount of risk.

- “More than 99% of my wealth will go to philanthropy during my lifetime or at death. Measured by dollars, this commitment is large. In a comparative sense, though, many individuals give more to others every day.”

Charlie Munger:

- “If you're capable of understanding the world, you have a moral obligation to become rational.”
- “If your new behavior gives you a little temporary unpopularity with your peer group, then to hell with them.”
- “Take a simple idea and take it seriously.”
- “You don't have to be brilliant, only a little bit wiser than the other guys, on average, for a long, long time.”
- “A few major opportunities clearly recognizable as such, will usually come to one who continuously searches and waits, with a curious mind, loving diagnosis involving multiple variables. And then all that is required is a willingness to bet heavily when the odds are extremely favorable, using resources available as a result of prudence and patience in the past.”

Jeff Bezos:

- “The danger is that once you're a domain expert, you can be trapped by that knowledge.”
- “Invention requires a long-term willingness to be misunderstood. You do something that you genuinely believe in, that you have conviction about, but for a long period of time well-meaning people may criticize that effort, and when you receive criticism from well-meaning people it pays to say -- first of all, search yourself -- are they right? And if they are you need to adapt what you're doing. If they're not right, if you really have conviction that they're not right then you need to have that long-term willingness to be misunderstood.”
- “We see customers as our invited guests to a party, and we are the hosts. It's our job every day to make every important aspect of the customer experience a little better.”
- “Complaining is not a strategy. You have to work with the world as you find it, not as you would have it be.”

Glen Bell:

- “Don't be embarrassed by your circumstances if you're working hard to improve them.”

Nate Chesky:

- “When you're starting a company, it never goes at the pace you want or expect... you start, you build it, and you think everyone's going to care. But no one cares. Not even your friends.”

Tobi Lütke:

- “I firmly believe that I learned more about building businesses from playing Starcraft than I've learned from business books.”

Richard Liu:

- “For every cent we take from investors, we must return 10 fold, even 20 fold to them.”
 - Kathy Xu about Richard Liu: “Investing in a project is primarily investing in a person, and I have spent a lot of time looking for a Killer entrepreneur. For my first meeting with Liu Qiangdong I noticed his computer whereon he had wrote “The Best or Nothing,” which convinced me that he was just the person I had been looking for.”

Jack Ma

- “If you want to win in the 21st century, you have to empower others, making sure other people are better than you. Then you will be successful.”
- “I never thought the money I have belongs to me. It belongs to society.”
- “There's an examination for young people to go to university. I failed it three times. I failed a lot. So I applied to 30 different jobs and got rejected. I went for a job with the police; they said, 'You're no good.' I even went to KFC when it came to my city. Twenty-four people went for the job. Twenty-three were accepted.”
- “They called me crazy Jack. I think crazy is good. We're crazy but we're not stupid.”

Apple Inc.

- “Here's to the crazy ones. The misfits. The rebels. The troublemakers. The round pegs in the square holes. The ones who see things differently. They're not fond of rules. And they have no respect for the status quo. You can quote them, disagree with them, glorify or vilify them. But the only thing you can't do is ignore them. Because they change things. They push the human race forward. And while some may see them as the crazy ones, We see genius. Because the people who are crazy enough to think they can change the world, Are the ones who do.”

Steve Jobs

- “Part of what made the Macintosh great was that the people working on it were musicians, poets, and artists, and zoologists, and historians. They also happened to be the best computer scientists in the world. But if it hadn't been computer science, these people would have been doing amazing things in other fields. We all brought to this a sort of “liberal arts” air, an attitude that we wanted to pull the best that we saw into this field. You don't get that if you are very narrow.”
- “Remembering that I'll be dead soon is the most important tool I've ever encountered to help me make the big choices in life. Because almost everything — all external expectations, all pride, all fear of embarrassment or failure — these things just fall away in the face of death, leaving only what is truly important. Remembering that you are going to die is the best way I know to avoid the trap of thinking you have something to lose. You are already naked. There is no reason not to follow your heart.”
- “When you grow up you tend to get told that the world is the way it is and your life is just to live your life inside the world. Try not to bash into the walls too much. Try to have a nice family, have fun, save a little money. That's a very limited life. Life can be much broader once you discover one simple fact: Everything around you that you call life was made up by people that were no smarter than you and you can change it, you can influence it, you can build your own things that other people can use. The minute that you understand that you can poke life and actually something will, you know if you push in, something will pop out the other side, that you can change it, you can mold it. That's maybe the most important thing. It's to shake off this erroneous notion that life is there and you're just gonna live in it, versus embrace it, change it, improve it, make your mark upon it. I think that's very important and however you learn that, once you learn it, you'll want to change life and make it better, cause it's kind of messed up, in a lot of ways. Once you learn that, you'll never be the same again.”
- “I'm convinced that about half of what separates the successful entrepreneurs from the non-successful ones is pure perseverance. It is so hard. You put so much of your life into this thing. There are such rough moments in time that I think most people give up. I don't blame them. It's really tough and it consumes your life. If you've got a family and you're in the early days of a company, I can't imagine how one could do it. I'm sure it's been done but it's rough. It's pretty much an eighteen hour day job, seven days a week for awhile. Unless you have a lot of passion about this, you're not going to survive. You're going to give it up. So you've got to have an idea, or a problem or a wrong that you want to right that you're passionate about

otherwise you're not going to have the perseverance to stick it through. I think that's half the battle right there."

- "When you ask creative people how they did something, they feel a little guilty because they didn't really do it, they just saw something. It seemed obvious to them after a while. That's because they were able to connect experiences they've had and synthesize new things. And the reason they were able to do that was that they've had more experiences or they have thought more about their experiences than other people... Unfortunately, that's too rare a commodity. A lot of people in our industry haven't had very diverse experiences. So they don't have enough dots to connect, and they end up with very linear solutions without a broad perspective on the problem. The broader one's understanding of the human experience, the better design we will have."
- [Taking LSD was] "one of the two or three most important things" [Steve Jobs had done in his life].

David Swenson

- "Establishing and maintaining an unconventional investment profile requires acceptance of uncomfortably idiosyncratic portfolios, which frequently appear downright imprudent in the eyes of conventional wisdom."

Ian Cassel

- "You might not get any recognition or even a thank you, but the sacrifices you make to help others don't go unnoticed. The kindness you extend to others almost always comes back to you in multiples in the most unexpected ways."

Nassim Nicholas Taleb

- "Yes, take risk, and if you get rich (which is optional), spend your money generously on others. We need people to take (bounded) risks. The entire idea is to move the descendants of Homo sapiens away from the macro, away from abstract universal aims, away from the kind of social engineering that brings tail risks to society. Doing business will always help (because it brings about economic activity without large-scale risky changes in the economy); institutions (like the aid industry) may help, but they are equally likely to harm (I am being optimistic; I am certain that except for a few most do end up harming). Courage (risk taking) is the highest virtue. We need entrepreneurs."
- "Don't tell me what you 'think,' just tell me what's in your portfolio."

Sebids Capital Fund Structure

I'm starting my investment partnership now, though it's effectively already running with a single-digit number of investors.

I'm a one-person investment-committee.

I use a 0/6/25+high-watermark fee structure. I don't take management fees for simply hoarding AUM. I get paid if I perform better than 6% annualized. I take 25% of the profits above 6% annualized.

As I don't have a track record, I don't expect any inflows for the foreseeable future.

Munger says: "I think track records are very important".

I don't have one. So, you should listen to Mr. Munger and not give me capital.

That is, unless you would like to take a huge risk, know me, or somehow, without any basis of track record, think it's an achievable goal for me to outperform 6% annualized and think, for mysterious reasons, a weird kid from the internet could give you the best run for your money.

As we know, investment knowledge, wisdom, and skills compound over decades. This means, as of today, in all likelihood, although I'm the best investor I've ever been (since starting 16 months ago), I have (a lot of) room for improvement.

The reason why I'm directly starting a partnership is that there is not all too much of a difference between managing my own portfolio actively and running capital for others. There's no reason not to start with both. The track record will be the same. And I might as well get used to writing letters. Assume that I'll perform well over the years - then people can see not only the performance, but also the correlating genesis and my own way to approach investments. I just don't see why I shouldn't assume the form of a de facto investment partnership.

Even without LPs, I can still generate value for others, show consistency, etc. If anything, I like the investment community for sharing their ideas. If it wasn't for those people writing quarterlies, I wouldn't have started my own partnership. I don't want to simply give back. I want to give first.

Unfortunately, as of this moment, I don't have any legal structure for Sebids Capital. But to be honest, as of now, I couldn't afford any structures, legal fees, audits, or lawyers either. So, if somebody wants to seed this partnership, they have to help me to make it happen. If it doesn't happen now, I perfectly understand why. It wouldn't represent a failure if it wouldn't happen right now. The important thing is track record. This won't be my last letter. If my track record is any good, over a reasonable long period of time, upgrading the legal structure won't be a problem.

Nonetheless, I can tell you that I'm *all in*. My focus is on compounding after tax capital with the highest CAGR I can achieve with the least amount of risk taken. I trust the wonder of compounding over decades. And performance is only to judge after many years.

It might amuse you to know how little capital I have. But it matters not. I think, if I'm good enough, my compounding engine should escape capital gravity over the next decade, as my fixed living costs of less than \$1,000 per month should drain my reserves less and less.

For practical reasons, I'm very open to manage separate accounts, too.

Sebids' Capital Services

I offer my services to evaluate your portfolio. You tell me what you own, and the percentage allocation (and as much depth of information as you like), and I will give you an opinion about it. If you pay me well, I won't only poke holes in your portfolio, but I'll also supply you with ideas I consider to be promising, or, if I can, to be more promising than what I found in your portfolio.

I charge \$500 per assignment for individuals, no less than \$1000 for clients with more than \$1mn in net worth or other portfolio managers, hedge funds and institutions. For prospective clients with more than \$50mn, I charge \$2000. I do not ask for proof of net worth, I'll simply trust you.

It's much easier to avoid bad things than to do good. I've seen a couple of portfolios now, and I can assure you, for what I've seen, I strongly believe I added value in regard to preventing others from their "optimism", etc.

If I'm not useful to you at all, I'll give you your money back. But only if it's a matter of content - not if you are offended by what I think about your portfolio, because that's what you pay me for.

There's no reason not to offer my services. I'm not offering anything I wouldn't buy myself if I were in your position. For the last 16 months, I've been reading about thousands of companies. I don't believe that there is a great quality difference left that I cannot close with some years of experience. In regard to the amount of data I'm crunching, or companies I'm researching, I try my best to make it challenging for others to keep up with me.

Another service I offer you is that you may tell me a public company, and I will look into it and tell you my opinion. Prices depend on too many variables and will be discussed on an individual basis.

2018 Annual Letter Investment Idea Warehouse

Beyond my services, I offer you ideas. As of my first annual letter, I have four different ideas for sale, all of which I hold in my portfolio but do not publicly write about later in my letter.

Before I tell you my reasons for doing so, let me answer in what way I will carry the downside if my ideas aren't any good. This is necessary, as it'd be too easy otherwise. In regard to the downside, I hereby publicly promise that, as long as I'm selling investment ideas, I will list their performance in a table in my annual letters, which I plan to write for many years to come. Think of my annual letter more as like a book. In the book will be this table showing the impact of my recommendations. I believe it would be a bad advertisement for my person and my fund, and ensures that I'm not simply selling snake oil and moving on.

Please be aware that I'm selling you a static snapshot of a moving company. Metaphorically, I'm selling you a barrel of fish. After that, it's up to you what to do with it. One of Monish Pabrai's Ten Investment Commandments says: "Thou shall accept I shall be wrong one-third of the time", so don't forget to apply that rule to my ideas.

Now the reason I'm offering my insight on such a granular basis is that, in relation to my own AUM, I'm looking for additional sources of revenue that won't affect my focus on compounding and my companies. Inverted, if I would manage a certain amount of AUM, and not only my own money, I likely wouldn't sell ideas. Below is a list of ideas that I currently offer and for what price:

1. A sub \$100mn market cap US microcap I love, which is 10% of my portfolio. It's the kind of idea that should compound above average for a long-time. I don't want the market to know about this company, as it would only inflate the price. This story is about the long-term compounding of intrinsic value - not just a mere mispricing. Although it is certainly mispriced, one wouldn't feel comfortable paying up an egregious multiple (yet!), simply because it is below \$100mn in market cap. Intrinsic value should accrue here relatively quickly. Unfortunately, it has been written up on MicroCapClub before (although I don't know their writeups or this particular writeup, as I don't have access to their platform, yet) and has been mentioned on ValueInvestorsClub, too. I'd be disgruntled if it wasn't a +2x in exactly the next three years. I sell the idea and a writeup for \$200. I think the idea itself is more a matter of detection: Either you know it, or you don't. At least no hedge fund has mentioned it yet.
2. It's not a particularly well-hidden story. For \$150, I offer you a document that compiles analyses from every relevant source I could find about this large cap company. It's my largest holding.
3. Is a sub \$1bn market cap pre-spin off special situation (which will materialize this year) that shouldn't lose you money and give you a decent return. From the perspective of risk-adjusted return, and from all the companies I've read about in everybody else's quarterlies, I think it's in the top 5% of ideas. I'm selling the idea and a short write-up, showing you the margin of safety qualities for \$750, as one can deploy a lot of capital here. It's 10% of my

portfolio. It will be more when the spin-off comes closer. I'm just not experienced in regard to when stocks usually go up pre-spinoff, so I'm happy owning it well in advance. I sleep very well on it. The company is both indispensable and indestructible. If I should get this one wrong, the upside won't be as great as I'd like it to be. I don't see sustainable downside because the spin-off should make the value of the business parts clearer. There are no writeups about this one on any investment-related internet site, so I charge a little premium.

4. Is an "Ick" stock trading for less than 1/3 of conservatively calculated net-asset value on a sub \$200mn market cap. Part of their business is impaired, while the market ignores the rest of the business and their beautiful balance sheet. The valuation probably won't stay low, as part of their portfolio will IPO in 2020. This is not a spin-off, it's just that the business owns parts of another business that will go public. I only mention 2020 as a conservative timeframe. I doubt Mr. Market will take much time to realize he's been in a particular grim mood about this "Ick" stock. Management and directors have been buying over the last 12 months – for prices between 2x and 3x of where it's trading now. There has been no insider selling. I will send you a quick 5-pager on it, where I use Draconian assumptions to calculate NAV. I'm betting that, even though it's "Ick", it's worth much more than 1/3 of conservative NAV. Total equity, which is understated if one would calculate the market value of some of their investments that trade publicly, is currently ~+3.5x higher than market capitalization. Currently, I only have 3% of my capital at work here. I wish it was more, but because of a situation last week, it fell directly from my general watch list to the absurdly priced list. It's not clear how bad things actually will be. My conservatively calculated NAV already embeds very harsh assumptions about the consequences of the aforementioned situation. I don't own more, so far, because I fell for the same "Ick" trap and was previously deterred to do more research. At current prices, I can't refuse Mr. Market any longer. I hope I can buy even more when I read more than only recent documents, but I doubt that this one will stay cheap for long. Management, which used the term "strategic alternatives" in the last call, thinks it's worth more than 4x according to their last IR presentation in the low case, which I consider reasonable. Sellers are rather desperate. You won't love the business, but it should make you money. I offer it to you for \$200.

Lastly, I offer snapshots of my current watchlists for \$200. These ideas are sorted in Interactive Brokers by market cap and/or in Yahoo Finance watchlists. They represent my fish barrels.

If you buy everything altogether, you're allowed to bargain with me. And, of course, I want to make you feel like you've found some great value for a cheap price.

Before I let you enjoy my 56 pages of actual investment write-ups, I'd like to say thanks to a few investors, from whom I've learned a great deal and read with great joy. I owe it to you that I am now starting my own investment journey. You empowered me and you surprised me. I didn't expect that my path of self-education would lead me beyond the attitude of "surviving capitalism", to find a network of individuals where philosophy, compounding, tackling hardships, studying incentives, worldly thinking, thinking in ROI, timely acting, sharing ideas, and ultimately changing the world all comes together. I realized capital allocation is an honorable craft.

Thank you, Monish Pabrai, for everything. The Dakshana foundation you founded together with your wife, Harina Kapoor, is something I tell everybody about. To me it shows the power of (cloning) great ideas and the power of individuals. The Dakshana students make me very bullish when it comes to the improvement of our world. Please don't ever have the idea of a Dakshana school of compounding. I'd have to create myself yet another job!

Thank you, Charlie Munger. I enjoyed your texts and speeches compiled in “Poor Charlie's Almanack”, by Peter D. Kaufman. If it wasn't for your many comments about reading, I would have never believed that investing is for everybody and not just some. They made me feel welcome.

Thank you, Warren Buffett. You said: “All along, I've felt the money was just claim checks that should go back to society. I am not an enthusiast for dynastic wealth, particularly when the alternative is six billion people who've got much poorer hands in life than we have, getting a chance to benefit from the money.” You are my inspiration that one can contribute helping the not so lucky one's by means of capital allocation. All my life I've been thinking about the ovarian lottery, and it is in your spirit that I intend to better it.

Thank you, Scott Miller from Greenhaven Road Capital. If I only was allowed to read one quarterly letter per quarter, I'd read yours. You are very generous in sharing your thoughts.

Thank you, Adam Wyden from ADW Capital. The few things I was able to find from you on the internet were great. You're a role-model for me both in rigorous analysis as well as in writing letters to management in a super-rational way.

Thank you, Tao Value. I've been enjoying your letters. You also started with a 0/6/25 fee structure and I'm thrilled to watch your performance.

Thank you, Steven Wood from Greenwood Investors. I'm bullish on your performance. The only reason I haven't read all your letters yet is that you've written so many already. It's clear, you're ever-improving. Your thoughts on conscious capitalism are inspiring and your quality investments are spot on. Lastly, you deserve an award for having the best presentations!

Thank you, John Huber from Saber Capital Management. Your thoughts on large-caps make sense to me. Furthermore, you improved my investment skills by pointing out just how much the context of a P/E-ratio matters. You make it look easy when you write that your preferred definition of value is the present value of future cash flow. Without your work on Tencent, I wouldn't have come to the conclusion that a multiple of +20x FCF can in fact be too cheap.

Thank you, Keith Smith from Bonhoeffer Capital. I am deeply moved by your decision to name your fund after Dietrich Bonhoeffer. It's things like these that I never would have expected in the investment world. Thank you for sharing your wisdom with me!

Thank you, Samir Patel from Askeladden Capital. If there's somebody nerdy enough to actually read my whole letter, I'd bet on you. I can subscribe to what you wrote in your last quarterly: “Most people who don't know me personally assume that my decision to launch Askeladden was somewhere along the spectrum from brave to daring. In reality, it was more desperation than anything else: I didn't exactly have a lot of other options. I am what you would call unemployable.”

Thank you, Chamath Palihapitiya from Social Capital. What you're up to is very far away from my everyday life, but I think “Social Capital” is great. “Companies solving the world's hardest problems are often those with the fewest competitors.”

Thank you, Joel Greenblatt, for starting VIC and writing your books, which showed me where the fish are. I hope your spin-offs are doing well.

I also want to thank Avi Fisher, Fred Liu, Ryan O' Connor, Dave Waters, Steven L. Kiel, Aaron Edelheit, Dan Roller, Matt Sweeney, Toby Carlisle, Guy Spier, Alice Schroeder, Chris Mayer, Ian Cassel, Sean Iddings, Robert Vinall, Andrew Jakubowski, Connor Haley, Eric Gomberg, and Connor Leonard. All of

you positively influenced me in one way or another. Thank you all for writing and sharing your wisdom, your ideas and your comments. I've learned a lot from you, and I am sure I will continue to.

Avi Fisher admirably calls himself "Chief Curiosity Officer". Fred Liu taught me that "Earnings Growth=ROIC*Reinvestment Rate" and that "Most of the value typically lies in a business' terminal value (i.e. long-term earnings power)". Ryan O' Connor taught me to only go for the biggest and best opportunities; He recently founded Crossroads Capital, which has a fee structure modeled after the Warren Buffett partnership, and it will be terrific. Dave Waters is a great and reliable source to learn about small-caps. Steven L. Kiel taught me about "balance sheet to income statement investing" and has the best quotes section of all quarterly letters. Without Aaron Edelheit, Dan Roller, and once again Scott Miller, and their shared investment in a Californian Winery, I would have naturally assumed the times were long gone that one could buy shares in companies that have assets worth many multiples their current share price. It enforced my disbelief that one can't beat the markets. Additionally, Dan Roller taught me about the wonderful mental model "granny style", which I intend to apply in my investments as much as I can. Matt Sweeney is a great role-model in regard to in-depth research, hit-rate, and originality. I can strongly recommend reading all his well-written ~330 pages of research, quarterlies and interviews he published over the last three years. Early into my 16-month learning binge, I stumbled upon Toby Carlisle. Because of that, I always think about him when I think about EV/EBIT (which happens rather often). I look forward to read his books! Guy Spier wrote the book *The Education of a Value Investor*, which, as he writes, is one long thank you note for others. The long list of people he thanks is itself an inspiration. Alice Schroeder wrote the book *The Snowball: Warren Buffett and the Business of Life*. It's a stunning book, and her ability for lively detail is extraordinary. Chris Mayer's book, *100-Baggers*, made quite the impression on me. He definitely changed the way I think about companies, to the extent that considering their 100x-potential became a framework for me. I think it is an edge, because if people normally worry about the next quarter, there simply won't be many who dare to look for a 100x. Following from that lesson, Ian Cassel taught me that two subsequent 10x in a row should be sufficient to get oneself started. Ian is the good soul empowering the individual investor in small cap universe. Sean Iddings is the Co-Founder of the Intelligent Fanatics Project, which, like the MicroCapClub, is a huge boon for the investment community. Connor Haley just started Alta Fox Capital, which focuses on micro-caps, and I believe it will be tremendously successful! Robert Vinall celebrated his ten-year-anniversary of his successful Business Owner Fund last October and wrote, "I hope my story serves as an inspiration to go off and start a fund and not feel bound by current conventions". I hope I will fulfill his criteria of not feeling bound by current conventions! Andrew Jakubowski does great first-hand research on many different, off-the-beaten-path companies. If it wasn't for Eric Gomberg's valuable efforts, SPAC-investing would have been an abstract concept for me, only known from Greenblatt's books. Last but not least, I learned about reinvestment moats thanks to Connor Leonard.

Once again, all of you were so generous with your contributions, quarterly letters, blog posts, and Tweets. There was simply no way I could have read them all without at least thanking you.

Until next year,
Sebids

February 7th, 2019

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If you enjoy my writeups, or want to help me create my own snowball, I wouldn't decline contributions for that cause, possible at <https://www.patreon.com/sebids>.

YY Inc.

What is YY?

“YY Inc., through its subsidiaries, engages in the live streaming business in the People's Republic of China. The company operates YY Live platform, an online music and entertainment live streaming service; and Huya platform, a live streaming platform, including online games, console games, mobile games, entertainments, sports, etc. Its platforms enable users to interact in live online group activities through voice, text, and video. The company's primary product is YY Client, which enables users to engage in live streaming online; and offers access to user-created online social activity groups.”¹

- YY full-time employees: 3,336
- ~88mn average mobile MAUs in 3Q18
- ~8mn live streaming paying users

What does one pay for it?

There are roughly 65mn shares outstanding and YY is currently priced around 65\$ per share. Subsequently, YY's market cap equals \$4,225mn.

As an aside, I consider market capitalization, from a buyer's perspective, to be more like the *extrinsic price*. If we speak in such terms, maybe over time it's easier for some to differ between market capitalization and enterprise value, where the EV adjusts for *intrinsic price*, e.g. adjusts for certain parts of the balance sheet as well as investments. In this specific case, for reasons of conservatism, we only subtract cash and cash equivalents and short-term deposits: \$4,225mn-\$717mn-\$1,209mn=\$2,299mn, or rounded: \$2.3bn EV.

Lastly, we exclude YY's investments in Bigo and Huya.

Huya

According to Huya's prospectus, YY owns 44.5% or 89,698,282 of Huya's shares. Huya currently is priced at \$17. Subsequently, the look-through value for YY equals \$1.525bn.

Huya resembles Twitch as it is a gaming focused livestreaming platform, mainly competing against Douyu, which also resembles Twitch.

Tencent invested in both Huya and Douyu, and it's possible, maybe even likely, that Huya and Douyu will merge at some point.

Bigo

YY is the largest shareholder of Bigo, as they led their series D round and invested \$272mn. YY was an early investor of Bigo, where they acquired a 27.8% stake. YY has the right to purchase a controlling stake of Bigo one year after the series D. Conservatively, I can subtract another \$300mn from YY's EV.

Bigo is a livestreaming/short-video platform operating outside of China. It has more than 40mn MAUs and has a reasonable chance to achieve more than \$1bn in revenue in the not so distant future. I believe Bigo could be a great winner.

David Xueling Li is the co-founder and CEO of both YY Inc and Bigo. As YY is a big investor in Bigo, I don't worry too much about a possible conflict of interest between the two entities.

¹ <https://finance.yahoo.com/quote/YY>

All in all, we're not paying much, taking YY's balance sheet and investments into consideration.²

What is it conservatively worth, steady-state?

YY roughly has \$100mn per quarter in net income, which is \$400mn per year. At a PE of 15, that's worth \$6bn (on a FCF basis, apparently it's a little bit better).

On a per share level, YY's GAAP EPS was \$1.46. Annualized, this equals \$5.84. At a 15x multiple, it's worth \$87.6, excluding any intrinsic price adjustments.

What is it conservatively worth dynamically and as a developing, growing company via typical multiples and valuation approaches?

For FY19, we have 17 analysts guessing YY's EPS. On average, they guess YY will earn CN¥55, which roughly equals \$8. The lowest guess equals CN¥43.9, or \$6.36. Again, on a 15x multiple, discounted with 10%, that's: $\$6.36 * 15 * 0.9 = \85.86 , excluding the balance sheet.

For FY20, we have 14 analysts guessing YY's EPS. On average, they guess it'll be CN¥66.715, which roughly equals \$9.67. The lowest guess equals CN¥54.13, or \$7.85. Again, on a 15x multiple, discounted with 10% twice, that's: $\$7.85 * 15 * 0.9 * 0.9 = \95.38 .

All this once again excludes any intrinsic price adjustments.

Why do I think it's a good idea? Where's my edge? Where does my perception about livestreaming (and YY) differ from the major consensus narrative?

I think a great way to understand "livestreaming" is to refer back to Ray Bradbury's *Fahrenheit 451*. Just as a reminder, the book is set in a totalitarian society and ends with a group of exiled book people.³ Books are forbidden, and one of the main jobs of firemen is to burn books.

The protagonist, Montag, is such a fireman (who comes to consciousness about himself and his surroundings throughout the story) and has a wife.

His wife is called Mildred, or Millie⁴. I'm going to quote Wikipedia⁵ about Millie, and then *Fahrenheit 451* itself, to further drive my point home as to why I think YY is a good investment idea:

First, the Wikipedia description of Millie⁶:

Millie is "addicted to sleeping pills, absorbed in the shallow dramas played on her "**parlour walls**" (flat-panel televisions), and indifferent to the oppressive society around her. She is described in the book as "thin as a praying mantis from dieting, her hair burnt by chemicals to a brittle straw, and her flesh like white bacon." Despite her husband's attempts to break her from the spell society has on her, Mildred continues to be shallow and indifferent. After Montag scares her friends away by reading *Dover Beach*, and finding herself unable to live with someone who has been hoarding books, Mildred betrays Montag by reporting him to the firemen and abandoning him, and dies when the city is bombed."

² Sorry for being really that rough in my summary, but simplicity is something important to me. It must be simple enough that even I have a chance. I try to find things which don't make sense combined with quality and where I surely don't need a calculator but only common-sense and some years of training in the fine art of basic calculation.

³ The book people are led by a man called Granger. My best guess about J.K. Rowling's Hermione Granger is that she got her name from this individual, who is particularly skilled in memorizing books.

⁴ Surely short form for "Millennial".

⁵ Thank you, Wikipedia. I'm forever indebted to the contributing users. The return on humanity is wonderful, and in my opinion, deserves many more resources because of its underappreciated long tail benefits. I owe my former schools very little (actually they owe me my time) as far as (something like) valuable knowledge goes, but I owe a lot to Wikipedia.

⁶ https://en.wikipedia.org/wiki/Fahrenheit_451

And second, a quote from *Fahrenheit 451* (I boldened the key parts):

"Yes," he said. "I wanted to talk to you." He paused. "You took all the pills in your bottle last night."

"Oh, I wouldn't do that," she said, surprised.

"The bottle was empty."

"I wouldn't do a thing like that. Why would I do a thing like that?" she asked.

"Maybe you took two pills and forgot and took two more, and forgot again and took two more, and were so dopy you kept right on until you had thirty or forty of them in you."

"Heck," she said, "what would I want to go and do a silly thing like that for?"

"I don't know," he said.

She was quite obviously waiting for him to go. "I didn't do that," she said. "Never in a billion years."

"All right if you say so," he said.

"That's what the lady said." She turned back to her script.

"What's on this afternoon?" he asked tiredly.

She didn't look up from her script again. "Well, this is a play comes on the wall-to wall circuit in ten minutes. They mailed me **my part** this morning. I sent in some boxtops. They write the script with one part missing. It's a new idea. The home-maker, that's me, is the missing part. When it comes time for the missing lines, they all look at me out of the three walls and I say the lines: Here, for instance, the man says, 'What do you think of this whole idea, Helen?' And he looks at me sitting here centre stage, see? And I say, I say --" She paused and ran her finger under a line in the script. " 'I think that's fine!' And then they go on with the play until he says, 'Do you agree to that, Helen!' and I say, 'I sure do!' Isn't that fun, Guy?"

He stood in the hall looking at her.

"It's sure fun," she said.

"What's the play about?"

"I just told you. **There are these people named Bob and Ruth and Helen.**"

"Oh."

"It's really fun. It'll be even more fun when we can afford to have the fourth wall installed. **How long you figure before we save up and get the fourth wall torn out and a fourth wall-TV put in? It's only two thousand dollars.**"

"That's one-third of my yearly pay."

*"It's only two thousand dollars," she replied. "And I should think you'd consider me sometimes. **If we had a fourth wall, why it'd be just like this room wasn't ours at all, but all kinds of exotic people's rooms. We could do without a few things.**"*

Later:

"You can't be sick," said Mildred.

He closed his eyes over the hotness. "Yes."

"But you were all right last night."

*"No, I wasn't all right " He heard the "**relatives**" shouting in the parlour.*

Mildred stood over his bed, curiously. He felt her there, he saw her without opening his eyes, her hair burnt by chemicals to a brittle straw, her eyes with a kind of cataract unseen but suspect far behind the pupils, the reddened pouting lips, the body as thin as a praying mantis from dieting, and her flesh like white bacon. He could remember her no other way.

"Will you bring me aspirin and water?"

"You've got to get up," she said. "It's noon. You've slept five hours later than usual."

"Will you turn the parlour off?" he asked.

"That's my family."

"Will you turn it off for a sick man?"

"I'll turn it down."

*She went out of the room and **did nothing to the parlour** and came back. "Is that better?"*

"Thanks."

"That's my favourite programme," she said.

"What about the aspirin?"

"You've never been sick before." She went away again.

"Well, I'm sick now. I'm not going to work tonight. Call Beatty for me."

"You acted funny last night." She returned, humming.

"Where's the aspirin?" He glanced at the water-glass she handed him.

"Oh." She walked to the bathroom again. "Did something happen?"

"A fire, is all."

"I had a nice evening," she said, in the bathroom.

"What doing?"

"The parlour."

"What was on?"

"Programmes."

"What programmes?"

"Some of the best ever."

"Who?"

"Oh, you know, **the bunch.**"

"Yes, the bunch, the bunch, the bunch." He pressed at the pain in his eyes and suddenly the odour of kerosene made him vomit.

Mildred came in, humming. She was surprised. "Why'd you do that?"

He looked with dismay at the floor. "We burned an old woman with her books."

"It's a good thing the rug's washable." She fetched a mop and worked on it. "I went to Helen's last night."

"Couldn't you get the shows in your own parlour?"

"Sure, but it's nice visiting."

She went out into the parlour. He heard her singing.

"Mildred?" he called.

She returned, singing, snapping her fingers softly.

"Aren't you going to ask me about last night?" he said.

"What about it?"

"We burned a thousand books. We burned a woman."

"Well?"

The parlour was exploding with sound.

"We burned copies of Dante and Swift and Marcus Aurelius."

"Wasn't he a European?"

"Something like that."

"Wasn't he a radical?"

"I never read him."

"He was a radical."

What is livestreaming?

Livestreaming, as far as I can see it for now, because it encompasses not only audio and video, but also interaction and competition, is currently the most advanced form of mass media development. The connection between this new media form and *Fahrenheit 451* is as follows: Bradbury, through Millie's participation in the shows on the parlour walls, creates and perceives social interaction as content consumption; Livestreaming sublates the interactive possibilities of gaming with the abundant choices of television channels. It's mostly passive but with the illusion of active as a cherry for all its participants. This fits the general character of the masses: Few lead, many watch and cheer, regardless of content or direction, and everybody gets the feeling of being a part of something bigger. Livestreaming enables exactly this with less friction. All can be part of this new godly eye of the stream, creating what's important in the here and now, where importance is a function of the number of the participants in the stream. Investors might find it interesting that this new medium of "social proof" could now be a worthwhile investment idea itself. It is more than just the news, as it is eternal. And everybody can be famous, not only for fifteen minutes, because everyone may partake in the stream.

I think it's important here that Bradbury's scenario, as he describes it, is without any unlikely, abstract, and silly futuristic step further. There was nothing unlikely about the parlour wall, because the historical trend to it, although not deterministic, apparently was already there many decades ago. But only now (now in the sense of the fictional future time in the book) do the technical possibilities allow it to emanate.

It's actually hard for me to imagine the next possible step of this media development, besides that livestreaming might as well be done via screens other than mobile ones, like VR glasses: You are immersed in another person's vision, which only requires a networked VR glass with a camera on the livestreamer's side. This is a new market of other people's live experiences.

Combined with interactive capabilities, other humans, from the perspective of the buyer/audience, become avatars, and computer games are not just games anymore but what now is called "real life". Real life becomes the game⁷. Right now, you pay streamers for actions and the screens keep some distance. On the one hand side, there's a "virtual" action, on the other, a "real" one. How will streaming look when we get to screenless, when one's eyes are the newest market frontier? How will audience and streamers interact, when we use immersive technologies instead of distancing screens?

In my opinion, livestreaming is not understood for what it truly is. It's not just a method to see other people sing or play, or to interact or play with the streamer(s) as a streamer or viewer. Livestreaming is itself a medium. And in some ways, because the medium is the (recursively empty) message, it's here to stay. This is why I bet that the impact of livestreaming is underestimated, and, consequently, its economic relevance, runway, staying power, and, foremostly, market size. Lastly, higher ARPU should follow societal relevance, revealing streaming to be very relevant to society.

If you would ask me about livestreaming's content, just like Guy Montag asks, "What's the play about?", my answer would be the same as Millie's: "There are these people named Bob and Ruth and Helen". This is the content. And precisely its shallowness and sameness – as it resembles a closed circuit, but a social one – are the source of longevity. Never before in history have people had the ability to browse through and watch many other people in the same way one peruses through a megastore or a zoo.

⁷ Something already happening, just as in the gaming livestreaming world - there are real life channels among other gaming channels.

YY's Qualities

To put it bluntly, I like YY because of its current price-to-value mismatch (which inherently already implies a margin of safety, and, to some extent, a part of my due-diligence) and for the resemblance between Huya and Twitch (which I treat as an additional cheap option, by the way). I also cannot find another property this cheap in the livestreaming sector with such a significant potential (long-term compounding, cash-machine, margin of safety), nor can I find many other ideas with a similar level of cheapness. I want to own the property of a decentralized media “station” with around a hundred million MAUs, for roughly \$4bn in extrinsic price. The intrinsic price is a conundrum. I would buy even more YY if I weren’t a little scared by its cheapness (and didn’t have so much other China exposure). I’m okay that there are some other modern television stations equally as big around. Cultural reasons almost always result in the existence of at least a couple different media stations. Viewed from some distance, it seems these entities are dependent on their respective competition.

In regard to livestreaming MAUs: The very word “user” stems from the perspective of old media. In truth, a television MAU is something completely different than a user that is active in an ecosystem, building their own brand as a streamer or e.g. on Instagram or Twitter.

Currently, how I perceive it, Netflix MAUs or e-commerce MAUs, for example, although they themselves aren’t even part of an economy of sub-economies, are probably treated in the same way as Facebook, YouTube or other more participating MAUs. By simply differing between MAUs and MPUs, I think, I could have an analytic edge here. I bet on the livestreaming sub-economy, where “user” doesn’t really caption what’s happening. I don’t think many people would say “I’m invested in Netflix” (nothing against Netflix, it’s probably a decent platform for a classic, passive form of consumption “fitting your tastes”⁸). For many, something like Instagram is nothing less than a personal, individual brand. It’s the same with livestreaming. You build your audience and you have your audience. It forms social connections.

I have the suspicion that better user analysis could be a reasonable source of alpha in the markets. The “MAU” metric is just too broad; it doesn’t allow for any break down of users by categories like wealth, activeness, stickiness, enthusiasm, and so on. Still, it is deployed as if it were as precise as measures like “revenue” and “shares outstanding”, all despite revealing only a limited information set.

The qualitative factors of YY seem to be fine. It is led by its founder CEO, management owns shares, and earnings call transcripts read solidly. I can understand that management wanted to buy it out in 2016/relist YY in mainland China after their share price didn’t move for two years, and people were bidding up Chinese mainland equities to egregious multiples.

The company historically has had a buyback program, though it currently has none. Nonetheless, at least in the near term, after which point their share buyback program may be reinitiated, I believe it is still difficult to find anything cheaper than their own shares.

With regard to the recent deal with Tencent and Huya – well, such behavior on Tencent’s part is pretty typical. People might be disappointed with YY management, but currently the market believes that Tencent basically stole Huya from YY. I reject such sentiment. If I’m right, then YY’s current share price reflects disappointment, when, in fact, it should have been joy.

All things considered, a self-monetizing user base of low-cost content producers seems like a better and safer bet than a passive user base, assuming price per user is held constant and other fair comparisons. Another problem with MPUs is that, no matter how well the content is managed for them, no matter how close the company is to their customers, no matter how well their content AI is, one thing to be learned over the last one hundred years would be that the dominant mass

⁸ Which I never ever have used so far. I perceive it as digital television.

medium itself changed often enough that I think it's not always prudent to approach investing from a content perspective alone. Content alone surely can't be "king" when the medium itself changes. The *raison d'être* for livestreaming is that the users themselves create content. They then receive money for being a part of the platform, as they effectively create the platform's revenue. This is combined with a new, nonlinear model of monetization, where attention means money, where fame means money, where money means influence, where spending money basically is a contest, etc.

When it comes to money, fame and influence, I have another hypothesis about livestreaming, particularly about its monetization and payment structure.

Let me stride here at least a little bit.

Unfortunately, I think most of humanity consists of cynics, dwellers in self-pity, and masochists. Because of a lack of a better world and better societal structure, many people can't break out of the cycle of trading their time, work, and energy for money, all without ever being able to save enough or compound to a point where their capital is their lever to give them some margin of safety in their life (but equally as many just refuse to play their dealt hand). And the lack of a margin of safety results in a constant state of paranoia, fear, hatred, cynicism and masochism.

My theory about this is that, because people know and/or feel that they can't make it⁹, they treat their money as if they were taking revenge on capital and capitalism itself, and they feel forced by capitalism to do so¹⁰. This happens especially in the area of "free time", where people try to avoid reminders of their painful state of being dependent on their labor. And to get rid of the accompanying reminder, people waste their capital, not mindlessly, but to be or become mindless. As a result, they make their situation even worse for themselves, as they waste a scarce resource, capital, the primary resource of second nature and source of societal, productive potential.

Historically, in such cases, people spent on e.g. gambling, on questionable, namely painkilling drugs, and on numbing-mummifying media. Investing in livestreaming is not merely an investment antithesis to passive media like television, as the moat of passive television lies in the forced "active lives" of the large sect of followers of the *curriculum vitae*. It's simply a new, distinct medium with a very interesting character in regard to how money is treated.

Global instant communication also means that the circuitry between money and power, fame and influence, is shorter than ever before.

Microtransactions in livestreaming equal attention, fame, status, and influence.¹¹

And because of this particular characteristic of livestreaming as a medium, that users treat money as if it were something else, the best livestreaming companies will make a fortune, and for a longer than currently expected time.

Why are lotteries so sticky? Because they have the cultural moat of symbolizing the chance to get elevated by a higher power. Livestreaming symbolizes "having a chance". The majority of Chinese kids really do want to become influencers. If there were a market for it, I'd bet that this won't change

⁹ Yes, many really just cannot, because the psychological forces are worse than hell, as they change your soul and character. There are way too many jobs nobody really ever truly wanted to do! My honest opinion about people who really think absolutely everybody can do anything is that they partake in the modern equivalent of whipping slaves, but even worse, as they don't even acknowledge that others can't make it. They are stuck in such an ideology, which is ultimately something they need for themselves. Their repetitiveness of shouting "you can do it", this pounding in whilst shouting it out, reveals the ideological aspect, which ultimately means: It's not true. Maybe humanity will come to a point where everybody can do anything and so on. But we're not there yet, and knowing this whilst not being ideological is hell.

¹⁰ A discussion about if capitalism really forces people to work or to carry out other actions is beyond the scope of this letter.

¹¹ To really drive the point about how important the transaction mechanism of livestreaming really is, it might be interesting to know that there are even pornographic livestreams where the audience's monetary microtransaction is connected to a vibrator.

any time soon. It's not that they all want to become Pokémon trainers. Their dream is a certain kind of job. Maybe livestreaming embodies a process of individualization? In China, probably even more so than the rest of the offline western world, physical locations where the youth is left alone by the state, the party, their schools, disciplinary agents, and so on, are very scarce.

From the angle of ad monetization, livestreaming, although it has the users, currently isn't monetized all that well. In fact, it underearns. But ads follow user bases (after user data collection, and in China, on an individual level?). So why is livestreaming undermonetized? Outside of the fact that it is a relatively new industry/media, there might be more subversive reasons at play. Frankly, "influencers" are pretty awkward from a traditional perspective about advertising. In the West, there's some cultural standard that you shouldn't pay people to convince others to buy your product. I mean, the Western standard is that a product should be convincing with the help of advertisement, not by paying individuals to appear to really like a product. I believe that, in China, there is less hesitation to "buy opinions".

But, still, it probably will take some time until advertisers fully exploit the potential of influencers.

From the perspective of an Instagram influencer, pretending to love a product is relatively easy, as one can use some fancy slogan, find good product placement and so on. But with livestreaming, it's simply harder to pretend that one actually likes the product which is advertised.¹² In my opinion, people still need to persuade themselves that they actually like the products. But even if it's unclear how exactly ad monetization will work out, I think somebody will make it work. The potential is simply too great.

In regard to moat analysis: People even identify themselves by their platforms, calling themselves a "YouTuber". This is even stronger than simply using a company's name as a verb, a phenomena Peter Lynch (or Phil Phisher?) recommended to keep an eye on in regard to potential investments, if I recall correctly. On the top of your head, can you recall examples where people started calling themselves after a company's name in a general way, without direct employment?

Yet, YY is priced like it's a fad.¹³ I can understand why it looks like a fad when there is so much new media out there (like Snap, Twitter, Instagram, and so on), and if one is older, all this might be hard to keep up with. But we should unroll the livestreaming phenomenon from a technical perspective as well. In China, the mass adoption of PCs was largely leapfrogged thanks to the staggering history of the development of mobile phones. And only in recent years was massive, country-wide 4G availability rolled out, suddenly granting hundreds of millions of people access to fast mobile internet. This not so linear development, in my opinion, leads people to adopt a specific form of (social) media, whereas the gradually developing but initially very slow internet in the Western countries enabled a more text-based development of both the internet and its prevailing media.

Readers of the current day and age might appreciate a few words about short videos, as this is a trend of the day. Short videos are like constant shots of a "I'm part of a social group"-drug, just like memes fulfil this function as well. Such a drug is strong, but in the end a commodity and hard to monetize. And the similarity between memes and short videos leads me to think that this drug is in vast oversupply. Hence, it's hard to monetize. Short-videos, like drugs, are supplemental, but in

¹² In my opinion, advertisement is one of these things in our capitalist reality that apparently has some slightly positive ROI on a global basis, but not enough to fully justify the world's total ad spending. In many cases, the ROI might just be really, really bad.

¹³ In the end, it's not really about China here at all - this is mostly because of general Chinese equity prices, which I perceive as cheap. But I'd rather quote Charlie Munger, who some months ago said: "The best companies in China are cheaper than the best companies in the U.S. right now". Since then, until about mid-November 2018, they only became cheaper. I know that with certainty, as they became cheaper in unison. This lack of idiosyncratic upside price action for single companies is something wonderful to experience for the first time. It proves to me that I deal with the same Mr. Market that others before me had to deal with.

purity, it's not simple enough for me to understand why they should be a good investment idea. Short videos remind me of the absurdity that people send themselves vanishing pictures. Will people really, from the perspective of their death bed, be proud of or feel good about all their vanished pictures that will surely be forgotten? In effect, this means less heritage, and is that something one could be proud of? This is the opposite of something like Instagram, which allows for a more artisanal identity construction, or a long-term investment. And, yes, livestreaming, because of its unique live moments-that one took part in (which end up in a library), contribute to the memory of individuals from the perspective of their mortality. It's basically an achievement in livestreaming culture to focus on being present (or capturing) at an especially worthwhile moment, and people definitely pay up for that possibility by being present in the stream at moments where not much happens at all.

Ultra-low-cost-content

As an aside, I have a hard time justifying investments in content-producers in general. Yes, they can sometimes be interesting because of asymmetric outcomes. But to me, YouTube and so on means a lot of low-cost competition for otherwise expensive content production. Owning YouTube, Twitch or YY effectively means owning an economy of relatively low-cost content-producers. As a 25-year-old, I would have a harder time owning Disney than YY. This is probably a matter of being comfortable when it comes to certain parts of YY's business. I simply can't imagine older investors being comfortable with YY, as it must sound really odd when, in their earnings calls, they talk about "social games" like "Happy Werewolf Kill", "Happy contest", "Clip Doll online", "Happy Basketball", "Happy Go" or "Happy Whack-A-Mole". I, however, wouldn't feel particularly comfortable owning e.g. Disney (~\$172bn market capitalization) or Twenty-First Century Fox (~\$100bn EV). I simply don't know how sustainable their content monetization is versus the mass production of cheaper content.¹⁴ That's in my too hard pile.

To me, it's intuitive that Tencent is one of the biggest companies in the world, as the mega gaming company, whereas it's not intuitive for me that several US passive media television content producers have higher market caps than US gaming companies.¹⁵

Why the mispricing?

I think fear about government repression is one factor.

I'm not too worried about repression when it comes to these platforms, as they all are made to fit their respective societies, for better or for worse. I am aware that the most prevailing fear among Chinese entrepreneurs is the confiscation of their assets. But, then again, from an outsider's perspective, aren't these the communist wounds, just like Germans understandably fear inflation more than others? I would be more worried if there was some issue that would not fit to the psyche of a state where confiscations historically ruined development!

This sector especially causes fear in westerners' perception.

Momo

Like YY, Momo, a competitor, seems pretty cheap as well, as it is priced at a forward PE of 10 whilst growing tremendously. It's just that there is less of a short-term margin of safety when I compare it

¹⁴ Although Disney looks as if it trades at a mid-teens PE, and I don't have any clue at all if it's cheap relative to its future earnings or not, my gut says that YouTube alone might be worth more than Disney at \$170bn. YouTube at such a valuation would be more than one third of Alphabet's current enterprise value.

¹⁵ NetEase has about twice as many employees as both Activision Blizzard and Electronic Arts, but trades at a much lower market cap than Activision Blizzard and roughly the same as EA. It might be worthwhile for readers to consider whether that is meaningful or not.

to YY.¹⁶ For my investment thesis I take comfort in the fact that both YY and Momo are so cheap. YY's "mystery valuation" isn't particularly hidden, so many people might fear some unknown unknown, but combining sector specific fears with the general deep bear market in China, there very well might not be some true reason why YY is a potential catastrophe or not really cheap (at current prices).

Momo now owns Tantan, "China's Tinder". What's remarkable about China is that it seems that their competition levels are fiercer than what we are accustomed to in western countries. And Tantan, like Tinder, creates full force competition in the dating-app sphere. It's not only that market forces like competition apply in the dating game, it's that Tinder, Tantan et al. try to be the stalwart of the dating supply and demand marketplace.¹⁷ I have a hard time coming up with a more valuable market than owning possible relationships.

I am long Momo as well. I own a ~2% position mostly for reasons of regret-minimization, as my normal risk-avoidance requirement is overruled by the possibility to own something like a Chinese monopoly on dating. I think this position is complementary to YY, but with a reasonable chance to develop into a larger, absolute (not relative) position on its own. With that said, I think it's stupidly cheap. I also think that Match Group is still vastly underestimated. So far, I haven't read any "value" write-ups about it, which I think is a very good sign that it's still underestimated. In my opinion, Match Group it's worth \$20bn, almost double current prices.

Conclusion

To recap: Bradbury gets multiple things right. The excess money of people who are not aware of compounding, or don't want to be, might be spent on a medium like YY.

The parlour walls have quite the pricing power over Millie. As streamers ultimately depend on the platform, as they themselves generate their income and their social capital there, there is lollapalooza. Millie finds a new family in the parlour walls. Likewise, I think the community gravity is strong with livestreaming as well.

Lastly, it's interesting that in Bradbury's scenario Marcus Aurelius now is considered a radical. In the investment community, Marcus Aurelius oftentimes is quoted for his stoicism. Benjamin Graham was an admirer of Marcus Aurelius. Jason Zweig quotes Marcus Aurelius in the 4th edition of Graham's *The Intelligent Investor* and on Twitter. And Charlie Munger, as far as I know, likewise has an admiration for Marcus Aurelius.

So, if now the parlour walls are somewhat real, does this mean that not only will investment's stoic role models like Marcus Aurelius be considered radical, but also that investors themselves now are considered radicals?

If being part of the parlour walls of social proof and instant gratification is the new medium, will deferral of gratification become equal to being radical? Will all of the aforementioned names be thought of as radicals in some future world in which all allowed streams of consciousnesses are live? Am I a radical when I focus on compounding my self-earned¹⁸ capital to be able to – at some point in my life – build my own library as an exile for certain book people instead of participating in the parlour walls or in the remarkably similar social "happy games" of YY?

If it must be, I shall be considered a radical and wait it out, reading my books, and try to find a few reasonable investments every once in a while.

¹⁶ Same for Match Group, which in November 2018 was trading at a reasonable forward FCF valuation as well.

¹⁷ I used Michel Houellebecq's book *"Extension du domaine de la lutte"* as a framework. I deeply admire Houellebecq for his literary works. He's one of the best.

¹⁸ But almost everything one receives, even including the money for which one has worked hard for, is an undeserved fortune, a gift.

Tencent and Alibaba

As of late 2018, roughly 35% of my total net worth is represented by ownership of shares of companies residing in and having their primary markets in China.

Besides my ownership of shares in the companies JD, YY Inc, and Momo, I recently became an owner of Tencent and Alibaba as well.

Readers may rightfully ponder how I could possibly think that these companies represent the best investments I was able to find, as my ownership of them implies. Or how I could ever get comfortable with the non-valuation China risk? And what about my circle of competence? And how could I possibly have an edge when they are among the biggest companies in the world?

I simply believe that I have both an analytic edge as well as a behavioral one. Although I'm very new to investing, I believe I am able to determine that the general sentiment about China is relatively sinister, particularly after reading every comment on every Seeking Alpha article about many Chinese companies. Doing this hopefully reduces unnecessary errors by finding even the most miniscule bits of information concerning investors. And again, although there are thousands of comments, personally I perceive them almost as a minimum and mandatory part of my due-diligence. But I nonetheless mention it, because the first thing one recognizes when one reads all the things written by investors on the internet is that very, very few people do the same.

My impression is that many issues with Chinese companies, although they seem individual in each (e.g. on SeekingAlpha) article if one really reads enough, all these seemingly individual comments in all likelihood are more telling about the investors than about Chinas' companies. Examples for issues would be the lack of trust in management, accounting, related party transactions, the VIE structure, China as an economy, China's party, China's government, state repression, macro issues, or China-USA-relations. The number of fraud accusations are especially interesting.

It's easy to put together a 40-page short report on a company, release it, and make a profit when the share price tanks as many anticipate other people selling and sell themselves temporarily. It's much harder to build a great company. And the contrast couldn't be greater. On one side of the spectrum, there are the people who build companies – despite state repression and generally much more unfavorable conditions than in many other places – and on the other are those in the short-report industry. The individuals behind such short-factories do not hold themselves accountable through showing their CAGR, their general track record, or their hit rate.

Although it seems like Chinese companies are heavily discussed on the internet, the actual businesses aren't analyzed all that much. I believe this is because most people cannot make personal, emotional experiences with these businesses, so they're not really treated as businesses but something else.

So, I think I have an edge by simply treating these companies as analyzable businesses. Full stop.

When shares of Chinese companies sold off this year, I made a long watchlist of them. And although the following insight was my first experience with the depressive side of Mr. Market, I nonetheless had the impression that these Chinese companies didn't really behave individually at all, but were treated as "Chinese companies" and nothing more. They all fell synchronously. To me, this didn't make sense, and so I was really intrigued by this phenomenon.

I just personally don't think that the nationality of a company matters that much, besides cultural influences of their respective countries, of course. I believe that what matters is the connection between the price paid for a security in relation to the underlying company and its cashflow.

So, I think I have an edge by treating companies simply as companies. And if I'm correct in my analysis that Chinese companies were treated mostly as political playing pieces, they will revert to the emotional mean when the news cycle turns.

Furthermore, I believe that certain alleged Chinese companies will, over the longer term, be just as global as certain western counterparts.

Maybe I even have an edge because of China's political particularities. I believe many buy- and sell-siders have career risk here. After all, the two biggest political powers are in a "trade war" against each other. I love that other investors might be more hesitant, as I am my own one-person investment committee, and I invest in businesses and entrepreneurs and ideas bigger than a particular nation-state.

I believe to have observed that most investors, after they analyze a Chinese company and decide to buy it, arbitrarily allocate a smaller percentage of their capital to it than they would to a western company. I believe this is a case of "mental accounting". This happens even though the Chinese company is in no rational way inferior, only appearing so from a perceived risk perspective. If the majority of investors limit their capital allocation to Chinese companies, the effects compound.

I might even have an analytic and behavioral edge over my fellow older investors because of my age, which determines that I care about Chinese companies in a different way than most older investors. If forecasts are even half-way correct about China's future so and so many decades out, I have a reasonably good chance of experiencing the long runway – and its outcome – of Chinese companies personally. I'm eager to experience this first hand.

For me, it's simple. As long as labor is cheaper in China than in the West, there is opportunity for arbitrage, and because labor currently is cheaper, there is runway. And as long as people live together in dense areas, there will be creativity and effects of emergence which otherwise wouldn't happen. These effects of emergence, in my opinion, will be of a technical, social nature.

I want to have skin in that game. Recently many people scolded abundance of capital (something I certainly haven't experienced in my life, so far) as the enemy of quality and returns. While there is at least some merit to this statement, something like Silicon Valley, a place where the density and abundance of capital is helping to create otherwise impossible ventures, couldn't be explained otherwise. I believe that, because of the absolutely unique population density on China's east coast, this will be the center of future technology emergence phenomena. To me, this is something that will happen, although I can't tell you what and how exactly it will happen. There are many unique aspects as to why I bet on that. For example, Mandarin Chinese is unique for its number of native speakers. And other than English and Spanish, the language population is much closer together. Historically, having ownership in the densest areas, where humans, technology and capital came together, was a winning move. And yes, I believe that more interesting, good, and not-yet-understood things will happen, rather than tail risk bad ones, precisely because I think urbanity is a fountain for positive Extremistan¹ results.

Then I might have an analytic edge over western investors precisely because they have yet to overcome the hurdle of truly recognizing and understanding China's scale. They might see the very same new Chinese infrastructure and skyscrapers that I do, but, because of size, they can't attribute what they see to the right reasons, so they attribute it to debt and only debt. I have absolutely no edge in determining China's debt. But I can look at the "debt" segment of all the individual companies' balance sheets and decide if I feel comfortable. And in contrast to the average US industrial company or German carmaker, Chinese tech companies, according to my best impression, do not have worrisome amounts of debt. Although debt is a superficial metric, it seems that the average Chinese mainland company now trades at a high single digits PE. This leads me to my valuation part, and why I felt justified in buying, among other aforementioned Chinese companies, Tencent and Alibaba.

¹ <https://taylorpearson.me/extremistan/> for a short blog post about it. Or: https://en.wikipedia.org/wiki/The_Black_Swan:_The_Impact_of_the_Highly_Improbable

I bought Tencent (\$TCEHY) shares in the mid-\$30s and Alibaba (\$BABA) in the mid-\$130s. I believe that I was able to buy Tencent at a market cap of around \$330bn and around an enterprise value of \$300bn or even lower², and Alibaba at a market capitalization of roughly \$345bn and an enterprise value roughly in the same ballpark as where I think I bought Tencent. My point here is not that I assume having bought Tencent and Alibaba together for roughly \$600bn in combined enterprise value; my point is that I'm very certain I bought both for below \$700bn in EV.

Investing, after all, is a method-agnostic endeavor (under ethical, pragmatic capitalistic assumptions). If somebody can read the stars and achieve a solid long-term track record (or even get a 100x on a meaningful amount of capital once in their life), what matters is the outcome over one's life and its consistency. This is all to determine the quality of an investor-trader. (What is done with that capital is an entirely different story, of course.)

Sure, I tried to learn as much about certain Chinese companies as I could through reading their balance sheets, their earnings calls, and every pitch I could find about them. But only through my own frameworks was it possible for me to get to the point of owning them comfortably. I called my particular framework the trillion-dollar bucket, as 2018 was the year where multiple companies broke through the \$1tn market capitalization. Apple is especially worth mentioning here, as Apple achieved a \$1tn market cap on an EV/FCF forward multiple that is far lower than the average S&P 500 company. I took Apple (or Google or Amazon) on the one hand side, as an example of what is roughly priced at \$1tn, and on the other, I tried to fit in as many interesting, promising Chinese tech companies as I could.

My conclusion was that, from an acquirer's perspective with a spare trillion-dollar, one would need to choose between either buying Apple, Amazon or Google, or buying every single one of the following companies:

Tencent, Alibaba, Baidu, JD, Meituan-Dianping, Xiaomi, NetEase, PDD, iQIYI, Ctrip, ZTO Express, Weibo, Sina, GDS Holdings, Vipshop, Suning, Baozun, Momo, YY, Huya, Bilibili, Qutoutiao, NetDragon, Sohu, Wuba, Kingsoft, Huami, Changyou, and many more.

I believe that if one would decide for the latter, one would own the business equivalents of China's: Google (e.g. Search+Maps+Cloud+Mail+YouTube), Amazon (e.g. Retail+Prime+Logistics+AWS+WholeFoods+Twitch), Shopify, Activision Blizzard, EA, Mastercard, PayPal, Facebook (e.g. WhatsApp+Stories+Messenger), Booking Holdings, Twitter, Tinder, Equinix, FedEx, Walmart, Groupon, Valve, Spotify and Netflix.

I can't say too much about the individual companies on the China list.³ To me, at current prices, many seem worth spending time on, which is a finite resource for me, unfortunately, so I spent my time on the ones I found most promising and easy to understand, or where I suspected the most value/share.

² Check out Tencent's beautiful 3Q18 animation for some recent data or for a starting point of its most recent developments: <http://cdn.ir.tencent.com/ir/3Q2018/index.html?from=timeline>

³ With that said, isn't it remarkable that China has a full list of equivalents to all these successful US companies? In my opinion, this is *hugely* underappreciated. Take, for example, any less-developed country in Europe. Ultimately, there's no "European" Google, Amazon, Apple, Netflix, Uber, Booking, Paypal, Ebay, Twitch, Twitter and so on. The simple fact that China has all these "equivalents" shows how far China has come. And, in my opinion, my framework makes it simple to understand that China and its tech companies are a no-brainer as a group. China's is a capitalist culture. Only in countries where great companies crowd can something like "compounding culture" develop, where entrepreneurs are considered heroes and it's an honor to make other people wealthy. In some ways, China is already beyond the need to compare with US-companies: Meituan-Dianping would be an example of a company where the US doesn't have an equivalent.

Still, I think my one trillion-dollar bucket approach to Chinese tech companies makes sense on a very general level.⁴ There are structural reasons, related to the internet (something I grew up in, learned in, and spent a lot of my life's time in), for why I think, just as in the USA, certain internet companies accrue value structurally faster for themselves than non-internet companies, and that this will continue for a very long time. People, in my opinion, tend to assume that the internet is already mature. I disagree. I think it's still very, very early. I think people get it wrong, because there is no comparison for such an important shift for human history. Book printers in 1700 probably thought their industry was mature, too, after book prices fell +90% over the last two hundred years and book volumes increased multifold.

And then I have other reasons for being bullish about China's internet tech companies: For example, they are still pretty close to financials or even oil. If I'm correct about certain dynamics and characteristics about the internet, I find it compelling that one could either buy Tencent for ~\$300bn EV, or PetroChina for ~\$200bn EV. Does one really need a big leap of faith to believe that, over many, many years, Tencent will have a market capitalization ratio just like US tech giants have versus their oil or financial counterparts?⁵ Remember that Exxon Mobil, as the biggest US oil company, this year was worth between 1/2 and 1/3 of Apple, Amazon, Google or Microsoft.

Likewise, I find it very interesting that China's financial mega caps, which aren't traded on the NASDAQ, have a market cap not much lower than Tencent or Alibaba. China Construction Bank and the Industrial and Commercial Bank of China both have a market capitalization of about HK\$2tn, or \$260bn. So, again, from an acquirer's common-sense perspective, would one rather own both Tencent and Alibaba for the next decades, or the Agricultural Bank of China at a \$165bn market capitalization, and additionally both the aforementioned ICBC and CCB for a 165+260+260=\$685bn market capitalization (under the assumption that these are banks are of equal quality to their US counterparts)?

If these answers are somewhat obvious, I believe that by buying Tencent at a low to mid-twenties enterprise value to free cash flow multiple, I will have a decent result over the long term. If one assumes a 15% hurdle for possible investments, then one would realize that Tencent would achieve exactly this CAGR hurdle if it returns to its all-time high from the current share price (\$40) over the course of three years from prices where I bought (~\$35). If Tencent needs four years to return to its all-time high, my investment achieves a 15% CAGR. In simpler terms, when I bought Tencent, I was making a bet that Tencent could reclaim their all-time-high market cap (\$580bn) – previously ascribed to it by Mr. Market – in four years. With Tencent, I believe to have identified a company building intrinsic value faster than 15% p.a.

It's worthwhile mentioning these "get-back to all-time high"-numbers, besides their abstract focus on price, because even if one assumes that some global financial crisis event will happen, I believe that over a reasonable period of time, my purchase price was decent. Generally, before I make an investment, I always try to imagine how all the ratios would look if my investment were down 50%. With Tencent, this would mean a market cap of around \$150bn, besides an even lower enterprise value. As investors, when operating in markets, we should never forget that it's not prudent to rule out such a thing happening. I bet that, over my lifetime, I will experience situations more ridiculous

⁴ In some cases, there's hidden value in the China trillion-dollar bucket without US-equivalent - for example, one would very likely own the Chinese winners of the food delivery sector.

⁵ If we play the same game even in the United States, I am at least a little bit puzzled: Would you rather own one Google or two Exxon Mobils? If Google is the obvious choice, why isn't Google worth 3 Exxons already, to make my question more interesting? Or, as an aside, would you rather own Facebook or AT&T? Because the latter, at the end of 2018, is more expensive than Facebook (...and Alibaba and Tencent).

than Tencent at a \$150bn market capitalization as of late 2018. But then again, I believe that such a valuation hardly makes sense, assuming conditions normalize.

The very same framework (\$1tn bucket + assuming Baba went down another 50%) led me to my investment in Alibaba, where I had an equally hard time imagining it dropping to a certain level, under halfway rational assumptions, after I surely spent a lot of time looking at all the moving parts of it, just like with Tencent. Alibaba dropping from \$135 another 50% would have meant that, although it grew revenue and EBIT more than 3x, their share price being slightly negative over full 4 years and just a little bit over all time low valuations.

Tencent

Gaming

Tencent is the leading and dominant gaming company in the world. I want to start by saying that, just as I consider livestreaming a contemporary form of media, gaming means something different than it did decades ago. For many people, virtual worlds are their primary worlds (regardless of whether this is truly good or not), and because virtual worlds are so all-encompassing, to merely call it gaming is an understatement. The act of playing has historically never been only one siphoned-off part of civilization; rather, civilization itself has playful characteristics. Tencent is a tollbooth for citizens of the virtual worlds. States tax people independent of citizen satisfaction. They have done so regardless of quality of life throughout history. I believe Tencent's gamers and all its effective citizens are much happier with Tencent and what Tencent offers them, especially in contrast to citizen's satisfaction with what their state provides them.⁶ Simply because of this difference, I believe tech companies' values will increase. States too can be undercut by another entity offering higher quality services and generally greater citizen satisfaction for less cost. Although this is not a given upside, as humans so far have yet to learn that it's, in almost all cases, not states producing them food, building houses, fixing cars, programming games, inventing luxury, enabling education and so on.

WeChat

One also has to think about what Weixin/WeChat actually is. I think of it as an operating system, just like Windows or Android, but even more independent of a device.⁷ The more independent of a device WeChat becomes, the more it becomes a social operating system as such.

⁶ Current wonderful companies have the characteristic to have a very close relationship with their customers. States structurally fail here, as they never can even think that citizens don't want to have them or need them as much as states structurally believe. Furthermore, something like the process of voting is so intermediate that there is hardly a relationship at all between citizen's desires and actions from the states. In contrast, corporations clearly know when customers e.g. don't buy their products anymore. Therefore, I am long-term bullish on larger tech companies on a societal level. Capital is a better intermediary than current processes of "voting". Great companies' treat their customers like kings and queens, offer good value for price, whereas common ideology from the state (and from a large group of people who have nothing but their "nation") would be much closer to something like "sacrifice for the nation" or the idea of "serving one's country". A common value investment adage from Benjamin Graham says: "Mr. Market is your servant, not your master." And while this is applied to markets, few have transposed this to states, maybe for the fear of their states' power or psychologically, because it superficially looks lazy to demand being served by the state, although it's nothing to be ashamed of. Should one really be ashamed to demand basic provisioning from the state, like providing at least a flat/house/home for everybody, so that one has a little bit more optionality to choose whether to participate in society or not? I think, after many thousand years of human history, it's about time that nobody has to fear being homeless or hungry. Mr. State is your servant, too, and he neither represents you, is your master, nor do you, as a finite individual, represent Mr. State.

⁷ The same reason why Facebook should have staying power, more so than people currently believe at +\$18bn owner earnings on a \$360bn enterprise value or a forward mid-teens EV/FCF-ratio. It's not just social media, it

Companies with a gaming DNA are specialists in regard to interactions between “real” and “virtual” worlds, so I think Tencent is well positioned for AR/VR/Mixed Reality and so on.

WeChat Pay

Then there is WeChat Pay (the same arguments in this paragraph also apply for AliPay), which again is not optional like credit cards in the west. Combined with AI, WeChat over time generates a financial track record of citizens. Is that necessary? Well, I guess, this is more efficient for capitalism. But it can lead to individualized, cheaper loans, too. Recently, I read that western offline retailers, on average, spend close to ten percent of their costs on cash management. This is why credit card companies like Visa or MasterCard can charge so much, like 3.5% of the transaction value. They’re simply that much more efficient than cash, so offline retailers accept the fee. It’s insane, but over a long period of time, commission rates should be a race to the bottom as well thanks to digital competition. And so, I believe that owning WeChat Pay and AliPay (== owning the rights to get ~40% of Ant Financial’s income) means owning a tollbooth on the vast majority of all buyer-seller transactions in China, and potentially some other places, too.

Boundary-less Retail

With Alibaba and Tencent together, one should understand the importance of their respective New Retail strategy, O2O, or Boundaryless Retail, or whatever the current fashionable term for it is. Remember, retail equals 40% to 45% of China’s GDP. And while in western countries you have certain very well-run retailers, like Walmart, LIDL, or Costco, with whom Amazon simply can’t compete without huge costs (ensuring a bad ROI for Amazon is the single best strategy to make Amazon ignore your industry, as Amazon should select its targets depending on success-probability-adjusted-ROI), in China, retail as a whole is different than in the USA or Europe, all because of China’s lack of a very long history of brick and mortar retail tradition. Tencent and Alibaba will likely win a large share of all of China’s retail. In my opinion, this is something westerners have a hard time understanding, while right now, this battle seems to be of the utmost importance in China.

Tencent’s Li Zhaohui recently said⁸:

“Many outside Tencent believe that our strategy is to counter Alibaba. Whereas in fact what we see is large opportunities in O2O (online to offline). We believe that the business opportunities brought about by the combination and penetration of the internet into traditional industries will be long-term. Everyone is asking us why are you investing in offline retail, because we feel that in the future there will be no offline retail, and retail must become a combination of online and offline. The fusion of these two elements is what we see as being important.” – This fusion means that you have this old, fragmented, but extremely huge, multi-trillion-dollar market, and suddenly, the best tech companies are more competitive (due to developments such as the smart warehouse, inventory AI on local and warehouse level, delivery, tracking, total integration of retail value chain, etc.) than offliners. This means that internet competitive dynamics (antifragmentation) suddenly apply in offline-retail.

To drive the point home, think about tech companies’ respective TAMs as even bigger than assumed, as retail over the long-term can’t avoid integrating (choosing sides) into the tech of Alibaba or JD. In my opinion, small retailers will partner with big tech in China earlier than in the West, because change and tech is the norm in China. In the West, e.g. Amazon more often than not is seen as the enemy of (small-)retail, and, at the same time, there’s more nostalgia surrounding old retailers.

is a social operating system. One shouldn’t only look at it from a network effect perspective but also from a perspective of whether there are other viable social operating systems around. If no, then Facebook likely will be fine. (Although people might completely lose their mind if some irrelevant short-term DAU number slightly decreases)

⁸ <https://chinachannel.co/tencents-investment-strategies-revealed/>

China's e-commerce leapfrogging of traditional brick and mortar chain store retail was possible because of an existing, relatively developed infrastructure. In other emerging markets which lack a sophisticated logistical infrastructure, where Alibaba or Amazon have it much harder to quickly and reliably deliver items, local retailers are a much stronger political group that isn't interested in big changes.⁹

I think it's clear that Amazon was copying Alibaba and JD when they acquired Whole Foods Market in the summer of 2017. Jeff Bezos' acquisition of WholeFoods might also be quite telling about the significance of offline retail as a reinvented sector that was dipped into internet competition dynamics. But more so than Amazon, Alibaba and Tencent (and their respective spheres of influence, e.g. Meituan-Dianping, JD, PDD, Suning or Ele.me) now have a very, very large additional runway in the offline retail/service sector. Part of the runway is composed of areas that are just not as fancy as Cloud, Gaming, E-Commerce and so on. But in regard to building moats and increasing one's turf, this is massive, especially in a bifurcated competitive market between the Tencent alliance and the Alibaba alliance of companies. I do take the simple idea serious that China is a culture of duality. You have Ying and Yang, just as you have the cat and dog war between Alibaba and JD.

I think in China you invest in the wake of Tencent or Alibaba. Although, from my perspective, it seems that value largely accrues to both – which should happen when they win the retail wars against everybody else.

Cloud

Cloud is another important part for Tencent. Tencent (+strategic investments) and Alibaba will probably dominate this market. An important feature of the cloud market is that competition extends beyond Tencent and Alibaba (or AWS), including essentially every developer building on such platforms, in certain languages belonging to a certain company's ecosystem. Thus, the biggest cloud platforms have network effects and an additional cheap, outside R&D department. Interesting here is that the Cloud opportunity isn't really that visible in the financials of Alibaba and Tencent yet (compared to their total revenue). In fact, in FY18 Alibaba only had a little more than \$2bn in Cloud revenue, whereas AWS already is on a quarterly run-rate higher than \$6bn. I consider this less a disparity and more evidence of Tencent's long-term potential – value will continue to accrue. I think there is even more runway for Alibaba in the Cloud department.

Advertisement

Lastly, there is online advertisement, a market which is dominated by Alibaba, Baidu and Tencent. Although Alibaba is the market leader and is expected to grow their market share in the short-term, it's helpful to remember that Alibaba's online advertisement revenue is mostly a function of their marketplace e-commerce model. Simply because this is not predominately a commission-based e-commerce model, Alibaba's share of the online advertisement market always seems to be very large. I think it's clear that, if Alibaba used a commission-based model, their share of the online advertisement market would look differently. I try to keep that in mind, because, as a seller on Alibaba, you're naturally forced to spend on online advertisement. So, in some ways, Alibaba's "online advertisement" looks a bit different than other's "online advertisement", as it can be seen as a commission in disguise. In Q1 2018, 56% of Alibaba's total revenue was earned via online advertisements, whereas Tencent's online advertising percentage of revenue was 20% in 3Q2018, up from 16.87% in 3Q17. I think, long-term, the market share in online advertisement is driven by how much time people spend on your platform. Tencent's "monthly time spent per MAU" is probably roughly 8x higher than Alibaba's (I'm sorry if this is a bit inaccurate, but even if it only was 5x...).

⁹ I can recommend Porter Erisman's book "Six Billion Shoppers" to understand the specific e-commerce dynamics of different emerging markets.

“Online advertisement TAM” always is a narrow category. Owning the users, their time, and generally the demand side, in my opinion, is accompanied with all the high-margin advertisement revenue over the long-term, because the locations where users are will get integrated with e-commerce and advertisement. This is hardly different to the offline world, where billboards and shopping malls are placed in areas of high urban density. Independently if it’s offline or online, it’s harder to e.g. integrate the demand into a platform, just as a remote mall won’t function well either.

Tencent’s Investments

As an aside, I’m very much attracted to companies that, like Berkshire Hathaway, have an investment portfolio. I would run my business in the same way, because one always must choose from the total universe of possible investments, and it’s basically impossible that they always come from the same sector. Sure, if your average midcap buys something in a non-sensical vertical out of their area of expertise, that’s a red flag. But in the exceptional cases investments usually are value-enhancing.

I would even go so far as to say that Tencent and Alibaba can be regarded as the two biggest and most important Chinese venture capital firms - “Hong Kong-based Bernstein analyst Bhavtosh Vajpayee counted 280 Tencent deals over the past three years and 174 for Alibaba”¹⁰.

Tencent carries out an astonishing number of deals per year, so many that I believe it causes disbelief and mistrust in other people’s imaginations. From the perspective of one’s circle of competence, it’s not easy to embrace such a data point. I feel comfortable with it, as I would ascribe spotting positive complexity and emergence phenomena (and not falling for a mirage or for “complexity bias”) to my circle of competence. I believe other investors can’t “see” as easily what I mean with capitalist emergence phenomena. But this kind of deal making activity would be an example.

All in all, I believe that Tencent is a wonderful company. For a reasonable EV of \$300bn, I gladly own it for all the emergence phenomena that will likely happen but are difficult to forecast. Progress in tech and future technology probably will accrue value to Tencent over the decades to come.

In this sense, I feel comfortable owning Tencent as a stalwart with great capital allocation abilities, which is why Tencent is a 6% position of mine.

Alibaba

Cloud

Cloud should be worth \$50bn on more than \$2bn yearly revenue, growing 100% yoy, because Alibaba is the undisputed Chinese Cloud leader. Qualitatively, it’s a dreamy business that boasts long-term non-financial “Too-Big-To-Fail” status. Such status goes hand-in-hand with the dependency of governments on private enterprises, and as governments cannot easily run complex tech infrastructure, the larger certain cloud businesses become, the wider Alibaba’s and other tech giant’s moat against harmful government intervention. It’s worth mentioning that Alibaba increased its China Public Cloud market share from 40% to 49% yoy. Lastly, if one is really honest about the opportunity, I find it reasonable that Alibaba Cloud alone has a fair chance to recreate Alibaba’s current market capitalization over the course of the next decade. So, probability weighted and discounted back a decade and with a margin of safety, Alibaba Cloud should be worth \$50bn as of today.

¹⁰ <http://fortune.com/longform/alibaba-tencent-china-internet>

E-Commerce

Tmall and Taobao are worth at least \$250bn, as it's probable that they are more important and an even better business than Walmart. If one doubts my assertion here, it may help to remember that China's e-commerce market is forecasted to basically double over the next five years, reaching over \$2tn. Is this really "being priced in"? I find this possibility too difficult to imagine, as China is already a \$1tn e-commerce market, while e-commerce in the US is only a \$500bn market.

If one compares China and the USA, knowing that China already is two times bigger than the USA, my bet is that westerners already(!), although they abstractly know about these numbers, cannot get comfortable enough with the size of the Chinese retail market (too many attribute it to fraud, scam, debt and so on, and remain stuck in their home-country bias). Investing is a constant effort in solving a dynamic, everchanging puzzle of expectations versus reality. In 2018, the Western investor's perception of China was influenced by a movie about Chinese reverse merger fraud¹¹. The major consensus narrative is a "slowdown of growth". In regard to what is consensus and what is not, I'd like to quote John Mihaljevic from his well-written book, "The Manual of Ideas", published in 2013, from the Chapter: "The Pitfalls of Chasing Growth in Emerging Markets": "One of the biggest drivers of disappointment for investors who venture globally might be unrealistic expectations of the rewards of emerging markets. Simply mentioning the size of the Chinese market—1 billion people—has a mouthwatering effect on many investors". I think that such a passage shows that a cautious stance is common. On the contrary, I believe that the size of the Chinese market is factually appealing, not just some mouthwatering illusion.

I think the name of the game here is to always ask oneself: What exactly is leapfrogged in one specific emerging market? For Alibaba et al., the answer to this question is the 20th century retail revolution as it occurred in the US, which instead functions as just another structural tailwind. I absolutely confess that, for me, it is extremely hard to really value the leading Chinese e-commerce sites. But my highest priority is to focus on the downside. And I have a high conviction that Alibaba's e-commerce business is worth more than Walmart¹², and if only this part of my thesis is correct, then Alibaba should be just fine. If you want it simple and to have an emotional edge, you could always think about the fact that, as of late 2018, you have the choice to either buy Alibaba or Walmart for roughly the same enterprise value (if one isn't trying too hard to be a bean-counting philistine here). Then, looking back a decade (or until I change my mind) ten years from now, we will see if Alibaba was a decent investment idea.

¹¹ If you google: "movies about Chinese entrepreneurs 2018", you will find many occurrences of "The China Hustle". While Chinese frauds are common and damnable, it's interesting that there's not a single movie about Chinese entrepreneurs. Decades out, it will be clear that there were many great, global Chinese businesses being built in 2018 by great entrepreneurs.

¹² Somewhere on the internet, I read: "Tmall will overtake Walmart to become the world's largest B2C retailer by 2020." Besides this quote, Alibaba's FY2018 annual report says they have CN¥4,820,000,000,000 in GMV (almost \$700bn), which would be more than Walmart's sales. Still, it is a questionable number that is partially explained by brushing and a very aggressive definition of GMV. In 2015, Jack Ma still said that Alibaba strives to become bigger than Walmart. To further compare Alibaba with Walmart, let's go to the extremes: There's one particular Alibaba bear (famous for being super bearish about Alibaba and telling everyone) who writes on his blog: "My guess is that "real" consumer goods GMV actually delivered is probably less than a third of what they report". Let's assume this is actually true for Alibaba's GMV. One third of CN¥4.82tn would be \$232.85bn in GMV at \$1 = CN¥6.9. Combine this with the estimate that China's e-commerce sales are expected to double over the next five years, and, once again, we end up with Alibaba being larger than Walmart over the medium-term. So, even taking a hyper-bear approach about Alibaba's e-commerce part should lead to a valuation floor no lower than "being larger than Walmart in so and so many years, discounted back to end of 2018".

Ant Financial and AliPay

The next part is Alibaba's 1/3 stake or \$50bn of Ant Financial, valued at \$150bn. Considering the valuations of PayPal, Visa, Mastercard and American Express, I have no reason to believe that \$150bn is all too unreasonable. With China, you have a country paying almost exclusively digitally. Tencent and Alibaba are what Mastercard is to Visa, in no particular order. Value accrues to both. Besides the business of processing digital payments, I also simply cannot understand non-digital banks and their market capitalization relative to the value they provide society, and the reality that mega tech, at some point, will fulfil the role of banks as well. Because offline-banks are pretty dusty and generally rather bad (and clearly not run for the customers), tech people, if they don't fear restrictions, could do it 10x better. I also think that this will happen in China much earlier than in the west, particularly because of the western public's (and regulation's) fear that "big" tech will even get involved in these industries. In the end, this fear is unwarranted if one truly considers how much better banking could be done by tech companies. But regardless of my opinion on the west's irrational fears, I value (and in this case, don't haircut other people's valuations of) Alibaba's stake of AliPay at \$50bn.

Youku

For the next part, I want to start by saying that I am a very big YouTube bull, which I value at least at \$170bn, as for me anything less than Disney's EV just wouldn't make any sense at all. I value Youku, the third largest Chinese video platform after Tencent Video and iQIYI, subsequently at \$10bn, remembering that their Digital Media and entertainment achieved \$865mn in 3Q18. Alibaba hasn't yet fully proven its track record and staying power in this sector, and I also just don't have a perfect feeling about Youku because of my lack of experience with it in comparison to other Chinese video platforms. Furthermore, one shouldn't forget about the GDP difference between China and the USA, implying that one Youku MAU can't really be worth more than half a YouTube MAU. Then, iQIYI, which had 374.1mn MAUs in Dec. 17¹³ (Alibaba doesn't disclose any such numbers), has many more users and subscribers than Youku, and is valued at a mid-teens billion-dollars market capitalization. Nonetheless, Alibaba's wonderful platform effects work for Youku in combination with Alibaba as a whole, just as with Amazon: Both companies can sell more shoes when they have worthwhile videos on their platforms.

Ele.me

Alibaba acquired Ele.me in a deal that implied an enterprise valuation of \$9.5bn. As it's the big competitor to Meituan-Dianping, such a valuation seems reasonable to me.

So far, I valued Alibaba's e-commerce part with a minimum of \$250bn. And I think valuing Cloud at \$50bn, Alibaba's Ant Financial stake at \$50bn, Youku (and digital media) at \$10bn, and Ele.me at \$10bn are all reasonable. Adding up the value of all the parts above equals $250+50+50+10+10=\$420\text{bn}$.

Cainiao

When Alibaba increased their stake to 51%, it was valued at \$20bn. I value it at \$10bn.

Balance Sheet

Assets: \$24bn cash, \$1bn short-term investments, \$1bn restricted cash, \$1.4bn investment securities, \$7bn prepayments, \$19.2bn investment securities, \$12.6bn property and equipment.

¹³ https://www.questmobile.com.cn/blog/en/blog_130.html

$24+1+1+1.4+7+19.2+12.6=\$66.2\text{bn}$. I don't count goodwill or intangibles. From the assets, I subtract total liabilities of $\$47\text{bn}$. That leaves us with $\$19.2\text{bn}$. I additionally haircut that to $\$10\text{bn}$ for reasons of conservatism.

"Alibaba as VC"

It's extremely hard to assess the value of being involved in a huge percentage of yearly deals involving Chinese private companies. I definitely would need more time to look closer to really reach a level of deep understanding.¹⁴ I believe this part is often more or less forgotten or ignored by public investors. To be fair, it's not very easy to conveniently gather data about it.

As far as I can tell, Alibaba also is involved with: Didi Chuxing, Zhong An Insurance, Easyhome, Meizu, SenseTime, Xiaohongshu/Little Red Book, Cambricon, Ucommune, Hellobike, Meituan-Dianping, Lyft, Magic Leap, Fanatics, Kabam, ShopRunner, Peel Technologies, eApeiron, OUYA, Jet.com, Cadre, Quixey, TangoMe, PlacIQ, and Snap. This list is far from complete.

I think it's reasonable to estimate Alibaba as VC to be worth another $\$10\text{bn}$. Please don't quote me here. All I really do here is assess my downside and my margin of safety. Such value estimations are pulled out of thin air, more based on common-sense. What I see is that Alibaba seems to be a decent investor.

And just like with Tencent, I like Alibaba as investor, as once again, I would run any company in the same way, as one always has to find bargains/great investments in the total investible universe. Alibaba also is a play on China's VC activities, and I believe, between their many small investments, there will be some winners.

So far, my valuation didn't include: New Retail (Suning, Hema, Intime), UCWeb, Alisports, Alibaba Music, Damai, Alibaba Pictures, Koubei, Alimama, Autonavi, Tmall Genie, South China Morning Post, Shenma, AliOS and partially Guangzhou Evergrande Taobao F.C.

All these parts are, in all likelihood, worth more than zero. Luckily, we're already at around $\$450\text{bn}$ EV. I believe $\$450\text{bn}$ is a conservative enough number to enable me a sufficient margin of safety at my entrance price around $\$135$, or around a $\$350\text{bn}$ market capitalization.

To finalize my valuation section about Alibaba, I can share that I think my buying price of an enterprise value in the ballpark of $\$300\text{bn}$ was conservative enough, making it a 5% position. Since then, I reduced my position in Alibaba by half. For my level of knowledge, I feel quite comfortable owning Alibaba at a $\$350\text{bn}$ market capitalization, but a little less so at $+\$400\text{bn}$, as I can only determine it to be worth around $\$450\text{bn}$ or more. The "more" part is currently in my "too hard" pile. As said, I treat certain large caps as stalwarts when Mr. Market offers me them in despair. Nonetheless, it's not a huge margin of safety, although a growing one. Why did I nonetheless buy at such a "low quantitative margin of safety"? Because Alibaba, in the universe of large caps, represents a very good bargain at $\$135$ in relation to other large caps. If we would restrict the investible universe to large caps, I'd say that Alibaba at $\$135$ has a significant margin of safety in comparison to what's out there. Ultimately, I rely on the universe of people who cannot invest in smaller companies to be *very excited* about Alibaba, even though I am *just excited* about it.

General Conclusion

I think the mispricing (of Alibaba, Tencent, and a few other Chinese companies) mostly exists for reasons such as:

¹⁴ The single best source probably would be: <https://www.cbinsights.com/investor/alibabacom-investments>

- 1) For most investors, if not all, it is hard to conceptualize China's size, scale, and future. Its size is truly unprecedented and qualitatively different because of emergence effects.
- 2) It gets harder and harder to use western companies to draw comparisons, as China continues to develop into the gravity center of business. How many people take it seriously enough to look to China first? For my young mind, this seems quite natural, and because the center of gravity is moving East, and the world is getting shaken up a bit, price dislocations form for the foreseeable future.
- 3) People underestimate the runway of certain scale-benefits shared companies, just as they underestimate the runway of software.
- 4) People are uncomfortable with high multiples, even superficially high multiples (Tencent and Alibaba, excluding investments and cash and certain obvious areas where they underearn, are unexpectedly cheap versus their superficial metrics - the one's we all see from our flawed, superficial information systems like Yahoo Finance), although with a few companies, it's relatively safe that the value actually accrues.
- 5) Thinking about Alibaba and Tencent reminds me of the horse with a 2/3 winning chance, which usually is not mispriced because it's the good horse. Usually that's exactly the bet investors are not searching for, as the payout isn't worth it as it's already priced in because almost everybody is betting on the very same good horse. Still, sometimes even the good horse is mispriced. I truly believe that, currently in the markets, there is some dogma that large caps are efficiently priced, as many people supposedly analyze them. But the market is typically self-reflexive, and this anti-large-cap-bias then causes mispricings. Over the next decades, who will outperform, Walmart or Alibaba? If this isn't too hard a question, why do they have roughly the same enterprise value today?
- 6) I think people are thinking over the wrong time horizon. They get stuck thinking about some "trade war" rather than the opportunity for a couple extra percentage points of yearly CAGR for a long time. This should happen structurally because of a generally higher growth, especially if one considers a characteristic of China which isn't newsworthy because it's happening every day: Cheap labor arbitrage. I consider cheap labor a relatively sound economic idea, whereas I have no idea about the effects of a trade war. There is a reasonable chance that the trade war is in fact completely irrelevant after all. How to have a winning "trade war" when the other's labor for the same job simply is still much cheaper? From a societal level, I am happy when everybody becomes wealthier, even though for some it doesn't feel as nice others play catch-up. Too often people seem to forget their own place in universe, that simply being born in the west is in fact still a huge head start in regard to one's prosperity. I think it is wrong to be sad if an immigrant or somebody somewhere else on the planet "steals your job"/arbitrages your labor by working for cheaper; this phenomenon should be embraced, as it leads to economic equality and a truly shared fate from more equal starting points in life. To believe otherwise is, in my opinion, to believe in the inequitable and uneven distribution of wealth rather than equality.
- 7) Precisely because it's well known that the 21st century is all about Asia, people don't act upon it. For them, it's an abstract concept, happening at some vague time in the future. Even if people would stop dwelling in abstract thinking about Asia's future (versus Asia's present), chances are, they fall victim to bystander syndrome because it's such a big historical trend, which makes it less likely that they consider themselves to be part of it.
- 8) Investing in what is maybe the single biggest, non-internet mega-trend of the 21st century (gravity change of capitalism to Asia) seems too simple.

What if Alibaba and Tencent each get 1% of China's GDP?

Just imagine the following simple idea: Each Alibaba and Tencent produce 1% of China's yearly GDP. Would it be absurd to consider that scenario feasible, perhaps even likely? Why? Why not?

Combine these inputs:

Of the roughly 1bn WeChat users, 300mn Chinese spend more than 4h/day on WeChat.

The average worker in China makes “¥74,318”/year. Let’s round that to \$10,000 per year, which, if we derive an hourly wage from that, sounds reasonable to me.

Why shouldn’t Tencent get \$100 per user per year, or only 1% of the yearly wage, if their platform dominates and offers almost everything one could possibly want in regard to payments, social, gaming, livestreaming, videos, music, store, communication, e-commerce and general usability (booking appointments, working, etc.) and more? \$100 a year seems like a good starter package. Even if we only consider these 300mn hardcore users, this would mean: $300\text{mn} \times \$100 = \30bn in revenue for Tencent, most of which would be very high margin. I know, I am more just playing around with numbers and ideas.¹⁵

But let’s also not forget interesting dynamics of the internet. In offline times, if we were dedicated to an activity, we paid a lot of money for it! One hour of an activity, like music school, sports, cinema, books, internet cafés, or gaming halls, was always expensive in \$/hour terms, especially in comparison to online possibilities. Hardly any online activity costs more than 6.85ct per hour. Imagine if Tencent would charge its hardcore users 6.85ct per hour, and assume they’re online exactly 4 hours a day. This, again, would be the equivalent of 30bn in very high-margin yearly revenue. This scenario is something I want to have in mind as an owner of Tencent. Just as Mr. Monish Pabrai, half-jokingly, but with a grain of truth, says that Google could earn whatever it wants, Tencent also is a company that, if it didn’t care about its long-term conscious capitalist future and especially about its mission to improve our world through technology, could legitimately achieve similar earnings power if they wanted it.

Today, WeChat is not really being monetized at all. Many different commission businesses have a take rate between 3.5% and 5%. States are a commission business with the ability to take up to 50% of people’s wages, all apparently without much upheaval. I don’t think it’s farfetched to imagine that people, especially heavy users that spend about 25% of their daily usable time on WeChat alone¹⁶, would protest paying 1% of the average Chinese wage or \$100 yearly in exchange for all the value of Tencent’s whole ecosystem.

And now, to add in the China GDP perspective: 1% of China’s GDP would mean $\$12\text{tn}/100 = \120bn in revenue.

In my opinion, I don’t think it’s unrealistic to assume that Tencent and Alibaba will achieve \$120bn in revenue at some point.

Both Alibaba and Tencent come with a certain feeling that they have a good chance to be much more valuable in the future. I am fully aware that the CAGR cannot possibly be as good as with microcaps, but I’m also relatively new to investing. From a risk-adjusted perspective, or mostly from the perspective of not losing capital, I believe that, as of late 2018, both Tencent and Alibaba deserve a spot in my portfolio. I hope that by writing about certain larger names, I can add more value to the investment community, enrich the discussion, and enable others to sharpen their thinking as well. Surely, the true work is much more bottom up, getting to know the parts, management, logic, strategy, financials and track record. Still, without the big picture, there would be only desultory data points. When it comes to the biggest companies, just as it actually would have been the smartest

¹⁵ What I’m trying to say is that valuation in regard to tech mega caps is much more of an art than a DCF.

Because, at the end of the day, I’m not too worried about Tencent’s or Alibaba’s CAGR from my current entry prices. They’re my stalwarts, at current prices, because I can’t possibly research enough microcaps at the same time (and sleep well), although they obviously have more CAGR-potential.

¹⁶ 25% is conservative: 24 hours per day minus 8 hours of sleep and falling asleep would leave us with 16 hours of daily “usable” time. This estimate doesn’t include other, oftentimes tedious activities like hygiene, commuting or dietary intake. Including those and including other parts of Tencent’s ecosystem, Tencent’s share of the heavy users’ daily “usable” time might be higher than 40% without aggressive assumptions either.

way to understand Amazon early on via a strategic analysis of Amazon, I always like to focus on the strategies of big companies, as this affects the entire investment universe. I hope my particular approach to such investments adds value for my investors, the investment community, and, ultimately, for me, too.

Inverted, how is it possible to be a serious, committed and inquisitive investor in 2018 (or 2019) without knowing what certain large cap tech companies are up to? Isn't that very interesting anyway?

The more I'd describe Alibaba or Tencent up-close, the less I'd be sure if I could add something new to the discussions on various investment forums or enlighten my readership. But broadly, the idea that consumer tech companies are the new "staples" doesn't seem to be mainstream yet.

Campbell Soup and Coca Cola Conundrum

To me, the current debate surrounding the Campbell Soup and Coca Cola¹⁷ Conundrum, as I'd like to call it, or, in other words, the fact that certain consumer staples trade more expensively than Apple, Google, and Facebook, could mean that people just don't watch large tech too closely. I find this funny, because this might mean that people generally have a feeling of "I missed it" and are anchored to old prices and, thus, are not sensitive to dynamically changing value.

I don't know the true reasons for the Campbell Soup and Coca Cola Conundrum, and it's clearly too hard for me to truly know! Maybe individual investors have internalized not to look at large (tech) companies, as they think they don't have an edge versus the big guys anyway.

I think that in order to learn about investment, one must study the best companies to achieve the best results (which implies consistency and reliability), especially if one wants to treat investing not only as investing but as a business. And from that perspective, there is absolutely no way around the necessity to understand the best businesses! Only then can one embark on the quest to understand what a good investment is. If people would study great businesses, maybe they would have an easier time investing?

I can recommend spending time with tech companies. It might simply be the case – as a solution to the everchanging investment puzzle – that tech companies create more value, societally and financially. Would it be hard to admit that, although it actually is a very basic insight, since technology, like no other sector, massively grows R&D and Capex?

I think many tech mega caps can be proud of having made a few things in our world 100x better (probably precisely because politics didn't regulate tech and internet quickly enough).

In the meantime, I have yet to hear somebody say: "My house management/daily nutrition/medical support/university got 10x better over the last decade".¹⁸

And this is why I'm lazy and bet on cheap tech companies.

¹⁷ In October/November 2018, Coca Cola might have had an enterprise value of ~\$240bn. In my opinion, Tencent's was around \$300bn...

¹⁸ Hint: One the one hand side, tech and internet weren't that regulated. And it was absolutely amazing, in my opinion. On the other, housing, patents, medicine, etc. is very regulated and nothing changes, although almost everybody paradoxically cries for politics (and more regulation) to solve these problems...

Freshii

Freshii is in the QSR (Quick-serve-restaurant) business and specializes in healthy eating. It is a franchisor, and, currently, there are well over 400 franchised Freshiis out there. Freshii went public in January 2017 on the Toronto stock exchange, selling shares at C\$11.50 for a ~C\$345mn market capitalization. In June 2017, it was written up as a short idea on ValueInvestorsClub by TheSkeptic, when Freshii was trading at C\$13.2/share and about 13.5x revenue and 29.2x EBITDA on 2017E data. Needless to say, the price came down quite a bit since then. Now, we have Freshii trading at C\$2.5/share. From its IPO price, that's a drawdown of almost 80%.

Here is a quick history of Freshii's store count over the last few years: Freshii had 70 stores in 2013, 101 in 2014, 178 in 2015 and 244 on September 25th 2015, when they released their preliminary prospectus. In mid-2017, Freshii had about 300 stores. In 3Q18, Freshii had 431 stores. Last quarter was interesting as they opened 18 stores and closed 8. Some problems stemming from their high-growth are haunting them now, and, subsequently, the qualitative focus from an investment perspective is trying to figure out if Freshii generally will get better and has staying power.

A bit of quantitative perspective for you: There are 76.6% more Freshiis around since the time of its preliminary prospectus from a little over two years ago, they're still growing, and their share price is down almost 80%.

What does Freshii cost?

Freshii, including RSUs and stock options, has more than 32mn fully diluted shares outstanding, which is why I use 33mn total shares as my basis for any calculations.

At a share price of currently roughly C\$2.5, Freshii has a market capitalization of C\$82.5mn, or \$60.65mn. Their enterprise value is between \$23mn and \$33.2mn lower, depending on one's assumptions about what to consider an asset. It's noteworthy though that they have \$29.586mn in cash. I think it's fair to say that their enterprise value is around \$35mn.

What does one get?

For \$35mn, we get 426 royalty paying franchisee-Freshiis. The royalty payments consist "of fees earned from our franchise partners equal to a percentage of weekly gross sales", namely 6%. There are other sources of income, like an upfront franchising-fee, or a system-wide advertising fee of 1.5% of gross sales, but I'd like to focus on this 6%, as this, in my opinion, is the most important thing. For Freshii as a franchisor company, the royalties provide the most predictable and stable source of income.

On its enterprise value, we pay \$82,159 per franchisee-Freshii. Another way to look at Freshii would be to multiply this 6% of weekly gross sales times the number of franchisee-Freshiis, which we can then think of as the number of Freshiis it would take to achieve the same revenue whilst paying a hypothetical 100% royalty fee. What we get from that is a "look-through" POV where we see a number of magical Freshiis paying out 100% of all their income to Freshii's franchisor level. Instead of 426 franchisee-Freshiis, we get $426 \times 0.06 = 25.56$ magical Freshii stores that are able to transfer 100% of their revenue to the Franchisor level.

System-wide AUV (Average Unit Volume), the average annual sales of stores that have been open for a trailing 52 week period or longer, was \$463,000 per year.

So, one currently can pay \$35mn for 426 franchisee-Freshiis (or \$82,159 per franchisee-Freshii) of which we get 6% of \$463,000 in yearly revenue, or pay \$35mn for 25.56 effective magical Freshiis with \$463,000 in revenue. This implies a purchase price of \$1,369,327 per magical Freshii ($\$35,000,000 / 25.56 = \$1,369,327$), for which, after one would deduct all costs on the franchisor level,

we would theoretically get \$463,000 in income per magical Freshii. That's an EV/earnings less than 3 in the magical world where all franchisee-revenue would equal Freshii's profit, in the (absolutely unrealistic) case that all of the recurring franchisee-revenue (\$11,834,280) would be direct profit for Freshii.

Unfortunately, it is too simple to bracket out all franchisor costs and services. Nonetheless, we need a leap of faith here in regard to Freshii's earnings potential, which is simply what's left from the total franchisee-revenue after Freshii's expenses, reinvestment, franchisor services, etc.

Luckily, profitability is not the problem in this story. The most important part of the Freshii story is that the franchisor model, thanks to scale and operating leverage, should result in a very high-margin revenue stream. Furthermore, we are likely (hopefully) in the very early chapters of this story, as Freshii has only about \$12mn in revenue.

In my opinion, if Freshii really wanted to, half of their revenue could be pure free cash flow. If one would accept this assumption, our way to approach Freshii as an investment, as of today, would look like so: Buying 25.56 restaurants with \$11.83mn in revenue and \$5.917mn in free cash flow for \$35mn, for a 16.9% FCF yield (buying what is, ignoring any upsides from additional Freshii-franchisees). To be honest, the idea that 50% of revenue would simply drop to the bottom-line is an assumption about the potential of this particular business-model. But I don't think such an assumption is far-fetched at all. But it's also not something I would love to see over the short-term. I want a healthy Freshii network, store count growth, store stability, growing sales, happy customers, etc. In short, I want them to succeed on their mission "to help people all over the world live healthier and better lives by making healthy food convenient and affordable", which means Freshii must grow for a long time to consider itself successful.

But from a liquidation-framework, if somebody bought Freshii and fired the people employed for achieving future success, leaving only a reduced employee base behind, Freshii could probably earn more than \$6mn per year. Obviously, such a move would not create value over the long-term, but Freshii's business model can at least be very cash-generative, if it really needs to be. For me, Freshii's current risk/reward is enticing if one also takes permanent loss of capital into consideration, something I deem unlikely. For an annuity-based business, a plausible 16.9% FCF yield on enterprise value (if they really wanted to) in a steady-state scenario excluding growth is too cheap.

Now, let's develop a more qualitative insight:

First of all, the recent quarter saw 8 closures and 18 openings for a net of 10 new stores. This development definitely feels scary. Furthermore, in late 2017, a failed cooperation between Target and Freshii also resulted in 18 closures.

Restaurants are an extremely tough business, no doubt.

So, is their churn worrisome? Well, closing 8 out of 417 franchised stores (3Q18 data), implies a 1.9% churn per quarter. In 2Q18, however, only 3 stores out of 392 closed, for a 0.76% churn, and in 1Q18, only 1 out of 367 stores closed, for a 0.27% churn. In order to understand Freshii's actual churn trend over the last years, let's look at older yearly data: In 2016, there were 10 closed franchised stores out of an average of 202 franchised stores. That's a 5% churn. TheSkeptic on VIC was right to worry, as a 5% churn is (much?) higher than other franchisors.

Over the course of 2017, there were an average of $((274+298+329+342)/4)=310.75$ franchised-Freshiis, and a total of $2+4+21+6=33$ closed. That is a 10.62% yearly churn. However, one mustn't forget about the unsuccessful partnership with Target, which undoubtedly caused a higher number of store closures in 2017.

And now in 2018, so far, 12 out of 392 franchised-Freshiis $(367+392+417)/3=392$ have closed for a

3% yearly churn rate. That's actually better than before. 4Q18 could get, again, relatively ugly. So, let's not hold our breath and hope that things actually improved.

On the other hand, Millennials might simply do business a little differently than older generations. The old and still prevalent agenda demands zero volatility, no failure, and a step-by-step hitting of quarterly guidance.

Freshii is moving very fast and undoubtedly has growing pains. But of all possible ailments, growing pains are better than the possibility of no future. Or not even trying to achieve success. Even if Freshii needs some years to reassemble their franchisee network due to some recent problems, I believe Freshii is better suited for the future than others. Why?

First of all, Freshii was founded by Matthew Corrin in 2005. I like Matthew Corrin. I've seen all of his videos/talks (and generally all Freshii related videos) on YouTube. He's fair, funny and focused. I have little doubt that Freshii, given enough time, will do fine as a business. His brother, Adam Corrin, is working as COO at Freshii, too. Insiders own a lot. This is another case where not only is the founder's skin in the game, but also the founder's family. Not particularly anonymous money. Yes, they all sold some at the IPO, but to me, the sales seemed reasonable.

Throughout its existence, Freshii has been guided by five principles¹ put in place by Matthew Corrin:

1. Talk is cheap. Execution sets you apart.
2. Launch fast, fail fast, iterate faster.
3. Numbers rule. If you can't measure it, you can't manage it.
4. Build a company with a killer culture, not a culture that kills a company.
5. Pick your battles.

And sure, the cynics of our world, perversely pleased by the failure of others, might be picky about Freshii's recent execution (store closures, missing guidance terribly) and so on, and think that what they've actually achieved is to fail fast. Well, part of the reason why I'm writing this is that, at least from the very few places where Freshii is discussed online, sentiment isn't particularly good. And it's understandable when the discussion refers mostly to Freshii's guidance – and sees a number of misses.

Their 2Q17 guidance was: "As we look over the next 3 years, our growth strategy targets are as follows: We reaffirm our prior guidance for an increase in store count by 150 to 160 net new franchise units, which includes our enhanced openings in fiscal 2017, to reach 430 to 440 system-wide stores by the end of fiscal 2017; system-wide store count in the range of 810 to 840 stores by the end of fiscal 2019; annual same-store sales growth for all system-wide stores in the range of 3% to 4% for the periods fiscal 2017 through fiscal 2019; system-wide sales in the range of \$355 million to \$365 million by the end of fiscal 2019; proforma adjusted EBITDA in the range of \$20 million to \$22 million by the end of fiscal 2019".

Later, in 1Q18: "Therefore, solely, as the result of this revenue recognition shift, brought about by IFRS 15, we have reduced our pro forma adjusted EBITDA for fiscal 2019 by \$3 million to a range of \$12 million to \$14 million, from \$15 million to \$17 million." They also cut their store guidance to "730 to 760 stores by the end of fiscal 2019".

And Matthew Corrin again in 3Q18: "Before getting into the exciting aspects of our ever-growing omni-channel brands, I wanted to let you know that the company has made a decision to withdraw forward-looking guidance through the end of fiscal 2019 outlook period, main driver of our 2019 outlook with the cadence of net new store openings. The timeline from signing a franchise partner to the opening of a store has been difficult to predict, as a result of a number of new and existing

¹ By the way, Matthew Corrin has read Ray Dalio's "Principles".

markets in countries we operate in, which is now in over 35 states and provinces in 17 countries around the world”.

And finally: “Really the main driver to end guidance versus revise it for a second time came from this quarter in particular, where we had an internal miss, specifically around net new openings, tied to a number of things out of the control of management. And we felt that, as we took that quarter and rolled it through the balance of our forecast period, we didn't have enough confidence to revise the numbers again with conviction. And so, as a result, we thought it would be more constructive to be reporting Freshii's key metric performance on a quarterly basis and share as much as we can every quarter when we come on, but not have that outlook remain”.

Basically, they are one year late on their former FY17 targets. And obviously, they won't achieve 400 more stores in the next 12 months either.

I know, it's ugly from a guidance-vs-reality perspective.

But for me, I simply see another reason why the chances of a mispricing are increased: Imagine having become a Freshii investor in early 2017. You bought at C\$11.5 and almost 30x EBITDA at a time where wages majorly increased in the restaurant sector (a temporary problem resulting in e.g. price-adjustments, more efficiency, less competitors, unless you think this will truly kill the restaurant sector). You're down 50% after two years and then guidance is withdrawn. Then the stock sells off another 50%. I highly doubt that you would want to stay an investor in such a company after buying for a price that easily implied top 2% execution. I recently read somewhere that, generally, the pain point where people sell is a 20% drawdown...

Interestingly, because of its initial market capitalization, which now is more than 4x versus its current one (and because it was clearly a “hot” IPO), Freshii has quite the number of analysts. Currently you have 9 analysts now bothering with a company of \$35mn EV, which just withdrew their guidance. Isn't this a funny thing about our world: 9 analysts for a company with such a small enterprise value? One analyst, by the way, now has a C\$1.85 price target, implying an enterprise value of slightly less than \$15mn. From here on, I wouldn't be surprised if many analysts will stop reporting regardless of fundamentals, as they usually only analyze companies over a certain market capitalization hurdle anyway. A drop in analyst coverage probably won't cause shares to surge, but this isn't an investor's concern.

I can't really say if all of this is rational or not, and it's something rather outside of my realm of lesser incompetence, and also something I don't bother with too much, but the analyst behavior seems excessive. It might mean something if there are 9 analysts, which together have an average price target of C\$2.31. When I first started looking into Freshii in summer 2018, the average price target was C\$11.11 (which would have meant 73% upside). All in all, in my opinion, withdrawing guidance is something analysts just really, really don't like.

Freshii sure has lost some face recently. It's not the prettiest situation. But is a price target which implies \$15mn enterprise value really based on the quality of the underlying company and their achievements? Can one replicate Freshii with \$15mn, or even \$35mn? Or is it because most of the analysts had massively higher price targets at some point in time, and now, with Freshii down so much, maybe their form of revenge is some form of revenge price target?

As always, it is not my problem if people buy based on hype and then only become disappointed. I generally try to buy on fear, uncertainty, and doubt (which, by the way, is a reason why at the end of 2018 I'm fully invested, without any cash on the sidelines, despite bearish sentiment). I don't yet know if this is a good strategy, as I'm very inexperienced, but Freshii was/is me trying such a strategy out, besides the fact that I think Freshii is a company that won't easily go away. And in this scenario, I of course seek to avoid permanent loss of capital. I just don't fear that with Freshii.

In many regards, we have clear metrics where one can see the compounding of Freshii's intrinsic value. Sure, maybe Freshii's food isn't yummy enough for some, or "it doesn't have a fanbase like Chipotle" or something like that. I'm not surprised if the cheapskates from the Corner of Berkshire & Fairfax forum think Freshii's food is "too expensive". There are many small(!) grievances cited in different investment forums. But this is others treating Freshii as a new Starbucks or something like that and being disappointed after their own lofty comparison. I like Freshii as it is, especially for its current price. Whether it's average or not, we will be able to see in decades and can hardly know now. The odds are against them being something exceptional, but that's just a feature of the restaurant industry, and I personally do not regard it as necessary to compare Freshii to the best for the purpose of my investment (thesis). Actually, this is just another funny aspect about Freshii's recent downfall. In all likelihood, it leads to disappointment when you compare a random restaurant Franchisee to the best, proven QSRs. And sure, Freshii did compare itself to them, too. Freshii grew to 200+ restaurants faster than McDonalds, Subway or Domino's Pizza, so they compared themselves to all three in their prospectus...

As an aside, although it might be true that there is no Freshii mass fan cult, it's also not the case that Freshii doesn't have some core customers! I was pleased to see that, in one of the Freshii YouTube videos, an entire football team was eating at a Freshii, by chance. Millennials and people into sports seem to like it, besides healthy business people in city centers.

Well, I personally would rather eat in a Freshii than in the vast sea of meat-focused QSRs.

I'd rather eat at a place where I can quote the CEO saying: "What's interesting is, that our customer base, our employee base and our franchise base are Millennials and Millennials care deeply about the triple bottom-line: It's not just about profit, it's really about people, planet and profit"

I like the long-term prospects of capitalistic companies that try to be conscious, too!

I do believe the odds are in my favor if I treat the company as "more relevant" for its vegetarian offerings than all these old meat-focused brands. Generally, there are many old, non-insider, non-founder-led chicken wing QSRs out there. Franchisee-entrepreneurs are limited in their success when the franchise brand can't possibly rebrand from fries and chicken wings to salads, buddha-bowls, quinoa and so on. Although healthy QSRs are already crowded, I assume Freshii will be just fine. I might remind you that Freshii is older than 13 years now. Is a \$35mn EV for a Franchise network of more than +400 restaurants really appropriate? Is Freshii really *that* irrelevant?

From a big picture perspective, I think the company as whole, if one would disregard its share price, is more valuable today than two years ago.

If I focus on management and culture, I'm very fine with Freshii.

I love Freshii's simplicity and honesty. It's clearly driven. During my due diligence on Matthew Corrin, although I can't quote it anymore, he said smart things about stock ownership, things like he doesn't like dilution and that he's a cash flow guy. He's young, and all the problems with Freshii have a silver lining resulting from the efforts of an overambitious team. I'd be uncomfortable to settle for a non-overambitious team.

So, after all these missed guidances, do we assume that management's track record is fundamentally bad?

In my opinion, their track record is excusable if one just tries to focus on the more important things - the company on a longer-term basis as a non-public entity:

So, I'll quote Matthew Corrin once more: "In 2005, I opened the first Freshii location in downtown Toronto. I was 23 years old, I had never worked in the restaurant industry, and I did not have a detailed business plan."

First of all, I can relate to how Matthew Corrin operates here. And that's why I have a lot of trust in him. I have never worked in the investment business either. My parents never even had any ownership in any companies, ever. And it doesn't matter. My own endeavors will be fine. I have quite

the runway ahead of me to figure things out. Regardless of my own volatility and all the obvious, simple mistakes that I will make on my way, things generally tend to work out just fine, if one really wants them to.

With regard to Freshii's volatility as a public company - the most important thing for me here is that I can trust management. And I do. For my part, although I didn't start a few restaurants in my early twenties, I did read some books, amongst a couple of other things. I guess I think the fact that Matthew Corrin entered an industry, and a hard one at that, in which he had zero experience and simply opened his own restaurant is a solid reason for me to trust him with my capital! I will be very disappointed with him if Freshii doesn't become a company that gets things right on many levels, because he's off to a good start so far.

Just like Corrin, I am also starting my career/business without a detailed, lengthy business plan. For my part, I strongly believe that great things aren't built with a plan, but with mimesis. Regardless of business, love, or philosophy, you must fully give yourself to the "other", the side or one that is not you. You kill the respective other as "other" by over-planning. You kill the possibility of non-bullshit philosophy if you have any theory whatsoever before you start by just giving yourself to what is there. It's not even about having a fallible theory. It's about being so modest as to simply listen. Theory ultimately comes with or after perception, not before. Being honest about not-fooling oneself with some theory is hard. In value investing, it's sometimes easier for individuals if they don't know anything about valuation methods and simply would have to try to find a good investment where they have a meta-financial conviction about it being worth much more in the future. You can't love or find love if you plan it or make criterions and so on, or by treating love as a subsector of work ethics. And I believe the few best businesses are built basically by simply listening to the ghost of capitalism. For Corrin, it meant the availability of great food at affordable prices for everyone. Generally, I will actually treat the goals that people and companies set for themselves seriously.

So, once again, for me, the Freshii story is one of the cultural disconnect between the Millennial approach to business and old ones.

Some people set themselves the highest targets, and even when/if they fail to achieve them, their achievements are still intrinsically quite good. But of course, for everybody who relies upon external guidance in their life, it is a catastrophe when somebody pulls out their guidance from under them. Am I worried about restaurant churn, from my particular Millennial perspective? Apparently much less than others.

If I have understood Freshii's culture reasonably well, Freshii will do fine. This is the center of the eye of the fish, in my opinion, obviously besides price.

So, to own Freshii means to have a CEO with a lot of runway who in 2014 said: "A 100% of my net worth is in this company" (in [this talk](#)² where he speaks about long-term plans). Freshii encompasses his entire professional life, and for all the good reasons.

Now, a few final notes on Freshii before I conclude.

Toronto and Chicago are good base cities, as far as I can tell. Freshii's culture and principles are quite good, as far as I can tell as a complete outsider. Additionally, I can recommend spending the time to understand the Millennial Entrepreneur culture of Freshii. Freshii needs and attracts the hard working-ones. I believe they have many good players coming from other industries who also simply believe in Freshii, and who also just want to get into the business. Then, many immigrant entrepreneurs work for Freshii, too. I really like that Freshii creates a path for others to succeed, and franchising, all things considered, is one proven strategy to improve one's relative situation.

² <https://www.youtube.com/watch?v=zcCS8u1gzk4>

Capitalism demands so much from those seeking success. It's hard. It's brutal. Yet this is a company where people who come from almost nothing get to something. At Freshii, there are people who were franchisee-employees initially and now operate a couple of Freshiis themselves. All in all, you have thousands of people who care a lot about Freshii. With many other very small companies, there just aren't that many people who truly care about its success. Even Freshii's Glassdoor reviews are fine (I think for this industry, one must adjust ratings for disgruntled short-term workers who didn't suit the job; but for those who suit it, the company has a peer-nominated "brand ambassador of the month award", which only the store-level-staff can win).

Yes, operating restaurants is an extremely tough business. And it doesn't take much effort to dislike Freshii for one reason or another. And to be honest with you, I think I'm attracted to situations where my odds superficially don't appear to be in my favor (not finding the fastest horse, but rather the one with the best risk-adjusted payout). But the reason for my thinking is: Hard-to-blow-up Mediocristan industries, which differentiate themselves through passion, stubbornness and endurance, have an increased chance of long-term non-mediocre results. There aren't many healthy eating QSRs as big as Freshii out there. Most are sub-scale. For many of them, the train already has left the station for them to actually get to scale. Freshii, although it has some problems, at least has gotten off the launch pad without burning. Looking at every QSR that isn't Freshii reminds me of this fact.

Full disclosure, I'm currently down a large percentage on my Freshii position. This was my own mistake; I wasn't buying cheap enough. I bought it when I never experienced obvious general(!) cheapness in my life, in the way that it's possible to really feel widespread cheapness now and at the end of 2018. The randomness of my birth year and the start of my investing career are both out of my power. Nonetheless, it was completely my own mistake. I settled for "something", as I thought that it was just the new investment meta for companies with all the best cultural characteristics to trade around 15x FCF. I thought that all the cultural characteristics combined with growth and a hard-to-destroy business-model are worth paying up for. At the time I bought based on my assumption that Freshii will get to more than \$10mn in FCF sooner or later, justifying an enterprise value of around \$115mn in combination with its clear potential as a long-term compounder. I also made another big mistake, caused by lack of experience: In my head, it was clear that they would change their guidance again, as their 2019 targets no longer made sense after a certain point. It already was in the 2Q18 numbers that there wasn't any probable chance for Freshii to achieve their 2019 restaurant opening targets. I really was dumb enough to think that this was "priced in" already when I first started buying around C\$6 a share. Furthermore, a general lesson for me in this case might be that, if I ever touch a former "hot stock" again, I should keep in mind that there's probably a useful rule of thumb: "The higher the flyer, the lower thereafter."

If anything, I ruined my own CAGR by buying way too early, without enough margin of safety, but I hope my interpretation was good enough nonetheless to have at least spotted a company which isn't destroying value over the long-term.

But there are some positives about the recent slaughter of Freshii's share price, too. As they have almost \$30mn in cash, they now (can) use it for the maximum amounts of buybacks legally possible in a year (10%). I love that, obviously. From a long-term perspective, owning 10% more of Freshii would mean a lot to me when I have the opinion that they have a good chance of building something large and long-lasting.

And this buyback makes sense, especially if contrasted with the following story, which I found on [this site](https://www.bnnbloomberg.ca/freshii-ceo-buys-more-shares-says-company-will-be-the-mcdonald-s-of-healthy-eats-1.826072)³, from 09.08.2017, when Freshii's CEO bought 20,000 Freshii shares higher than C\$9. I would love

³ <https://web.archive.org/web/20181223215629/https://www.bnnbloomberg.ca/freshii-ceo-buys-more-shares-says-company-will-be-the-mcdonald-s-of-healthy-eats-1.826072>

to quote it in full, but that's also the reason why I simply give you a link, as somebody probably wouldn't like me quoting a full article.

Conclusion

To recap, we have a company buying back 10% of their shares outstanding (in some ways putting a floor under the share price, as the company can't selloff another 50% without trading below cash-levels) that withdrew their guidance yet still writes:

"Our current store opening pipeline continues to grow. We currently have over 175 stores engaged in the active opening process", "The Company has signed franchise agreements that include contractually binding commitments from new and current franchise partners to develop over 372 new stores", and "We receive approximately 4,200 franchise partner applications per year".

So, if Freshii would simply get to over 500 stores in 2019, we have a situation where - the share price is down 80%, the CEO bought a meaningful amount for 4x the current share price 1.5y ago, and the profitable company buys back 10% of their shares while their best pragmatic proxy for intrinsic value growth (number of Freshii franchisees) is up 100% since their IPO. If in 2021 Freshii's share price trades back to even *half* of its IPO price from over two years ago, it's a +26%-CAGR from here.

The biggest risk to my investment thesis, in my opinion, is if there are real issues in regard to Freshii's management and culture, besides the fact that their industry is tough and some people think their food is just average or pricy. So far, it's not that they didn't achieve their targets, it's just that they achieved their original 2017 targets one year later.

If they achieve their original 2019 targets of more than 800 stores a couple years later, so be it. If the total number of Freshii franchisees were to truly shrink over a number of quarters, something I believe the market fears a little bit, then I will reevaluate again.

I believe that if one truly thinks long-term and gives Freshii fair judgement about its track record so far, a market capitalization of \$60mn is rather cheap.

Until then, I wish Freshii insiders the best of success in their execution! I really hope this works out as an investment. Although I really like Coca-Cola and Twinkies, I think that in regard to preserving my own runway, I'd prefer to eat Freshii for the rest of my life.

JD

Before I get too deep into my own thinking, I would like to highlight the work of others, namely Li Zhigang, who wrote the wonderful and insightful book *The JD.Com Story*, Steven Oops (<https://oraclefromomaha.wordpress.com>), Lester Goh (<https://wondurrrrboy.wordpress.com>), Fred Liu (<http://www.haydencapital.com>), Travis Wiedower (<http://wiedowercapital.com>), John Huber (<http://sabercapitalmgt.com>), Paincap and Pluto for their Value Investors Club writeups, Tao Value (<https://taovalue.wordpress.com>), ShawSpring Partners (<http://shawspring.com>), the Twitter users @LSValue, @therealjunt0, @kelvestor, @HardcoreValue, @craigbui and @mbrennanchna, Shengyang Shi and Winter Li for their JD long-thesis in the recent *Graham & Doddsville Fall 2018*¹ edition, and lastly the many JD contributors on SeekingAlpha. I read all SeekingAlpha articles and comments JD related, so thank you. Readers might, if they're interested in JD, first read everything from the aforementioned people and platforms and then look at my happy little trees and bushes here and there, with which I hope to contribute to the JD discussion.

Just one thing - if you read this, you're reading it from the limited standpoint of JD as an investment, which presumes knowing JD somewhat already. But to summarize some characteristics and data points about JD:

JD is the largest Chinese direct sales e-commerce company by revenue and has roughly three hundred million yearly active customers and more than ten million JD plus subscribers. They have around 200,000 online marketplace merchants and around 200mn SKUs (Stock-Keeping-Units, the number of different items). Strengths of JD would be their logistical capabilities, as they spent heavily on warehouses and distribution centers. They have over 550 warehouses covering around 12mn square meters across China. For reasons of customer satisfaction, they decided not to outsource logistics. They have +175,000 employees, many of whom are related to delivery and logistics. +90% of their deliveries are same or next day deliveries. They're strong in e.g. bulky items, home appliances, and electronics. JD is an inventory retailer which (mostly) buys and sells inventory (in contrast to a marketplace model). JD also offers their logistic capabilities to third parties. Some additional moving parts would be: JD Finance, JD Cloud, 7Fresh (supermarkets), 12,000 JD Box and JD Electronics & Appliance stores (mostly franchise-owned) and drones.

JD's main Chinese competitor is Alibaba. JD is in the Tencent camp, as Tencent owns ~20% of JD. Additional investors would be Walmart with ~10% and Google, which last year invested \$550mn at \$40.58 per share. JD's CEO, Richard Liu, owns 16%, and Tiger and Hillhouse own another ~5%. So, JD's float is effectively less than half of its shares outstanding. The company went public at \$19 a share on May 22nd, 2014 and now trades in the low \$20s.

I won't spend much more time summarizing JD here, as JD simply is a very big company, and, hence, you should find your own way gathering data about "what is the company JD", as my investment thesis tries to focus on JD as a sound investment. I simply share with you my results, my thinking, my interpretations, and my investment thesis – as I want to do my part, just as others were generous in sharing their own work about JD.

To begin, here are JD's fundamentals as they stand at the time of my writing this document, and how they were upon my purchase. JD currently has a market cap of roughly \$30bn at about \$21 per share. I bought my first shares under \$33 at a market cap of around \$47bn, averaging down to around \$25 per share and a market cap of around \$37bn. In each case, JD's enterprise value was/is at least high-single-billion-dollars lower.

¹ [https://www8.gsb.columbia.edu/valueinvesting/sites/valueinvesting/files/Graham & Doddsville_Issue 34 v22.pdf](https://www8.gsb.columbia.edu/valueinvesting/sites/valueinvesting/files/Graham%20Doddsville_Issue34_v22.pdf)

My reason for buying JD at my initial price point was that a certain market capitalization/sales ratio would become too silly considering even only JD's retailing business. I thought that buying for close to a 0.5 market capitalization/sales ratio was a good idea, as this number is useful for the classic low-margin offline retailer at maturity, which nonetheless strives and survives by constantly offering products as cheap as possible to deter competition. Buying JD simply from the angle of a low-margin retailer will leave me all the optionality in regard to whatever JD actually is, might be, or will become.

This 0.5 market capitalization/sales ratio does not come from nowhere, but corresponds to the close-to-mid-single digits net profit margins of a business, in this case the many offline retailers at maturity, and a "fair value" PE on top of their earnings.

For example, a retailer with a 3.2% net profit margin² and 100 units in sales, assuming a "non-growth steady-state" and "fair value" PE of 15, would translate to a price of: $100 \times 0.032 \times 15 = 48$. This implies a market cap/sales ratio of: $48/100 = \sim 0.5$.

Carefully, after establishing a foundation by buying JD as nothing more than a low-margin retailer, I have some assumptions on top of my foundation. Central to my thesis is that JD is increasingly no longer just a low-margin retailer. In fact, on a very high-level, it never has been, as breakeven-margin retailing, simply put, is one of the most reliable vehicles to reach unprecedented scale and is nonlinearly better in an online market where less platforms are winners. If you really put your customers first and share your cost-flywheeling scale-benefits, quite naturally your business emanates into all possible TAMs. But at first, for some companies, retail functions as the starting point.

I am attracted to companies that are much more than just vegetating weed. Some companies (and likewise many old institutions without true, living insiders) are run neither for shareholders, nor for their employees or management, nor for society. They exist because, from an evolutionary perspective, they are a dead-end. They function just well enough to survive, while the effort to cease existing is sometimes greater than simply existing. I do not mean the living yet dead overleveraged companies that may exist in a low-interest rate environment. I refer specifically to the dead-living companies. These dead-living companies do not bother vanishing on their own but persist around break-even, despite retaining or generating almost no value. Inverting all of this, I search for companies on a mission – companies that are revolutionizing capitalism by running on break-even in the short- and medium-term. This means to run a company in a certain consciously chosen way, which is to build entirely around reinvestment, sales growth, and CAGR, all without a fixed idea of a product but with the customers in mind. Such companies are run for everybody but their competition. The competition would be the kind of companies that I describe above, many of which might carry some nostalgia around them. I think the truly cruel act is to defend the old way, to really think that e.g. millions of small – and expensive – mom-and-pop general stores are a good thing.

JD is now a company with more than 175,000 employees. Nonetheless, their CEO Richard Liu dreams about a fully machine-run company with exactly zero employees. Such seeming paradox is actually just the ultra-long-term path one must tread to achieve the technological advancements sufficient enough to enable everyone, really everyone, to obtain the most basic objects, services, and environment related to human-rights. To achieve such advancements requires walking the ultra-long-term path while being thoroughly misunderstood by others and scaling up in the right sectors at the right time.

For some companies, one *must* step back from the immediate check-lists and pinpointing to a PE or something like that. Not all what counts can be counted. Although, yes, absolutely, there is a lot to

² This number equals the composite avg. of retailer's net profit margins according to Deloitte's "Global Powers of Retailing 2018" report. <https://www2.deloitte.com/content/dam/Deloitte/at/Documents/about-deloitte/global-powers-of-retailing-2018.pdf>

be counted at JD if you wanted to count³. But others have done that already, so I will not repeat their efforts; instead, I take a step back.

If you read the book the JD.com story by Li Zhigang, you can grasp what JD has meant for its long-term employees. Building their company required extremely hard work. It required constantly dealing with finite resources. Still, many of those involved in JD's infancy had it just a little better than employees of other companies, best exemplified through JD's couriers vs other couriers. Although higher paychecks were possible even in the early days of JD, paying employees significantly more than competitors would have risked losing it all early on in the game. In politics, there are often unrealistic, abstract demands. For example, claims that companies underpay their workers are commonplace. If one actually studies companies, especially the great ones which matter, wage is a very fine-tuned property. I can only try to convey to you that, with JD as an exemplary company for the phenomenon of quasi-natural wage, everybody involved gets as much as can be paid, not more, not less. If it would have been a political demand to pay workers more, JD (and others) wouldn't have gotten to where they are now. And still, precisely because of a very pure capitalism, JD's workers always were paid a little better than their competitors, as JD reinvested in their people and their business.

When Westerners look at JD, they look at its profit line. When I look at the profit line, as somebody who trusts JD as a company that tells you they are a scale-benefits shared model company that tries to optimize for cashflow, I'm happy with what I see.

In investor forums, there's quite the heated debate about JD's profitability. The lack of certainty in this debate, bulls claiming clear profitability and bears seeing JD never becoming profitable tells me that JD is in fact doing just fine versus their plan. If they made huge losses, I'd be worried. I'm not worried that much, as I can see the reinvestment on other levels, mostly what JD meant for everybody who has worked there for a long time. Having learnt a little bit about the people who work at JD and created it, it's clear to me that value accrues here. Both because of ingenuity and simply extremely hard work and treating capital and customers before anything else.

Whereas states take from others to give, a company run via the scale-benefits shared model is very honest in regard to its resources. If the company as a whole progresses and works for a future tomorrow whilst always being in day one, it drags its employees into the future along with it.

JD, I think, hasn't changed much in its principles. But there's one principle which I'd especially relate to its surviving, which is putting others first. Putting others first means caring more about your customers or partners than you do about yourself. Doing that in fact makes you antifragile. JD may have survived the uncertain beginning, when it was and had nothing, by putting others first. Now, it helps many employees and families to attain a better life. The greater your scale, the more benefits shared if you reinvest per default, the more people are better off: Your business partners, the manufacturers and suppliers, and the customers. And you fight a short-term profit focused corporate complacency, too. And lastly, you thrive when everybody you deal with thrives, too.

Richard Liu said some years ago:

"So, in the second decade, we will surpass the concept of doing only e-commerce as we did in the first decade. All of the three new business directions [JD Finance, JD Logistics, JD Cloud] are technology-driven and all will bring huge profits. As I have said, a loss-making enterprise is shameful. But if a company is too eager to make money and dares not to invest, and it has no ambitions, no dreams, then it is an ignorant, pathetic and stupid company".

JD, so far, has enabled an astonishing number of people to obtain a relatively better life. The

³ [https://www8.gsb.columbia.edu/valueinvesting/sites/valueinvesting/files/Graham & Doddsville_Issue 34_v22.pdf](https://www8.gsb.columbia.edu/valueinvesting/sites/valueinvesting/files/Graham%20&%20Doddsville_Issue%2034_v22.pdf) is a short, recent overview of what's behind JD's forefront e-commerce business.

company as a whole, individually, and culturally has wonderful execution abilities. Its management team, as far as I can tell, is pretty good. And there are a lot of hungry, committed young people who have been at JD for a long time. It's a doer culture. At the very least, I feel I can connect with them and their mission. The societal value created so far gives me conviction in JD as it stands today and in their future ability to solve whatever problems may come their way. JD is almost like a communist-capitalist religious sect of efficiency and cost reduction, striving for a better future and elevating everybody to wealth. I think the culture JD fosters is extraordinary, and that insiders take great care to nurture it.

I'm quite certain about JD in regard to its honesty and integrity, especially in contrast to almost all other companies I can think of. (Yes, there is an obvious limit, as, once again, we're operating with capital, which is dirty, as it's finite.)

How many companies are run simply for the customers and their desires, regardless of what it takes, just under their founding premises, like growth, scale, market share, or cashflow vs profits? It's rare. Most companies are being run by and for particularities. JD is not.

If you can't think outside the box of "company", in my opinion, you will have a hard time fully understanding JD. There's more to it. If you run a company via the eternal reinvestment model and via cashflow, not bottom-line profit, if you transgress that thought, your company achieves properties which usually are ascribed to states.

JD has the aspiration to become an enterprise-state, but in the opposite way in which one usually thinks about Chinese state-enterprises. It's not a company run by the state, but a company that basically fulfills state properties (or properties which are ascribed to states), like generating wealth, security, supply, and the allocation of goods.

Over the very long-term, from the perspective of competition, how can you fight the perpetual reinvestment model, as long as it's running? You either run your own company under the same model, or simply cannot achieve the same level of efficiency, assuming you're of equal size. In short, I like JD's business model more than most, and as JD operates in the general industry of "making customers happy by selling whatever they want cheaper than anybody else", it inherently has adjacent markets everywhere.

Running a company via breakeven-cashflow and constant reinvestment of any surplus profits causes fundamental change to reality over the long-term that is marvelous for everybody, mostly in regard to efficiency and availability of things. So, my favorite companies are the ones that can reinvest under this everything-company-model for decades to come and hopefully don't digress into static profit cash cows too soon. They resist industry categorization, at least in how they think of themselves. Some say the purpose of a company is to make a profit. I think this is an empty and abstract idea. That said, to be profitable is a necessity in the sense of having positive free cash flow, obviously stemming from operations, versus large positive after-tax net profits. I don't think that there are many entrepreneurs dreaming to build the most profitable company out there. Richard Liu says he wants JD to be China's most profitable company. That's interesting precisely because, at the same time, JD is a radical in regard to reinvestment-scaling and deferring any gratification so far. I bet, if one is successful in such a mode for long enough, a company's value resembles the value it means to society, too.

I believe that, for better or worse, capitalism causes change, precisely because capitalism is reinvestment for forever or until capital is not important anymore. I also think that history has ironic tendencies that explain today's great irony – the most capitalist area nowadays likely isn't the US anymore, but China. Communists are now capitalists. The only way for communists to survive is to be even more capitalist than capitalists. And that is what is happening.

Anyway, because I can still think of basically endless discrepancies between how things could be, if done right with internet, tech, scale-benefits shared, and how “things in our society” currently are, I believe that we’re still quite far away from when internet fully emanates into the offline world. And so, I must be careful that my investing is rooted prudently in clear and obvious reinvestment possibilities of the here and now, where the present value of future cash flow per share isn’t swallowed completely by the future part. E-commerce versus offline retail is, after all, in my opinion, a relatively secular process, because scale-benefits shared e-commerce still is a small fraction of all retail versus traditional retail, even in China. Therefore, I am long JD, or this specific e-commerce business, as I believe the price is right for its organic CAGR. We all know that low-margin inventory retailing has worked historically, with e.g. Costco or Amazon. This is a proven model.

One subsequent question is: Does JD truly fulfill or execute the scale-benefits shared model?

The following is an overview of China’s retail, which focusses mainly on if a company fits the model or not⁴:

There are of course a few other possible contenders for the scale-benefits shared model. I also think that the existence of the internet, AI, delivery, and modern warehouses enabled a more efficient model, and that it’s logical that somebody will execute it, so that we as investors sometimes only have to identify the right contenders.

Personally, I went through all of the Chinese retailers⁵, the Online retailers of China⁶, and Online companies of China⁷ listed on Wikipedia. Of these 63 names, which unfortunately still left out a couple Chinese tech or e-commerce companies, it should be perfectly clear which companies are not at all scale-benefits shared contenders. In regard to the most massive/special ones, I must talk about Suning.com and Pinduoduo(PDD), besides of course Alibaba. The remaining companies just don’t merit more time and energy here, as they clearly don’t make sense from a qualitative perspective.

Suning.com

Suning.com over the last years grew their revenue from \$22.364bn in 2016 to \$27.23bn in 2017, or CN¥187.928bn (at CN¥1= \$6.9). The mean estimate for Suning.com’s 2018 revenue is CN¥242.171bn, or \$35.1bn, and in 2019: CN¥303.794bn, or \$44.03bn. It’s especially worth mentioning that, as Suning.com apparently executes well on many fronts. But Suning’s FY2011-2016 retail revenue CAGR was only 9.6%, in stark contrast to JD’s 62.6%. It’s also worth mentioning that Alibaba bought a large stake in Suning.com in 2016, which may have produced some significant upside for Suning.com. At a roughly CN¥100bn market capitalization, Suning.com also trades at a remarkable – for retail standards – market capitalization/sales ratio of 0.413 on this year’s data, and lower than 0.33 on next year’s data!

JD’s growth, combined with its low price/sales ratio of around 0.6, was and is supposed to be my margin of safety, especially versus something like Walmart, which trades at 0.5 sales but without growth. And Costco has \$140bn in sales and a market cap and enterprise value of roughly \$100bn, so a market capitalization/sales of about 0.7.

⁴ And, yes, in this case, I’d rather try to find a clone of a company model versus open-mindedness. It’s about thinking appropriately, situation by situation.

⁵ https://en.wikipedia.org/wiki/Category:Retail_companies_of_China

⁶ https://en.wikipedia.org/wiki/Category:Online_retailers_of_China

⁷ https://en.wikipedia.org/wiki/Category:Online_companies_of_China

I thought that buying JD at 0.5 price/sales ratio and then sitting on my investment would achieve a solid 15%+ CAGR, so long as revenue continued to grow and the multiple did not further contract (I believed further contraction unlikely, as there are many higher margin revenue streams for JD in the pipeline that should positively affect JD's bottom line strength). Unfortunately, the falling Chinese equity prices suckered me in to buying JD at a price/sales of ~0.6 instead of ~0.5 (though at an enterprise value/sales of 0.5 or \$35bn on JD's 2018 expected revenue of almost \$70bn).

At a market capitalization of \$30bn, JD is now valued at a price/sales ratio of ~0.43 and an enterprise value/sales ratio of ~0.33. My original thesis was that if I buy JD at \$45bn, and JD reaches \$100bn in sales over the next couple of years, the enterprise value/sales ratio would stay above 0.5. That would have meant that a \$60bn market cap would be my minimum reasonable valuation, simply based on viewing JD as a pure retailer, and perhaps with some higher margin non-retail surprises to drive additional upside.

Today, my thesis for JD is essentially the same. Given the decline in price since my initial purchase, I want to show how certain ratios will look like if the share price doesn't move as revenue grows to \$100bn: a \$30bn market cap on \$100bn sales and ~\$20bn enterprise value on \$100bn sales yields a 0.3 p/s and an 0.2 EV/s.

Now back to Suning.com, formerly known as Suning Commerce Group in 2018 as well as Suning Appliance until February 2013. The narrow "appliance" part of its former name is telling here, as I would bet that JD is at least the best Chinese electronics retailer today. Suning's character is even more revealing. For example, I believe that Suning.com isn't thinking nearly enough in terms of ROI. To illustrate - it's involved in everything flashy, such as drones, unmanned stores, and AI powered unmanned delivery vehicles, home AI speakers, VR shopping, and it even bought a Chinese football club. Besides that, their CEO, via his own private holding, bought a majority stake of the football club Inter Milan in 2016, which probably doesn't increase his focus on Suning. Doing such things is trying to be cool. The ROI can't possibly be more than a 2x, for such a world is linear. And even if it's a "private" thing, I simply can't relate to something like that. To me it's a sign about Suning.com as a whole. Besides that, some very skilled capital allocators own Juventus Turin, so, on the grand scale of things, I'm not sure how happy one can be with owning Inter Milan anyway.

Suning probably is the kind of company which derives its status from the sales line and not its intrinsic value CAGR and how their shareholders have fared. Another red flag is how the company presents itself. Their presentation efforts focus far too much on appearing fancy. The company thinks of itself as a big-shot. No modesty, no hardships, and no real invention.

With that said, it's probably not the worst short-term-cookie-idea at current prices (although I must admit, I haven't explored this possibility in depth). However, in August of 2015, Alibaba paid \$4.56bn for a 19.99% stake of Suning. A twenty-percent stake is now worth $100/6.9 \times 0.2 = \$2.9\text{bn}$.

Maybe Alibaba felt pressured by JD after all? Maybe Alibaba thinks new retail is so important to win that they even forged an alliance with a retailer with a clear offline-DNA just to fight JD? Alibaba in any case did move heavily against JD in the last years. I will come back to that later.

On to the next scale-benefits shared contender:

Pinduoduo

There's also Pinduoduo, currently at a market cap of \$25bn. Its founder, Colin Huang, now has a (paper) net worth 2x that of Richard Liu. Interestingly, Pinduoduo isn't even four years old, and JD has about 30x more revenue than PDD. While JD has over 175,000 employees, PDD's employee count is unclear. PDD's 2018 prospectus states the company employs 1,159 persons, while their website in 2017 claims more than 5,000. That's a significant difference, and one that would affect both the company and my investment thesis.

But, okay, investing and valuations are about the future, right?

From PDD's prospectus: "If you close your eyes and visualize the next stage for Pinduoduo, it would be an exemplification of a multi-dimensional space, seamlessly integrating cyberspace and the physical space. It would be a combination of 'Costco' and 'Disneyland' (value-for-money and entertainment combined)". If I would be too literal here and take Costco as PDD's financial idol, which currently has a market cap of \$90bn, PDD would have 3.6x in upside left to Costco's market cap - at least from the perspective of public market shareholders. And Costco still has 50x more revenue than PDD. I don't even want to take Costco's net profit margin and try to apply it to PDD and calculate how much revenue they would need to get to something like a PE of 14 to justify a market cap of \$25bn. But I can tell you that, if PDD really makes money via retailing and gets to a 5% net profit margin, they would need \$35bn in revenue and a PE of 14 to justify their current market cap. So maybe they have margins more like Disney? Maybe. But right now, as of 3Q18, I cannot tell, as their losses are greater than their total revenue. For JD, on the other hand, I have good reason to assume that running around breakeven/profitability is not really the problem.

I have read Colin Huang's [website/blog](#)⁸ completely. I sympathize with his stories and thank him for uploading them and sharing his experiences. Still, I maintain a few reservations about PDD as an investment idea. Foremost about PDD's valuation, but also in regard to other details. When I read the blog or PDD's natural language (non-legalese) sentences in the prospectus, I feel that there are occurrences of what I could call "value-signaling". It's like virtue-signaling, but in regard to value investment culture, like quoting Mr. Munger and Mr. Buffett just a little bit too often to really make it clear that one has read them and is a disciple. Someone recently made the joke that the book *The Outsiders* is mostly read and used by IR departments or promotional CEOs in regard to how to behave. The CEO's blog reads too pure for my taste – but maybe that's just my own character. I just wouldn't write a sentence like, "Pinduoduo is not a conventional company". Instead I would probably write something like: "My company is a normal, conventional company" in order to set a new standard, which is far more powerful than to be exceptional or unconventional. Why didn't he IPO even earlier under the same arguments, and at a lower valuation where public shareholders would at least get rewarded for trusting him? Or does he think that PDD's current valuation has a margin of safety? I also don't understand the utopian vision he claims, besides social e-commerce, when he writes, "We are grateful to those who are willing to invest in Pinduoduo after reading through the utopian ideas above". "Utopian" is a strong word. To me, Huang's supposed Utopia is a poor man's Utopia. And so far, the company actually appears very conventional, perhaps for the same reasons that Snapchat never felt special to me. I just cannot have an opinion on PDD without having an opinion on Colin Huang; I must include my judgement of Huang in my composite evaluation of PDD. If I consider Richard Liu and JD, however, I am quite sure that Liu has created something so big that the success of JD doesn't really depend on Liu in the same way PDD depends on Colin Huang. It's a red flag when someone quotes Bertrand Russell but writes "Principe Mathematica" instead of "Principia Mathematica" (although the fact that I find this alarming might just once again be the nerd in my character). But what all of this means is that Colin Huang and PDD are in my too hard pile, and regardless of the outcome, even if I miss out on PDD as the best thing ever, JD should clearly still be one of the top Chinese retailers.

So, what are my qualms about Colin Huang? Well, for starters, in the prospectus he is characterized in the following way: "Mr. Zheng Huang, strongly believes in giving back to social causes and communities in need and is an adamant advocate for using science and technology to benefit our society. To that end, Mr. Huang plans to establish a private charitable foundation". Despite this judgement, Huang hasn't even established a track record in philanthropy, as far as I know. I also ask myself – is there anybody not subscribing to such a sentence?

⁸ <https://colinhuang.com/@colinhuang1>

Such endeavors remain tentative. Huang, in the end, still “plans” to found his charity. The best CEOs already have their philanthropies set up and fully functional. They make statements like, “If I make amount X, I will give away amount Y yearly”. If I read about somebody’s charity, my first question is about its ROI. Otherwise, it’s too easy to signal virtue. I think if you announce to do philanthropy you should be precise about it. Anyway, so far, I only see “plans to”. As investors, we rely heavily upon the track record of CEO’s. Huang just hasn’t impressed me so far, and I should not rely on future promises especially when I cannot measure a CEO fairly based on their previous work.

If somebody has an edge on PDD, things might get a little more interesting. If this social e-commerce thing truly somehow leapfrogs even the commerce models of Facebook or Amazon, then, following from PDD’s current – now theoretically assumed as fair – valuation, Snapchat might be the no-brainer of 2019/2020, as it must be easy to implement group-buying in the same way as PDD does, right? As Tencent is invested in both PDD and SNAP this wouldn’t be too farfetched. Greater support from Tencent might actually help SNAP to improve its news content to something much greater in quality as well.

To recoup and reflect on what I’ve covered so far: I find it important to figure out the odds of non-Alibaba threats to JD. After reviewing Sunning and PDD, I feel pretty good about JD. I find comfort in the fact that PDD is the “hot new thing” with high-hopes and, in my opinion, an even higher valuation. JD is the old thing, steadily grinding scale and efficiency, year after year, minute after minute. And lastly in regard to PDD, they’re in the Tencent camp, and Tencent people trust Huang and say he’s bright. I hope that PDD actually will work together with JD, somehow. Also in the Tencent camp is Meituan-Dianping, which is an inventory light marketplace model for services like food delivery and hotel, travel and events booking. Once again, I’m happy that they’re rather in the Tencent camp, too, as there might be some ways to collaborate.

I am aware that I search for a company resembling a specific model. This is because I believe that the “everything-store e-commerce model” is better than the “many big warehouses all over the place model” of retail. The warehouse model suffers from a limited number of SKUs, the need for more security, personal, maintenance, buildings and so on. Inversed, believing in the old retail model means believing that the old way to do business is actually more efficient than the everything store kind of business. I find that belief, at the very least, troubling.

Before I move on, I just want to be clear – I do not actually believe that “JD is it, it’s the Amazon of the East” or something like that. Regardless of what you may think of my write-up, please be clear on at least this fact.

Remember, I own JD for nothing more than it being a low-margin retailer nearing maturity. That was my focus. Whatever else happens, I can’t see yet. But I have a conviction in JD’s value based on the current price (<0.6 price/sales) for my particular assumptions. Everything else is pure upside optionality for me, such as statements that JD is the best in regard to logistics and the supply-chain.

I find the comparison made between JD and Amazon already in 2014 rather absurd. At that point in time, JD was only a low-margin retailer, and one could have bought Amazon (even in 2015) extremely cheaply (for under \$150bn). Then, Amazon’s market cap was only 4-5x more than JD, despite easily being much more developed. The most absurd tiny valuation gap between the two occurred in June 2015, when JD had a \$50bn market cap and Amazon a \$200bn market cap. Pure madness. Still, many got suckered into the comparison and bought JD because of its resemblance to Amazon - way, way too early and at the very same time that Amazon was insanely cheap.

With all that said, now the difference in market cap is more than 25x and 40x in regard to enterprise value. Now, JD suffers the problem that, in the earlier years of its public existence, it was short-term overpriced, regardless of revenue growth (and low-margin revenue at that). As a result, the grief routinely snaps back, and JD must face its disgruntled public investors of the past four years.

In regard to JD as a company, I think the interest of other investors in JD will grow as they reach a certain even bigger size. Furthermore, revenue isn't merely linearly better, but increasingly so, especially for a retailer like JD. And JD already has a lot of revenue.

There are couple of things about JD more visible now than in 2014 which bear resemblance to Amazon: The tendency to inhouse stuff, like warehouses and delivery. Not fearing hard-assets when they could be a moat, something which just recently might became a new fashionable view in the tech world⁹. Retail as a software problem. Scale-benefits shared. Customer focus. Price wars or the mindset that other people's margins are one's opportunity. Getting involved in adjacent businesses. Trying to be the world's best (see deliveries). And building one's own biggest threat oneself - for example, JD should fear a company that is even better in regard to logistics and delivery, especially if you tediously "inhouse" them, so that your supply-chain advantage can't be leapfrogged. Such a threat was and is, for example, drones. Interestingly, JD is already very advanced when it comes to drones. Other than the Amazon Kindle, which "inhouse" the threat of people preferring to read books digitally, JD's drones so far have been serving more as a form of insurance instead of being wildly financially successful. Nonetheless, I think JD showed some prowess here and the right mentality that it's best to cannibalize oneself. And I'm optimistic here that drones are a good area to be in, and that any short-term financial pain will grow into a long-term edge. I think, currently, if you add up all of JD's drone flying hours and divide this by a year's hours, one JD drone is already flying at all times.

Another, albeit pretty important, similarity between Amazon and JD is the risk of holding and managing an inventory in contrast to being purely the platform.

If the inventory holding retail-model isn't completely dead for some reason unbeknownst to me, JD is China's winner in this category. JD as of today is the largest Chinese retailer that carries its own inventory. This is another cornerstone in my thinking about JD.

Now the big question probably is: Does this matter at all? What if Alibaba's model already is sufficient?

JD vs. Alibaba?

Most people I encountered online really only ever focus on Alibaba vs. JD. My way to Alibaba and JD was via looking at as many other retailers as possible and understanding why most of them are GDP-CAGR'ing value traps, at best. In most logical scenarios, it's obviously bad to assume that option A is good, simply because B, C and D is wrong. But in business and investing, if you know that option D to ZZ really looks inferior, one might find conviction in the prospects of A, B or C. Competition is wonderful when in fact there is arbitrage and not risk.

If one really looks at all the other options, one observes an interesting phenomenon: Something has been crushing other retailers' margins for years and continues to do so. And, if you would, for example, read SeekingAlpha JD articles all the way back from 2014, you'd encounter a surprisingly large number of Chinese retail corpses (or zombies) which were once considered a threat to JD. John Huber from Sabre Capital, whom I greatly admire and whose investor letters I strongly recommend, was spot on when he minted JD as the turtle that survived. It's astonishing how far JD already has come in the last years. And on JD's path until here lay dozens of corpses of Chinese (and some foreign) e-commerce companies. I think people would be less fearful about JD (and why it's enduring) if they knew about all the others.

⁹ <https://www.ben-evans.com/benedictevans/2018/11/16/the-end-of-the-beginning>

And the further one goes back in time, the clearer the idea that Alibaba represents a threat to JD is put into perspective: Why should Alibaba crush JD now?

I believe that JD over its lifetime grew more relevant to everyday-life in China as a whole and as a competitor to Alibaba. And JD as a company has done well so far on most intrinsic metrics. Since going public, over the last four years, all their relevant metrics are up multifold. I mostly care about the present value of free cash flow per share, so I'm happy about JD, as I think the flywheels to more revenue, more users, cheaper prices, and better services are absolutely still grinding, even though it's more secular now.

With Amazon, it was kind of clear what was going to happen to certain old industries. But in reality, it took much longer than most people thought, right? Many extrapolated correct thoughts about the internet but just got the timing wrong, and hence, the internet bubble happened when everybody assumed that the internet (including the e-commerce) revolution already had taken place.

To recap, I would be astonished if Alibaba could really "crush JD". Many people think this is the case, which doesn't make sense if you consider all the other competitors out there. Alibaba crushing JD would mean a monopoly on Chinese e-commerce. I think that, even today, there's a sharp divide between both modern, converging tech e-commerce retailers/everything companies (companies which aren't myopic about a fixed product, but take ardent care of general things, like customer-satisfaction) and the rest. JD, as the largest inventory retailer, should have staying power. Is it really reasonable to assume that Alibaba is going to crush absolutely everybody else? If no, JD will do just fine. Being second to Alibaba is an asset. Being third shouldn't lose you money if you buy shares at the right price for the long-term. Being fourth, in all likelihood, isn't a liability either. But what about number 5 to 500?

After we have thought about competitors, we might ask the next question: What's JD's value?

I believe that JD could earn greater net profit as a percentage of their current revenue if they wanted to. As said, to my delight, JD's ability to turn a profit is currently intensely debated. One often reads sentences like, "They will never make a profit". With JD's share price down almost about 60% from their all-time-high, it was even said that, "JD will go bankrupt" and, "JD will get crushed by Alibaba/PinDuoDuo".

As I already mentioned, the composite net profit margins of old retailers equal 3.2%. Could it be that the new model of e-commerce supply-chain is in fact just a historical error?

Well, no. So, assuming that JD, if it wants to, achieves the old retailer 3.2% net profit margin on \$70bn revenue, JD's current market capitalization is already justified, ignoring everything else.

To be honest, I like JD because it is "not mature yet", "not-yet profitable" and so on. I just have to make sure it's doing something useful based on common-sense, like growing users over the long-term, getting JD Plus members, and increasing the value they offer.

So, the base of my thesis is that you currently pay a fair price for the "low-margin retailer JD.

I must confess to you that another approach of mine in regard to JD was influenced by Warren Buffett's reading of the Moody's Manual back in 1953. Unfortunately, I don't have the modern version of the book with all public companies of the universe and their description and data (I absolutely would love to read this book of all public companies and wish I owned a copy). Instead, I read all the companies, their descriptions, their revenue, assets and market capitalization

on the Forbes Global 2000¹⁰ list. My conclusion, which I again remind you comes from an investment novice: I like JD simply because there aren't many mega cap companies on that list that I'd like to own more over the long-term based on common-sense in regard to their business models.

Below are a few studies I did after reading through the Forbes Global 2000:

Study 1) What is a \$100bn sales company generally worth?

Generally, if a business has \$100bn in sales, it's very, very likely that its market cap is higher than \$40bn. My own data might not be perfectly precise, as I don't have access to good live data sets, and couldn't afford them, but there are roughly 60 companies out there with more than \$100bn in sales (at the time of my study on the Forbes 2000 data set, which unfortunately is obviously a bit outdated, so sorry for that).

How many public companies exist with more than \$100bn in sales and a market cap lower than \$40bn?

1. McKesson - \$205bn sales - \$31bn market capitalization
2. Amerisource Bergen - \$160bn sales - \$19.1bn market capitalization
3. Cardinal Health - \$134bn sales - \$17bn market capitalization
4. Fiat Chrysler - \$129bn sales - \$35bn market capitalization
5. Exor (which makes the list because of its "look-through revenue", thanks to Fiat Chrysler)
6. Express Scripts - \$100bn sales - \$41bn market capitalization
7. China Railway Construction - \$103bn sales - \$20bn market capitalization
8. China Railway Group - \$106bn sales - \$25bn market capitalization
9. Nissan Motor - \$107bn sales - \$39.7bn market capitalization
10. Fannie Mae - \$115bn sales - \$1.5bn market capitalization
11. Kroger - \$122bn sales - \$21bn market capitalization

First of all, a very important fact: 49/60 companies with +\$100bn sales had more than \$40bn in market cap. This means that, even if I completely fooled myself about JD, statistically, in a couple of years, chances are, I'm not losing money here (at least not too much). This gives me an attractive angle to evaluate a margin of safety. Such an abstract way of looking at JD, completely bracketing out any knowledge I have about it, is helpful for me to think with a level of clarity and greater context. I'm happy if I can look at an investment from an angle where my own thinking does not fool me. So, the most important conclusion is already implied: If JD gets to \$100bn in sales, chances are, my capital isn't impaired, so long as I got the basics right that JD isn't blowing up and is a legitimate company.

I can even go a little further. First of all, I would exclude the GSE¹¹ Fannie Mae, as it just isn't a company like every other. So, we actually only count 48 out of 59 companies. I exclude Exor, too, as it double counts Fiat Chrysler. Actually, one could make the argument that Fiat Chrysler under \$40bn is rather irrational in regard to its currently astonishingly low earnings-multiple. At a \$40bn market cap, Fiat Chrysler still had a lower EV/sales ratio than many peers (despite a long probable list of qualitative arguments as to why Fiat Chrysler should trade at a premium versus GM, Ford or many other car companies). I can't contribute much in regard to Fiat Chrysler and Exor, but I would say it's interesting that, even from a purely statistical perspective of "companies with more than \$100bn in sales", they are at the end of the bell curve.

Excluding Fiat Chrysler and Exor, depending on whether or not you agree with my chutzpah in regard

¹⁰ https://www.forbes.com/global2000/list/#header:revenue_sortreverse:true

¹¹ https://en.wikipedia.org/wiki/Government-sponsored_enterprise

to excluding Fiat Chrysler, the chances that a company with \$100bn in sales has a market capitalization of more than \$40bn increases to 50/59. That's an almost 85% chance. Sure, sometimes that's not enough to cross the river, but then again, the odds are fairly decent even from this purely quantitative perspective. And if you want to double count Fiat Chrysler and include Fannie Mae, too, the chances are still 81.67%.

There are four prescription/medical companies, which are in my too hard pile. I don't have any motivation to even look into them, as I have doubts that, of all possibilities, they are what could help me to achieve above-average compounding over the long-term. I ignore them, unless somebody tells me they trade for less than three times free cash flow on enterprise value, which I doubt they do. The obsolescence risk would be too high for my stomach, as my gut says, with internet and better regulation, things in regard to prescriptions could be done much cheaper, more efficiently, patient-friendlier, and so on.

Lastly there are Kroger, Nissan, China Railway Construction, and China Railway Group. Kroger is an exemplary offline-retailer, while Nissan and the two Chinese companies just don't have very good business models, are capital intensive, and have a low return on probably almost all relevant financial metrics. Quite simply, I believe that it would be strange if, in the future, JD would have an EV equal to China Railway Group, Kroger or China Railway Construction. I think JD is a much better company, now, and will be even more so in the future. And I would bet that precisely because there's so much spotlight on JD, people forget all the other companies in the ballpark of JD's December 2018 market capitalization.

Study 2) Which Chinese public companies are reasonable contenders for a +\$100bn market cap over the next decade?

I find it somewhat baffling that there are only two internet tech companies in China with a market cap over \$100bn: Alibaba and Tencent. I am confident that, a decade out, there will be many more Chinese internet tech companies with a market cap over \$100bn. On the Forbes Global 2000, there are 241 Chinese companies. I once again tried to invert and looked at all possible contenders for future Chinese \$100bn plus market capitalization tech companies by trying to get a feeling for those which have inherent headwinds because of their business model and industry. Such a meditative study might be way too long for an investor letter. Nonetheless, I give you a list of companies and their respective market capitalizations to give you an impression of why I believe JD is undervalued. These samples, 52 in total, all have in common that their market cap is higher than \$15bn but lower than \$100bn. I tried to exclude real estate, financials, insurers and certain energy companies. With that said, regardless of my own filter, I think it's worthwhile to think about the other 189 public Chinese companies as well. I recommend reading about all public Chinese companies, as the list almost forces you to recalibrate your feeling about market size. I have the impression that there is a myriad of financials, real-estate and insurance companies, but, so far, not so many tech conglomerates.

Another reason why I list all these companies is that, all things considered, there are relatively few Chinese public companies listed in Western countries. This is why the larger ones, e.g. NetEase, Ctrip, Baidu, Weibo, Tencent, Alibaba or JD, receive a fair amount of investor attention. The limited scope of Chinese companies listed in the West, in my opinion, sometimes leads to irrationality when some particular company falls out of favor. I have the suspicion that Western investors sometimes try to stock pick e.g. "Momo" versus "YY" versus "Bilibili" simply because this is an easy option available to them. But these few companies that list in the West are actually only a small quantitative fraction of what's really out there.

On a philosophical level, I think it's reasonably comprehensible that, when it comes to ethical matters, it's much easier to determine what's wrong than what's right.

On a less ethical level, it's probably common-ground among many circles of intellectuals that, no matter how many facts you collect, you cannot absolutely prove, validate, or verify a hypothesis, while a single fact can falsify your hypothesis.

What does this mean for value investing?

Why is Buffett not only "a" value investor, but "the" value investor? Because by actually reading the 1954 *Moody's Manual of Investments* multiple times (where he famously found "Union Street Railway" on page 1492), he actually circled around the entire investible universe of public companies. With each new company he read about, his very notion of value, derived from prior companies, changed. He didn't really find much value in all the companies he thought had value until he discovered land on the metaphorical page 1492.

I cannot repeat it often enough: I'm very new to the investment world. Although, when I first heard about it, not even 1.5 years ago, it felt like discovering new land. It blew my mind that the act of buying dollars for cents is actually real, and I immediately understood the significance of such a phenomenon. And I knew that investment must be part of my destiny. With that said, I find it astonishing that, with the exception of Warren Buffett, many who are among the disciples of value investors seem to try to be "positivist" stock pickers (I completely ignore other investment strategies for now, e.g. the gargantuan sect of index-ETF people, as I don't want to disturb their religion where a former wonderful idea now doesn't mean much more than mediocracy as an ideology). Because I never read it anywhere else, I owe it to the investment community to point out that Buffett simply inverted the process of investing into a game of "where not to invest". It's not as simple as that he positively read about all the companies and found a good idea; it's that he was a Mungerist inversion master and, because of that, investing became much easier. Buffett played a game of stock Minesweeper by excluding thousands of thousands of potentially capital impairing ideas.

I have the suspicion that everybody who takes Buffett's advice seriously and actually simply reads about ALL the public companies out there will have an unusual, long-lasting edge on everybody else.

Ultimately, did Buffett really find value in "Union Pacific Railway"?
I would argue against it.

Value in "value investment" and "value" in the general sense of the word, no matter how vague it will seem to you, are not separate. A philosopher searching for the meaning of life a priori is in the delicate position that, maybe, if life/world/universe were meaningful, one wouldn't search for its meaning. From the perspective of the consequences, a value investor doesn't differentiate themselves from a successful trader. The difference lies in the approach to our world. I think, in value investment, in the quest for value, there's a subtle, utopian core embedded that drives us towards a world in which we wouldn't need to search for value anymore. This is why I consider myself to be a value investor - I try to invest *for* value by investing *in* "value". This may actually lead to the fulfilment of the promise of value.

Here is the aforementioned sample of Chinese public companies (non-financials, non-real-estate, non-oil between a \$15bn and a \$100bn market capitalization) from the Forbes 2000 global:

1. "China Shenhua Energy" – "Market Cap \$64.6B" – "Industry Diversified Metals & Mining" – "Employees 89,057" – "Sales \$36.4B" – "Profits \$6.7B" – "China Shenhua Energy Co. Ltd. engages in the production and sale of coal, railway and port transportation of coal-related materials, as well as power generation and sales. It operates through the following business segments: Coal Operations, Power Operations, Railway Operations, Port Operations and Shipping Operations."

2. "China Communications Construction" – "Market Cap \$28.8B" – "Industry Construction Services" "Employees 116,893" – "Sales \$71.2B" – "Profits \$3B" – "China Communications Construction Co. Ltd. engages in the design and construction of transportation infrastructure, dredging and heavy machinery manufacturing business. It operates through the following segments: Construction, Design, Dredging, Heavy Machinery, and Others."
3. "China Telecom" – "Market Cap \$38.6B" – "Industry Telecommunications services" – "Employees 284,206" – "Sales \$54.2B" – "Profits \$2.7B" – "China Telecom Corp. Ltd. is engaged in the provision of wireline and mobile telecommunications services."
4. "China Railway Group" and
5. "China Railway Construction", which I've mentioned already, as they both also barely have more than \$100bn in sales. They had \$25.3bn and \$20.3bn in market capitalization.
6. "Baoshan Iron & Steel" – "Market Cap \$31.7B" – "Industry Iron & Steel" – "Employees 57,154" – "Sales \$40.7B" – "Profits \$3.1 B" – "Baoshan Iron & Steel Co., Ltd. engages in the manufacture and sale of iron and steel products. Its products include carbon steel, stainless steel, and special steel." (A year before it achieved \$3.1bn in profit, it had \$666.7mn in profit, and the year before that, \$161.2mn)
7. "Midea Group" – "Market Cap \$55.7B" – "Industry Household Appliances" – "Employees 135,000" – "Sales \$37.8B" – "Profits \$2.7B" – "Midea Group manufactures and sells consumer appliances, HVAC systems, robotics and automation systems, and smart supply chain (logistics)."
8. "CRRC" – "Market Cap \$41B" – "Industry Heavy Equipment" – "Employees 176,754" – "Sales \$31.3B" – "Profits \$1.6B" – "CRRC Corp. Ltd. engages in the research and development, design, manufacture, sale, refurbishment, and lease of transportation vehicles. It operates through the following segments: Locomotives, Passenger Carriages, Freight Wagons, Multiple Units, Rapid Transit Vehicles, New Businesses, and Other."
9. "Gree Electric Appliances" – "Market Cap \$45.1B" – "Industry Household Appliances" – "Employees 85,222" – "Sales \$23.9B" – "Profits \$3.6B" – "Gree Electric Appliances, Inc. of Zhuhai engages in the manufacture and sale of air conditioners and other household electric appliances. Its products include air conditioners, enameled wire, compressors, capacitances, motors, and household electric appliances."
10. "Baidu" – "Market Cap \$94.1B" – "Industry Computer Services" – "Employees 39,343" – "Sales \$13.4B" – "Profits \$3.5B" – "Baidu, Inc. operates as an internet search provider, which offers internet search solutions and online marketing solutions. The firm operates as an e-commerce platform with an online payment tool, develops and markets web application software, and provides human resource related services. It operates through the following segments: Search Services, Transaction Services and iQiyi."
11. "Sinohydro Group" – "Market Cap \$15.2B" – "Industry Construction Services" – "Employees 131,091" – "Sales \$41.2B" – "Profits \$1.1B" – "Power Construction Corp. of China Ltd. engages in planning, designing, consulting, civil works construction, installation, and manufacturing services in the fields of hydropower, thermal power, new energy, and infrastructure."
12. "Fosun International" – "Market Cap \$18.6B" – "Industry Iron & Steel" – "Employees 63,000" – "Sales \$13.1B" – "Profits \$2B" – "Fosun International Ltd. engages in the manufacturing and selling of pharmaceutical and healthcare products, property development, the manufacture

and sale of iron and steel products, mining and ore processing of various metals, asset management, operation and investment in insurance business and various other investments.”

13. “China Yangtze Power” – “Market Cap \$56B” – “Industry Electric Utilities” – “Employees 4,036” – “Sales \$7.4B” – “Profits \$3.4B” – “China Yangtze Power Co., Ltd. engages in hydropower generation.”
14. “Sunac China Holdings” – “Market Cap \$19.6B” – “Industry Construction Services” – “Employees 19,271” – “Sales \$10B” – “Profits \$1.7B” – “Sunac China Holdings Ltd is an investment holding company which engages in development, management, and investing in properties.”
15. “Kweichow Moutai” – “Market Cap \$142.4B” – “Industry Beverages” – “Employees 24,029” – “Sales \$8.5B” – “Profits \$4.4B” – “Kweichow Moutai Co., Ltd. engages in the manufacture and sale of alcoholic beverages, food, and packaging materials.”
16. “Citic Securities” – “Market Cap \$35.8B” – “Industry Investment Services” – “Employees 16,161” – “Sales \$6.1B” – “Profits \$1.8B” – “CITIC Securities Co. Ltd. engages in the provision of financial products and services. The company operates through five business segments: Investment Banking, Brokerage, Trading, Asset Management and Others.”
17. “BOE Technology Group” – “Market Cap \$24.1B” – “Industry Electronics” – “Employees 62,516” – “Sales \$14B” – “Profits \$1.1B” – “BOE Technology Group Co., Ltd. is a supplier of display products and solutions.”
18. “Anhui Conch Cement” – “Market Cap \$32.3B” – “Industry Construction Materials” – “Employees 42,915” – “Sales \$12B” – “Profits \$2.8B” – “Anhui Conch Cement Co., Ltd. engages in the manufacture and sales of cement and commodity clinker.”
19. “Qingdao Haier” – “Market Cap \$17.3B” – “Industry Household Appliances” – “Employees 76,896” – “Sales \$24.6B” – “Profits \$1.1B” – “Qingdao Haier Co., Ltd. engages in the manufacture and sale of household electrical appliances.”
20. “Suning Appliance” – “Market Cap \$19.7B” – “Industry Specialty Stores” – “Employees 29,814” – “Profits \$640.6 M” – “Suning Commerce Group Co., Ltd. engages in the chain sales and service of household appliances, office equipment, electronics, and communications products.”
21. “China Eastern Airlines” – “Market Cap \$15.5B” – “Industry Airline” – “Employees 75,277” – “Sales \$15.7B” – “Profits \$834 M” – “China Eastern Airlines Corp. Ltd. is engaged in the provision of passenger and cargo air transportation services.”
22. “Daqin Railway” – “Market Cap \$20.7B” – “Industry Railroads” – “Employees 97,902” – “Sales \$9.2B” – “Profits \$2.2 B” – “Daqin Railway Co., Ltd. engages in the railway transportation services.”
23. “ZTE” – “Market Cap \$19.5B” – “Industry Communications Equipment” – “Employees 74,773” – “Sales \$16.8B” – “Profits \$765 M” – “ZTE Corp. engages in the design, development, manufacture, and sale of telecommunication equipment and network solutions.”

24. "Guangzhou Automobile Group" – "Market Cap \$18.6B" – "Industry Auto & Truck Manufacturers" – "Employees 84,290" – "Sales \$10.8B" – "Profits \$1.6B" – "Guangzhou Automobile Group Co., Ltd. engages in the automotive business."
25. "CNPC Capital" – "Market Cap \$18.8B" – "Industry Heavy Equipment" – "Employees 4,022" – "Sales \$5B" – "Profits \$1.1B" – "CNPC Capital Co. Ltd. is engaged in the manufacturing, selling and leasing of diesel and gas engine."
26. "BYD" – "Market Cap \$21.4B" – "Industry Auto & Truck Manufacturers" – "Employees 200,949" – "Sales \$16.3B" – "Profits \$532M" – "BYD Co. Ltd. engages in the research, development, manufacture and sale of rechargeable batteries. The company also manufactures and sells automobiles and related products, handset components, LCD and other electronic products."
27. "Shanghai International Port" – "Market Cap \$24.7B" – "Industry Other Transportation" – "Employees 17,213" – "Sales \$5.6B" – "Profits \$1.8B" – "Shanghai International Port (Group) Co., Ltd. is engaged in the operation of all public terminals in the Port of Shanghai."
28. "GF Securities" – "Market Cap \$17.7B" – "Industry Investment Services" – "Employees 12,019" – "Sales \$2.9B" – "Profits \$1.2B" – "GF Securities Co., Ltd. engages in the provision of comprehensive capital market services."
29. "NetEase" – "Market Cap \$35.2B" – "Industry Computer Services" – "Employees 18,129" – "Sales \$8B" – "Profits \$1.6B" – "NetEase, Inc. engages in the provision of online internet technology services. It operates through the following business segments: Online Games, Advertising, e-mail Services and E-commerce."
30. "Hikvision" – "Market Cap \$58.2B" – "Industry Electronics" – "Employees 26,330" – "Sales \$6.6B" – "" – "Hangzhou Hikvision Digital Technology Co. Ltd. engages in the provision of video products and content service. Its products include digital camera, analog camera, network camera, camcorder accessories, codec products, transmission products, storage products, display and control products, car and handheld product, transportation products, client software, alarm products, industry software products and platforms, system-level products, industrial camera machine vision, video conference, intercom, and access control products."
31. "S.F. Holding" – "Market Cap \$34.3B" – "Industry Business & Personal Services" – "Employees 136,432" – "Sales \$11.5B" – "S.F. Holding Co., Ltd. engages in the express logistics industry. Its business areas include Express logistics, Commercial sales, and Other." – "Profits \$753.2M"
32. "Inner Mongolia Yili" – "Market Cap \$24.8B" – "Industry Food Processing" – "Employees 53,531" – "Sales \$10.8B" – "Profits \$960.8M" – "Inner Mongolia Yili Industrial Group Co., Ltd. engages in the production and sale of dairy products. Its products include liquid milk, ice cream, milk powder, yogurt, and raw milk."
33. "China National Nuclear Power" – "Market Cap \$16.1B" – "Industry Electric Utilities" – "Employees 11,734" – "Sales \$5B" – "Profits \$679.2M" – "China National Nuclear Power Co., Ltd. engages in the development, operation, construction, investment, and management of nuclear power plants."
34. "China Merchants Securities" – "Market Cap \$16.8B" – "Industry Investment Services" – "Employees 10,633" – "Sales \$1.7B" – "Profits \$830M" – "China Merchants Securities Co.,

Ltd. engages in investment banking. Its business activities include securities brokerage, investment consulting, financial advisors and securities trading, and asset management."

35. "Shenwan Hongyuan Group" – "Market Cap \$17.4B" – "Industry Major Banks" – "Employees 14,129" – "Sales \$2B" – "Profits \$697.2M" – "Hong Yuan Securities Co., Ltd. engages in the securities industry. The company operates through the following business divisions: Securities Brokerage, Proprietary Trading, Underwriting, Asset Management, Margin Trading, and Securities Investment Consulting."
36. "Wuliangye Yibin" – "Market Cap \$47.2B" – "Industry Beverages" – "Employees 25,478" – "Sales \$4.4B" – "Profits \$952.6M" – "Wuliangye Yibin Co., Ltd. engages in the production and distribution of liquor and its related products. It produces wines under the following brand names: Rooster Liquor, Long Howl, Golden Elegant Wuliangchun, and Panama Gold Liquor."
37. "Guangdong Wens Foodstuffs Group" – "Industry Food Processing" – "Market Cap \$18.1B" – "Employees 50,574" – "Sales \$8.4B" – "Profits \$1 B" – "Guangdong Wen's Foodstuffs Group Co., Ltd. engages in chicken and pig production. It also offers bio-pharmacy and food processing services."
38. "Jiangsu Yanghe Brewery" – "Market Cap \$30.9B" – "Industry Beverages" – "Employees 15,026" – "Sales \$2.9B" – "Profits \$1.1B" – "Jiangsu Yanghe Brewery Joint-Stock Co., Ltd. is engaged in the production and distribution of liquor and related products. It offers products and red wine products and major liquor offerings include Yang he and Shuanggou series."
39. "China Molybdenum" – "Market Cap \$25.6B" – "Industry Iron & Steel" – "Employees 11,226" – "Sales \$3.8B" – "Profits \$564M" – "China Molybdenum Co., Ltd. is a joint stock company engaged in the mining, flotation, roasting, smelting and downstream processing of molybdenum products."
40. "China Shipbuilding Industry" – "Market Cap \$18.6B" – "Industry Heavy Equipment" – "Employees 36,315" – "Sales \$5.1B" – "Profits \$126M" – "China Shipbuilding Industry Co., Ltd. engages in the design, manufacture, and distribution of ships. It operates through the following business divisions: Shipbuilding and Support, Ship Remodeling and Repair, Naval Equipment, Offshore Engineering, and Others."
41. "Focus Media Information Technology" – "Market Cap \$22.2B" – "Industry Computer Hardware" – "Employees 8,415" – "Sales \$1.8B" – "Profits \$921.2M" – "Focus Media Information Technology Co. Ltd. engages in the electronic industry. It focuses on the production of computer machines, peripherals and digital communication products."
42. "Ctrip.com International" – "Market Cap \$23.3B" – "Industry Business & Personal Services" – "Employees 37,400" – "Sales \$4B" – "Profits \$320M" – "Ctrip.com International Ltd. engages in the provision of travel-related services. It provides hotel accommodations, airline tickets, packaged tours, corporate travel management services, property management systems, and advertising services."
43. "AAC Technologies Holdings" – "Market Cap \$18.9B" – "Industry Electronics" – "Employees 52,171" – "Sales \$3.1B" – "Profits \$791.2M" – "AAC Technologies Holdings, Inc. engages in the manufacture and distribution of miniaturized acoustic components. The firm produces speakers, receivers, microphones, vibrator, lens, and voice coil motor."
44. "Jiangsu Hengrui Medicine" – "Market Cap \$39.8B" – "Industry Pharmaceuticals" – "Employees 14,864" – "Sales \$2.2B" – "Profits \$506.1M" – "Jiangsu Hengrui Medicine Co.,

Ltd. engages in the manufacture and distribution of pharmaceutical and health food products. Its business activities include the development, manufacture, and distribution of raw chemical pharmaceuticals, injections, tablets, capsules, western medicines, medicine packaged materials, and raw medicines.”

45. “Foshan Haitian Flavouring and Food” – “Market Cap \$28.9B” – “Industry Food Processing” – “Employees 4,591” – “Sales \$2.3B” – “Profits \$566.9M” – “Foshan Haitian Flavouring & Food Co., Ltd. engages in the production and sale of condiments products. Its products include golden label superior light, superior mushroom, golden label oyster, wei ji xian, premium and yi pin xian soy sauce.”
46. “Kangmei Pharmaceutical” – “Market Cap \$19.4B” – “Industry Pharmaceuticals” – “Employees 11,219” – “Sales \$4.3B” – “Profits \$672.4M” – “Kangmei Pharmaceutical Co., Ltd. engages in the manufacture and sale of pharmaceutical, health care and health food products. Kangmei Pharmaceutical Co., Ltd. engages in the manufacture and sale of pharmaceutical, health care and health food products. It offers Chinese medicines, including American ginseng, notoginseng powder, salvia powder, radix codonopsis pilosulae, multiflower knotweed, angelica and Ionicera flower[...].”
47. “Shenzhou International Group Holdings” – “Market Cap \$17.2B” – “Industry Apparel/Accessories” – “Employees 77,100” – “Sales \$2.7B” – “Shenzhou International Group Holdings Ltd. engages in the manufacturing and sale of knitwear products. Its services include customized fabrics, dyeing and finishing, printing and embroidery, cutting & sewing and packaging & logistics.” – “Profits \$557.4M”
48. “China International Travel Service” – “Market Cap \$18.8B” – “Industry Business & Personal Services” – “Employees 15,683” – “Sales \$4.7B” – “Profits \$448.5M” – “China International Travel Service Co. engages in travel services, sale of duty-free products, development and management of real estates in tourism resorts, communications and transport, electronic commerce, and other general services.”
49. “Yunnan Baiyao Group” – “Market Cap\$17.3B” – “Industry Pharmaceuticals” – “Employees 8,294” – “Sales \$3.7B” – “Yunnan Baiyao Group Co. Ltd. engages in manufacture and sale of traditional Chinese medicine, western medicine raw materials and preparations, personal care products, and native herbs.” – “Profits \$486.8M”
50. “Sunny Optical Technology Group” – “Market Cap\$19.9B” – “Industry: Optics” – “Employees 28,540” – “Sales\$3.3B” – “Profits \$431.1M” – “Sunny Optical Technology (Group) Co. Ltd. engages in the design, manufacture, and sale of optical and optical related products. It operates through the following businesses: Optical, Optoelectronic, Instrument and Technical Support.”
51. “360 Security Technology” – “Market Cap \$39.3B” – “Industry Software & Programming” – “Employees 2,737” – “Sales \$321M” – “Profits \$10M” – “360 Security Technology, Inc. provides internet and mobile security products that protect users' computers and mobile devices against malware and malicious websites. Its products includes antivirus software, web browser, and mobile application stores. Other activities of the company includes: research and development of intelligent wearable products, intelligent home system, internet services such as search, live broadcast, games, movies, finance and news.”
52. “Luzhou Lao Jiao” – “Market Cap \$15B” – “Industry Beverages” – “Employees2,451” – “Sales\$1.5B” – “Profits \$448.4M” – “Luzhou Lao Jiao Co. Ltd. engages in the research, development, production, and sale of liquors.”

Meditations about this List

I don't know where exactly many of these companies currently trade, but many have/had between \$1bn and \$3bn profits, so a textbook valuation method results in them trading between \$15bn and \$45bn in market capitalization. JD doesn't have a juicy profit line, but it does have a lot of sales, sales growth and many different adjacent, growing, well-fitting ventures. Because the most immediate method for valuation, which probably is putting a multiple on the profit line, breaks down if you don't optimize for short-term profits, but for maximum long-term free cash flow per share, one can't comfortably value JD in the same way it's done with clearly more than 90% of other companies.

Independent of JD being value-cheap or not, JD currently is cheaper in price than a large number of companies with far less employees in sectors known to be disappointing for long-term investors.

I don't know Baoshan Iron & Steel at all, other than from the Forbes description (and that it is from Baoshan, which is famous for its steel), but let's compare JD with Baoshan Iron & Steel for a moment (I promise you, I could have taken another random name from our list and demonstrated the same point). Baoshan Iron & Steel was more expensive than JD on EV in recent months. Iron and steel aren't known to be wonderful industries. One year before its recent \$2bn in yearly net profit, the company had only one third the profit. And the year before, it was barely profitable. We can probably conclude that it is a cyclical business. That's one takeaway. But let's think about the next 5, 10, 20 and 50 years. How likely is it that Baoshan Iron & Steel, with ~50,000 employees, will have a much different market capitalization than today? Can it sustainably even be a 5x in the next 10 years when this would very likely mean that all the other companies in the iron and steel industry would increase 5x as well?

Can JD 5x over 10 years (which would result in 10-year +17%-CAGR)?

I won't give you a complete model - I just want to share how I (also) approach JD in connection to all other companies of a similar size by actively deciding against any random company from a list of 241.

Now, I offer you numbers I consider to be in the realm of "plausible" and maybe even "probable". How about \$10bn in free cash flow per share on \$150bn sales in 2029? This assumes a 6.7% net profit margin. This assumes success in additional ventures (for example in JD Finance, Cloud or Logistics). \$10bn in yearly FCF would result in a \$150bn market capitalization, ceteris paribus, and on a then steady state basis. Discounting back \$150bn in market capitalization ten years by 10% tells us: Such a company is worth \$52.3bn today.

To own a company now for 1x (\$52.3bn) that has a good chance of being worth ~3x in ten years, discounted at 10% per year (a not so aggressive discount factor), would in fact still be a good deal. The S&P 500 isn't consistently doubling every ten years. And individual investors statistically perform much worse than the S&P 500, index-ETF or not. Because of that, companies that have a reasonable chance of being worth more in the future are already worth more today. I'm not talking about some non-proven small-cap but rather the growing, slow-grinding big companies. I think the individual investor has a great advantage by knowing how much of the future is in fact discounted via classical textbook valuation approaches. Inversed, are all the non-compounders of the list really always worth their PE-multiple? I think, in reality, businesses that simply can't be worth much more in the future should be additionally discounted. Otherwise, one secretly assumes static world properties.

Some people say, "when you don't grow, you die". I'm very new to investing. But I think non-growth must be additionally discounted simply because others are growing. Not discounting non-growth would, as I already stated, mean assuming a static world. This is the reason why there are so many expensive value traps, and partially why great companies, year on year on year, grow their intrinsic value in contrast to the static companies. I don't think standard valuation approaches assume that

non-growth per se should be discounted both for time and relative to the companies actually achieving substantial growth.

I'm not sure if I'm onto something here. But to me, standard valuation approaches all seem to secretly presume a static non-growth world. I think that all DCFs should be additionally discounted by a certain percentage (for academics, maybe GDP growth in % yoy is a good idea, or for the practitioner, maybe NASDAQ-growth in % yoy is an even better idea) simply because others are growing, which affects individual valuation.

I think JD has a good chance of differentiating itself more and more from all these other companies. 90% of these companies are non-internet companies in the sense of "not-even-internet-related".

From the 52 sample companies, only NetEase, Ctrip, Baidu, and "360 Security Technology" could be roughly described as tech/internet companies ("360 Security Technology", just like PDD immediately belongs in my too hard pile, as it comes with almost \$40bn in market cap whilst having only 2,451 employees and \$1.5bn in sales). That's 5/52, including JD. Needless to say, almost all the other 189 of 241 companies aren't internet companies either, but mostly financials, real-estate or oil companies. As said, Alibaba and Tencent are the only two Chinese internet companies with more than \$100bn in market capitalization.

So, I would bet that the few internet companies (except "360 Security Technology", which I know nothing about) on the list will outperform the non-internet companies (even the ones excluded from this list).

Furthermore, one of the defining characteristics of the non-internet companies on the list is having many different competitors. I think if one makes the effort to list them all, it's not controversial to say that NetEase, Ctrip, and Baidu have much less "me too" competition than other companies. Offliners have a lot of "me too" competition, whereas I think the average +\$1bn Chinese tech market cap company is relatively differentiated versus the average offliner (except certain kinds of "internet" businesses, like p2p lenders). In regard to JD - yes, retail is usually considered to be hypercompetitive. But then again, I'm interested in JD because retail/e-commerce/O2O is a bigger market than the markets NetEase or Ctrip can call their own. Thanks to the internet, and because of the "Amazon-paradigm", we can at least already see the seeds growing from retail into something else, and maybe early shapes of how scale at scale might actually look.

Then, most of the other companies are industry-bound. I think things are more interesting when they're not clearly categorized and purposefully resist categorizations. In the investment world, where categories usually are called mental models, not caring about categorizations of a company might be equally as rewarding as doing the same in everyday life. Not thinking in immediate, automatic categories increases your perception. You realize plurality in everyday life. There are upsides to not using mental models, too. People tend to use the same mental models over and over again, all the time. This is likely because, first of all, it is easier to reinforce and standardize a coherent reliable experience. Regardless of reality and any truth in perception, at least perceiving something in the same, "reliable" way as everything else may result in a (false) sense of certainty. If you only use a few mental models/categories, it is easier to reinforce one's ego, character, story, and so on.

Only if you're a compulsive mental model collector do you develop the hubris to feel smarter. I think the "mental model" of having as many mental models as possible can be a trap, too. It assumes compatibility among mental models too easily. In fact, I believe modesty and cautiousness follow from true additional learnt mental models. True additional mental models aren't simply adding up to the old ones; they are in conflict with each other, oftentimes in a non-resolvable way. Mental models aren't like layers of magnifying glasses. They're ideological glasses, and one glass might rightfully say - capitalism ultimately is endangering everything by destroying our planet, while another might say -

complex, capitalist society is literally the luckiest thing ever happening to our society and everybody who enjoys liberal freedoms since the idea of civilized humanity itself. From these things, modesty and being cautious about one's action, not some intellectual hubris, follow.

And the whole point is that, chances are, you wear not two conflicting ideology glasses (adapting the world to your wishful perception), but an absurdly large number of glasses, all collected from your experiences, your family's experiences, your friends' experiences, and all the experiences that went into your own physis and your ancestors a very, very long time ago. Your actual, individual perception is the result of some quick-fix patchwork of a latticework of mental models.

And because of the limitations in our ability to truly perceive, you should take Charlie Munger very seriously and try to let go of something you were sure of every once in a while.

Not to overdo it, of course. But actually, the "mental model" way of perception is really useful to explain one particularly interesting relationship: The fewer mental models one has, the more likely one is to believe that they are smart, educated, and so on, because every perceived thing fits into one's own perception system much better if there are fewer categories/mental models. And at its extreme, an overlay of relatively few ideological mental models coincides with generalized man with a hammer syndrome.

I'd say that, just as it is with respective entities in nature and in social life, the very best companies seem to resist categorization much more than others.

I should remark that, unfortunately, the Forbes 2000 global list leaves out many public Chinese companies. Xiaomi, iQIYI or PDD weren't public around June 2018. And there are ZTO and Weibo, for example, which simply were missed, despite being public companies. I don't know why. Once again, I'm operating pragmatically and roughly.

The general conclusion of my Study 2 is that, interestingly, many Chinese mega caps currently aren't much more expensive than a relevant number of bad-industry value-trap peers. I further speculate that, because Western investors have it very easy in selling the typical few Chinese tech companies, the selling is exacerbated into silly territories. By reading everything I can from other investors about e.g. JD, Baidu and Ctrip, I would say that their respective individual problems are actually rather well known. But there's simply no spotlight at all from Western investors for the vast majority of Chinese public companies I found on the Forbes 2000 Global list.

To me, many Chinese tech companies seem to be rather cheap. This makes even less sense to me, especially considering the huge backdrop of hundreds of non-compounders. In my opinion, this means that the runway of Chinese tech companies is underestimated.

If you can half-way subscribe to my assertion that we are *still* in early internet times, or to Marc Andreessen's idea that software is eating the world, there are not many public Chinese internet companies available for the Western investor. If you believe that it's reasonable to assume that, in a decade, there will be more than just Tencent and Alibaba (excluding oil and financials) with more than \$100bn market capitalizations, the question is – which companies have a shot?

There aren't too many mid-cap Chinese tech companies with solid track records.

From my list, only NetEase, Ctrip, Baidu, and SF Holdings have true potential to CAGR above average over the long-term. In regard to SF Holdings: It is the biggest logistics company, but, ultimately, that's all it is. I believe it unlikely that such a siphoned-off idea presents long-term, above average compounding potential. Unfortunately, I don't know the Xiaomi ecosystem well enough, so although its market cap isn't even \$40bn, I cannot say if it's cheap. My gut says that the company has a fair chance of compounding above average. Baidu, Ctrip, NetEase are quite the pitches at current prices (\$156, \$27, \$240), at least in my opinion.

But only with JD do I have this scale-benefits shared model, which, so far, only a few companies have pursued. I wouldn't be surprised if JD eventually becomes a company with \$150bn in market capitalization and \$150bn in sales, reversing their current price/sales ratio, which is only sustainable if JD truly would turn out to be nothing more than the eternal low-margin retailer.

And the list from my Study 2 shows that, currently, JD is cheaper than many companies that operate in mediocre sectors, sectors for which it would be outright irrational to assume extremely positive outcomes on average over the next decades. I could now go through +90% of these companies and tell you why JD (even if I would get JD's quality massively wrong) is a better business over the long-term than the respective company we'd use for a comparison. And this is all despite the current low-single-digits billions in profits that JD lacks. I would conclude: Of the 241 public Chinese companies from the Forbes Global 2000, only Alibaba, Tencent, Baidu, NetEase, Ctrip and JD can really be considered to lead to internet-typical positive outcomes over the long-term. In the end, it is in fact meaningful to exclude a large pile of companies after having read about all of them.

Short study 3) Would I rather own JD at the price of company XYZ or feel like I am over-paying for JD at the price of XYZ?

Finally, I went through the Forbes Global 2000 list again and compared all companies with a market capitalization of \$40bn or more with JD and asked myself, would I rather own JD or this company? I also asked myself at which price I would rather own one or the other: Would I rather own XYZ at a market capitalization of \$60bn, or JD at a market capitalization of company XYZ?

This exercise, after reading about all the companies out there with more than \$40bn in market capitalization, led me to believe that JD should compound solidly from here on, as there are many companies out there that might have some short-term profits in the single-digit billion range and trade on some "fair" earnings multiples. The critical point is that these companies, more often than not, just leave no upside for prospective owners. So many companies' fair value is all but a mirage, yet somebody still must hold them without much upside potential left after all. I think this exemplifies the common public company investor. They have hardly any upside potential and own everything according to the textbook's correct valuation multiple.

Conclusion

Now, JD is equally as large as my second biggest position and well over 10% of my portfolio, thanks to ample buying opportunities over the last few months as JD basically traded back to IPO price after more than four years of being public.

Needless to say, my naïve attempt to buy JD and expect a +15% CAGR was kind of a mistake, as it automatically decreased my margin of safety. At the time, I thought that it was okay to pay a reasonably cheap price for a wonderful company. I do think that JD is a wonderful and very stubborn company, and that the market underestimates this.

If one manages small amounts of capital, one can choose between more than a hundred thousand public companies. Statistically, you can likely buy a wonderful business for a wonderful price. I hope that I will be able to learn and remember this lesson from here on.

In addition, I purposefully placed JD in my portfolio as a large cap, because I currently wouldn't feel comfortable monitoring so many microcap companies at the same time. I'm not married to JD. I also enjoy researching the Chinese tech space. I'm comfortable owning JD as one of my generals. I believe that inventory retailing isn't dead, and that JD is the best Chinese inventory e-commerce retailer.

I like being in the company of JD and its people. They possess a huge capacity to suffer and an even greater will to create something outstanding. JD is run by real people, all of whom, in some way or another, made themselves. I gladly take part in the JD.com story.